MOST IMPORTANT TOPICS IN CORPORATE LAW PRACTICE

1. DRAFTS: This constitutes at least 40-45% of your success.
2. Foreign Participation in Nigeria
3. Incorporation of Companies
4. Business names, Partnership and Incorporated Trustees
5. Corporate Governance (Directors & Secretaries)
6. Membership, Meetings and Resolutions
7. Post Incorporation Matters (Statutory Books)
8. Company Securities (Shares & Debentures)
9. Corporate Restructuring
10. Winding up

PART A: ESTABLISHMENT AND FUNCTIONS OF CAC
PART B: INCORPORATION OF COMPANIES
PART C: REGISTRATION OF LIMITED LIABILITY PARTNERSHIP
PART D: LIMITED PARTNERSHIP
PART E: BUSINESS NAME & PARTNERSHIP
PART F: INCORPORATION OF TRUSTEES

CHAPTER ONE
LEGAL FRAMEWORK AND THE REGULATORY BODIES IN CORPORATE PRACTICE IN NIGERIA

In the exam, you may be asked to highlight the applicable laws and regulatory bodies regulating corporate law practice in Nigeria. Below is your answer:

Laws Regulating Corporate Law Practice in Nigeria And Their Relevance (Exam Focus; August 2019 Q 5a, January 2020 Q 4a, March 2021) Know 10

1. Companies and Allied Matters Act Cap C. 20 LFN 2020

a. The CAMA makes provisions for the incorporation of companies under Part B, the registration of business names under Part E and the incorporation of trustees under Part F.

b. It also makes provisions regarding the officers of a company, the constitution of a company, its management as well as winding up procedures.

2. Investment And Securities Act 2007

a. The ISA established the Securities and Exchange Commission.

b. This Act regulates the activities of the Nigerian capital market i.e. it regulates investments and securities business in Nigeria.

c. The ISA regulates all offers of securities by public companies as well as registration of securities

3. Nigerian Investment Promotion Commission Act Cap N117 LFN 2004

a) This Act was enacted to regulate and promote investment in the Nigerian economy by both Nigerian and non- Nigerian investors

b) Houses the **One Stop Investment Centre** (OSIC), an investment window through which most of the important investment regulatory bodies can be found.

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The services at OSIC facilities creates the ease of doing the following:
1. **Incorporation Companies and Business Venture**
2. **Facilitates registration with other regulatory bodies and authorization.**
3. **Issuance of Approval-in-principal business permits.**
4. **Provision of investment information**
5. **Reducing the cost of doing business in Nigeria**
6. **Tracking of FDI and Investors**
7. **Simplification of procedural steps**
8. **Reduction in service delivery time without compromising the policy objectives of the participating agencies.**

Key Principles of the OSIC
1. **•Convenience**
2. **•Efficiency**
3. **•Speed**
4. **•Transparency**

PARTICIPATING AGENCIES IN THE OSIC
The NIPC co-ordinates the activities of the OSIC while the following agencies, among others, are also participants:
1. **Nigerian Immigration Service.**
2. **Nigeria Customs Service.**
3. **SON (Standards Organization of Nigeria).**
4. **FIRS (Federal Inland Revenue Service).**
5. **Central Bank of Nigeria (CBN)**
6. **National Office for Technology Acquisition and Promotion (NOTAP).**
7. **Corporate Affairs Commission (CAC).**
8. **National Agency for Food and Drug Administration and Control (NAFDAC).**
9. **Securities and Exchange Commission (SEC).**
10. **FCT Administration etc.**

4. **Foreign Exchange (Monitoring and Miscellaneous Provisions) Act**

This provides for foreign investment by aliens to be done in convertible currency freely imported into Nigeria through an authorized dealer

5. **Immigration Act Cap I 2 LFN 2004**.

This Act requires aliens who wish to set up business in Nigeria to obtain Business Permit, expatriate Quota and Residence Permit for foreigners who wish to work in Nigeria.

6. **National Office for Technology Acquisition and Promotion Act**

This Act provided that every contract or agreement entered into by any person in Nigeria with any person outside Nigeria which involves the transfer of foreign technology to Nigerian partners must be registered with NOTAP **not later than 60 days from execution** of the agreement.

7. **Companies Income Tax Act Cap C21 LFN 2004**

This Act provides the income tax payable upon the profits of any company in each year.

8. **Constitution Of the Federal Republic of Nigeria 1999 (As Amended)**

The constitution under **S. 251 (1)(e)** confers on the Federal High Court exclusive jurisdiction in civil cases and matters arising from the operation of the CAMA or

any other enactments regulating the operation of companies incorporated under CAMA.

9. **Banks And Other Financial Institutions Act 2020**

This Act regulates the banking sector of the economy.

10. Federal High Court Act

Section 7 of this Act provides that the Federal High Court shall have original jurisdiction over matters stated in **S. 251(1)(e) CFRN**

11.Stamp Duties Act Cap S. 8 LFN 2004

This Act provides that the nominal share capital of any company registered with limited liability or any increase thereto shall be charged with ad valorem duty.

12. Central Bank of Nigeria Act 2004

the apex regulatory body for Banks and other Financial Institutions in Nigeria. Serves as an adviser to the Federal Government and licenses and regulates the activities of Banks and Other Financial Institutions.

13.Nigerian Deposit insurance Act

14.Federal Competition and Consumers Protection Commissions Act

15. Industrial inspectorate Act

16. Partnership Law

17.Asset Management Corporation of Nigeria

18.Standards Organization of Nigeria Act

19. National Agency for Food and Drug Administration Agency

20. Industrial Development Income Tax Relief Act Cap I7 LFN 2004

21. Pioneer Status Incentive Regulation SI NO 2 2014

22. Patent and Designs Act

NOTE: That the Highlighted Ones are of General Application

Regulatory Bodies Governing Corporate Law Practice In Nigeria And Their Roles/Functions (Bar Final 2017 Q 1d & August 2019 Q 5b, January 2020 Q 4a)

1. **Corporate Affairs Commission (CAC)**

The CAC is established under S. 1 CAMA, headed by the Registrar-General -

Role/Functions of CAC- S. 8 CAMA

1) administer this Act, including the registration, regulation and supervision of
   (a) the formation, incorporation, management, striking off and winding up of companies,
   (b) business names, management and removal of names from the register, and
   (c) the formation, incorporation, management and dissolution of incorporated trustees;
2) establish and **maintain a company's registry** and office in each State of the Federation suitably and adequately equipped to perform its functions under this Act or any other law;
3) arrange or **conduct an investigation** into the affairs of company, incorporated trustees or business names where the interest of shareholders, members, partners or public so demands;
4) ensure **compliance** by companies, business names and incorporated trustees with the provisions of this Act and such other regulations as may be made by the Commission;

5) perform such other functions as may be specified in this Act or any other law; and
6) undertake such other activities as are necessary or expedient to give full effect to the provisions of this Act

NOTE the following about CAC

i. It has a governing board composed of 10 members (including a chairman and a Registrar General)
ii. The chairman of the Governing board is appointed by the President on the recommendation of the Minister while other members are appointed by the Minister.
iii. All its members except the Registrar General are part-time members
iv. Anybody that wants to sue CAC must give it 30 days pre-action notice Section 17

2. Securities and Exchange Commission (SEC) established by Sect 1 ISA

Role/Functions of SEC-section 8 Investments and Securities Act

a. To regulate investment and securities business in Nigeria
b. To regulate and register offers of securities by public companies.
c. To register and regulate corporate and individual capital market operators.

NOTE: SEC must be given **30 days** pre-action notice by any person intending to sue the commission.

3. Nigerian Investment Promotion Commission (NIPC)

Established under **Section 1 of NIPC Act** and headed by an Executive secretary

Role/Functions of NIPC: Section 4 of NIPC

a. To encourage, promote and coordinate investment in Nigeria.

b. To monitor all investment promotion activities.

c. The provision and dissemination of up-to-date information on incentives available to investors

d. The NIPC houses a One – Stop Investment Centre/Shop. OSIC

e. To register and keep records of all enterprises.

4. National Office for Technology Acquisition and Promotion Commission established by NOTAP Act.

Functions - Section 3 NOTAP Act

a. They register contracts of transfer of foreign technology between Nigerians and Aliens and issue certificate of registration.

b. It acts as a catalyst between research institutions and industries in Nigeria

5. Nigerian Deposit Insurance Corporation established under NDIC Act

a. This is an insurer to Banks and financial institutions.

b. In collaboration with CBN, they monitor the activities of Banks.

c. When a bank falls into distress, the NDIC manages and assumes responsibility of these failing banks.

d. The NDIC intervenes through purchase and assumption of the debt of failed bank.

6. Asset Management Corporation of Nigeria (AMCON)

Functions of AMCON

a. To resolve liquidity problems in the financial sector.

b. To assist banks in moderating the cost of bank distress.

c. To manage and dispose toxic assets of Nigerian banks including Non – performing Loans

7. **Federal High Court established by Sec. 249 CFRN**

Functions/Powers of the FHC

a. A company may be wound up by the court

b. Court may appoint or remove a liquidator in any voluntary winding up

c. The court may cancel the alteration of a company's objects.

d. May order the rectification of register of members.

e. May order a meeting of creditors or class of creditors, when necessary, amongst others.

8. **Nigerian Immigration Service: established under the Immigration Act;** it basically issues visas and resident permits to foreigners entering into Nigeria. It regulates the influx of foreign nationals into the country and regulates the issuance of the requisite permits including residence permit, visa, expatriate quota etc.

9. **Federal Competition and Consumer Protection Commission (FCCPC);** established under the **FCCPC Act** to regulate mergers and other business combination in Nigeria.

NOTE the following about FCCPC: (Dec 2020 MCQ 16-20)

a. It is a body corporate with perpetual succession and the power to sue and be sued in its name.

b. It is composed of 8 members which includes:

   i. A chairman

   ii. A Chief Executive (who is the Vice Chairman)

   iii. Two Executive commissioners

c. The members of the commission are appointed by the President FRN from the six geo-political zones subject to confirmation by the Senate.

d. All complaints against the FCCPC must first go to the **Competition and Consumer Protection Tribunal**

10. **Industrial Inspectorate Office**: a division of the Ministry of Trade and Investment; regulates the grant of incentives to companies especially companies involved in the manufacturing sector to encourage participation in business in Nigeria.

ACCREDITATION WITH CAC

As a legal practitioner, it is required that you apply to CAC for accreditation to be able to do some official transactions relating **to Part A of CAMA** i.e. companies. The process of accreditation will authorize a person to be able to deal with the CAC as agents on behalf their clients.

PROCEDURE FOR ACCREDITATION: focus

1. Fill the Application Form for Accreditation online (pre.cac.gov.ng)
2. Attach the following accompanying documents and upload
    a. Passport photograph
    b. Electronic Signature
    c. Qualifying Certificate
    d. National Youth Service Corps discharge certificate or exemption
    e. Payment receipt of the current year practicing fee
    f. Evidence of payment of prescribed fees
3. Make payment of the prescribed fees via Remita
    a. Individual
    b. Firm
4. Send the filled form online and upload the accompanying documents

5. CAC will send an email to the email address supplied to CAC confirming accreditation for the year.

PROCEDURE FOR SEC REGISTERATION

1. Duly completed SEC application form - FORM SEC 3 for firms and FORM SEC 2 for sponsored individuals
2. Evidence of payment of the application fees: Firm –N50, 000 ; and for each Sponsored individual- N10, 000
3. Submit the application Form accompanied by documents specified below:
   a. Evidence of qualification as a legal practitioner five years before application
   b. **Evidence of demonstrable knowledge of capital market operations** as may be determined by SEC
   c. Verifiable office address for inspection by the SEC
   d. Security report on the applicant
   e. 3 passport photographs
   f. Evidence of payment of prescribed fees
   g. Applicants' banker statement

S. 38 of the Investment and Securities Act (ISA), Rule 178-182 of the SEC Rules 2013.

POSSIBLE EXAM QUESTIONS:

1. State five (5) laws that will regulate corporate practice in Nigeria.
2. Highlight four (4) regulatory bodies/agencies that the company must interface with in the course its operations.
3. State at least 2 functions each of the regulatory bodies listed by you above
4. List the documents you will file to CAC for accreditation as a legal practitioner

CHAPTER TWO

INCORPORATION/ REGISTERATION OF BUISNESS AND NON BUISNESS ORGANIZATIONS IN NIGERIA

Here, we will be examining the various business and non-organizations in Nigeria. By business organization we mean those established for the purpose of making profit and by non-business organizations are non-profit oriented organizations.

Types of Business and Non-Business Organization (August 2018 Q 1)

There are 5 types of business organizations viz:

1. Sole Proprietorship
2. Business Name
3. Limited Partnership
4. Limited Liability Partnership
5. Incorporated companies
    a. Private company limited by share
    b. Private company unlimited
    c. Public company limited by shares
    d. Public unlimited company

There are two types of non-business organization viz:

1. Company limited by guarantee; and
2. Incorporated Trustees.

COMPANIES

This part includes the various types of companies a person can incorporate including all provisions relating to every feature, practice and procedure of such companies.

TYPES OF COMPANIES - Section 21

This depends on the liability and membership as follows:

1. Companies limited by shares.
2. Companies limited by guarantee.
3. Unlimited company.

Any of the above companies may be:

i. A private company or

ii. A public company. **Section 21 (2) CAMA**

Advantages of E-registration

1. Speed
2. Convenience
3. Saves Cost
4. Reduces corruption
5. Increases productivity

CAPACITY TO FORM A COMPANY– (January 2020 Q 1e)

Two or more persons may form and incorporate a company **by complying with the provisions of the CAMA**- **S. 18 (1) CAMA**.

One person can form company in Nigeria S. 18 (2) CAMA.

Persons who are disqualified from joining in the formation of a company S. 20

(1) He is less than 18 years

EXCEPT two other persons who are not disqualified have subscribed to the memorandum.

(2) He is of **unsound mind** and have been so **found by a court in Nigeria or elsewhere**

(3) He is an **undischarged bankrupt.**

(4) He is **disqualified under S. 283 (disqualification of directors**) of CAMA from being a director.

(5) A **corporate body in liquidation.**

Position of a person under the age of 18 in the Formation of a Company

1) **two other adults of full capacity must have subscribed to the memorandum of the company- S 18; S.20 (2)**
2) He cannot be counted for the purpose determining the legal minimum of members of a company - **S 106 (2) CAMA**

NOTE- Section 20(4) CAMA provides that an **ALIEN** may join in the formation of a company provided he complies with the provisions of any enactment regulating the rights of aliens to engage in business in Nigeria.

STEPS /SCHEDULE TAKEN TO REGISTER A NEW COMPANY (Focus)

1. Taking instructions from the Client/promoters of the company
   a. Client's Personal Details;
   b. Date for completion of registration;
   c. Name of company
2. Conducting a check on the availability of name **Form CAC 1** (filled online)
3. Preparing the incorporation documents:
   a. MEMO & ART, (to be adopted online with little alteration allowed)
   b. Statement of Compliance

4. **Online completion of pre-registration form (Form CAC 1.1)** and uploading of the incorporation documents i.e valid means of ID, electronic signatures of directors
5. In the case of a company limited by guarantee, obtain the consent of the AGF
6. Obtain the certificate of incorporation, as prima facie evidence of incorporation.

FEATURES OF A PRIVATE COMPANY ''LTD''

1. It has the liability of its members limited, to the amount unpaid on the shares respectively held by them - **S. 21CAMA**

2. The minimum issued share capital is N100,000 (**100k**)- **S.27(2) (a)**

NOTE: Shall not be registered with a share capital that is less than the minimum issued capital. **S. 124**

3. The membership is **between 1 to a maximum of 50 persons** –**S. 22(3), S 18(2)**
4. It may, by **its articles, restrict the transferability of its shares** - **S. 22(2).**

5. **No specific qualification of a secretary is needed** **EXECPT** the possession of the requisite knowledge and experience to perform the functions of the office. **S. 332 CAMA,**

   NB: It is NOT compulsory for a small company to have a secretary **S. 330 (1) CAMA**

6. The name of a private company must end with the word limited (or the abbreviation "Ltd') - **S. 29 CAMA**

7. **No age restriction in the appointment of directors**. Persons of 70yrs and above can be appointed as directors without the requirement of special notice to the company and its members – **Section 282 CAMA**

8. Unless authorized by law, it shall not invite the public to deposit money, for a fixed period or payable at call, whether or not bearing interest **-S. 22(5) (b)**

9. The consent of ALL members must be obtained before any sale of assets having a value of more than **50%** of the total value of the company's assets. **see s. 22 (2) (a) CAMA**

10. No member or group of members acting together can sell or agree to sell more than 50% of the shares of the company to a person who is not then a member, unless the non - member has offered to buy all the existing members shares on the same terms **S. 22 (2) (c) CAMA**

WHEN RECOMMENDED (in exam watch out for this elements in the scenario)

a. Where the capital available to start off business is relatively small.
b. Where small and medium scale business organizations need to acquire incorporated status.
c. Where family and friends want to engage in business expected to last over a long period and enjoy corporate personality.

FEATURES OF A PUBLIC COMPANY

1. It is stated in its memorandum to be a public company; **S. 24 CAMA**

2. has the liability of its members limited, to the amount, unpaid on the shares respectively held by them - **see s21(1)(a) CAMA**

3. It has an unlimited number of members. **S. 22(3) CAMA**

4. The name ends with "Public Limited Company" PLC.-**S.29(2) CAMA**

5. The **minimum issued share capital** is **N2,000,000 (2 million)**. **S. 27(2)**

6. **There is no restriction** on transfer of shares in a public company-**S.151(1)**

7. **There is age restriction in the appointment of director of 70 years, he must give special Notice of his age to the members**. **S. 282**

8. It must hold its **statutory meeting within 6 months of incorporation – S. 235**

9. The Secretary of a public company must be qualified in accordance with the **332 CAMA**

10. **It can invite the public to subscribe to its shares and debentures**

NB: The power to allot shares of a public company is subject to the provisions of the ISA – **see S.149 (2) CAMA**

WHEN RECOMMENDED

a. Where **sector regulations require it in order to be permitted to operate.**
b. **Desire to raise capital from the public through the subscription of shares** or debentures
c. Where the **capital available to start off business is relatively large.**
d. Where **membership is not limited or restricted.**
e. Where the business organization is not driven by family ties or relationships.
f. Where 50 persons or more, want to join in the formation of a company as subscribers and do not intend to be joint holder of shares.

(You should be able to discern the differences between a public and private company from its features above)

FEATURES OF A COMPANY LIMITED BY GUARANTEE 🔄

1. It does not carry-on business for the purpose of making profit for distribution to its members but for the attainment of its objects – **S. 26(1)**

2. Members have no right to participate in the profits of the company or to divide the company's undertaking into shares or interests **- see S. 26(2)**

3. **It has no share capital** upon incorporation. **S.26(2) CAMA**

4. It is permitted to do business, but not with a view to making profits for distribution to its members – **see S. 26(3) CAMA;**

Consequences of violation of S. 26 (11) CAMA

I. All officers and members who are cognizant of the fact shall be jointly and severally liable for the payment and discharge of all debts and liabilities of the company incurred in carrying on such business;

II. The company and every such officer and member shall be liable to penalty as prescribed by the CAC for everyday during which it carries on such business

5. **Consent of the AGF** is required for registration. **section 26(5) of CAMA**

6. **Liability of the members:**
   limited to the amount which they undertake to contribute to the assets of the company, in the event of winding up such an amount **shall not at any time be less than N100, 000 (One hundred thousand naira) S. 26(12)**
   NB: Such amount is not payable at call, but is only at the point of winding up. In other words, liability arises at winding up.

7. Special Clause: Upon winding up, after the discharge of its debts, any assets of the company remaining **shall not be distributed among the members**, but shall be transferred to organizations with similar objects. **Section 26(15)**
8. Its name must include the word "limited by guarantee" Ltd/Gte.- **S. 29(3)**

WHAT AN APPLICANT CAN DO WHEN THERES NO DECISION FROM THE AG

SECTION 26(7) OF CAMA

1. Where all the valid documents have been furnished and no decision has been made by the AGF **within the 30-day period**, the applicant is at liberty to
   a) place the advertisement of the incorporation in **3 national dailies**
   b) and invite objections **within 28 days**. S.**26(7)**

2. If after the 28 days have elapsed and there is no objection, **the CAC shall, if satisfied that the MEMOART have complied with the provisions of CAMA, shall assent the application, registration the company and issue a certificate of incorporation to the applicant**. **S.26(10)**

WHEN RECOMMENDED

a. Where the company's object is for promotion of commerce, art, science, religion, sports, culture, education, charity. **S. 26(1)**
b. Where the company's profits is **not** to be distributed to members.
c. It is recommended as a subsidiary company set up **to render corporate social responsibility** obligations for the main company.

ADVANTAGES OF COMPANY LTD/GTE

1. The company enjoys legal personality distinct from its members
2. It can engage in skeletal business solely for the purpose of promoting its object
3. It's exempted from payment of tax
4. It's not required to have a share capital

NOTE- IT IS NOT SUITABLE FOR ANTI GOVERNMENT PROGRAMMES

DOCUMENTS Required For Incorporation of Company (Private/public) at CAC (Bar final August 2018 Q 4a, January 2020 Q 3e)

1) **CAC 1** - Availability check and Reservation of Name (fill online)

2) **CAC 1.1**- Form for Application to Register a company (to be adopted online with little alteration allowed)

3) Memorandum and Articles of Association (fill online)

4) Means of identification for every director, subscriber and secretary in the company (uploaded online)

5) Electronic signatures of the subscribers, directors, secretary and legal practitioner or agent incorporating the company (uploaded online)

6) Other documents required by the Commission to satisfy the requirement of any law relating to the formation of a company (uploaded online):

a. Where an infant is a subscriber, the infant's birth certificate duly issued by the National Population Commission should be attached.

b. Residence permit (where foreigner's residential address is in Nigeria) (uploaded online)

REQUIREMENTS/DOCS FOR REGISTRATION OF COMPANIES GTE

1. Availability and Reservation of Name; (**CAC 1**) (fill online)

2. Form **CAC 1.1**- Application to Register a company; (to be adopted online with little alteration allowed)

3. Memorandum and Articles of Association duly stamped; (fill online)

4. Valid means of identification for subscribers, directors and company secretary e.g., International Passport, Driver's License, National Identity (uploaded online)

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1.CAC 1- Availability Check and Reservation of Name
2.CAC 1.1- Form for Company Registration
3.Memorandum and Articles of Association
4.Recognized means of Identification of the Directors of the Company
5.Evidence of the Attorney-General of Federation's Consent

5. Approval of the AGF consent
    a) The AGF shall **within 30 days** grant authority to register where there are no objections
    b) Where **after 30 days** the AGF has not granted authority, the promoters shall place an advertisement in **3 national newspapers** and **invite objections** (forward objections to CAC **within 28 days**).
    c) Where there are no objections, the commission shall register the company

6. **Electronic signatures** of the subscribers, directors, secretary and legal practitioner or agent incorporating the company (uploaded online)

7. Any other document that may be required to comply with the law. (Uploaded

NAME OF COMPANY

A company may adopt any name for incorporation provided that such name is not a prohibited or restricted name. The first step towards incorporation of a company is to conduct availability search on the proposed name.

RESERVATION OF NAME – **SECTION 31(1) & (2)**

The CAC may, upon receipt of an application delivered to it in hard copy or through electronic communication and on payment of the prescribed fees, reserve a name pending registration of a company or change of name by a company upon confirmation of the availability of such name.

A name when approved is reserved for **60 days** within which the company is to claim the name. **Section. 31(2)**

N.B - focus

If the proposed Company fails to register with the Commission **before the expiration of the 60 days** that the name was reserved for it, the company will go through the process of availability check and reservation of name all over again.

PROCEDURE/STEPS For Conducting Availability Search and Reservation of Name at CAC (Bar final 2017 Q 4d, April 2018 Q 4b, January 2020 Q 3c)

1. Log onto the CAC portal: pre.cac.gov.ng
2. Select the tab marked "new reservation" and enter the preferred name and the alternative name (if any);
3. Click on the next page to select type of company i.e. whether limited, GTE, I.T or Business name;
4. Click on preview and make on-line payment through ***remita*** or any other means.
5. Check e-mail after 24 hours for status of the availability.

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The steps to be taken for the Reservation of the proposed Name are;

1.Log on to CAC Website www.cac.gov.ng

2.Click on new reservation and select new name reservation

3.Complete Availability Check and reservation of name form online

4.Pay for conducting online search

5.CAC will either approve one of the two names and reserve it for 60 days or reject both names.

6.Where CAC reject both names, the Applicant will conduct another online search using two different names again.

7.CAC will inform the Applicant of its decision through email.

POSER:

As a Solicitor engaged to facilitate the incorporation of a Company, what instructions will you take in respect of the name of the proposed company? Explain what steps you will take regarding the instructions. 2010 No 1(b)

- Obtain two names from the promoters of the company: preferred name and alternative name
- Log onto the CAC portal and follow the procedure outlined above

Prohibited names - Section 852 CAMA (focus)

1. **identical** names of an existing company as to be calculated to deceive; **Niger Chemists Ltd v. Nigeria Chemists Ltd**

   Exception

   a. Where the existing company is **in the course of being dissolved**

   b. **signifies its consent** to the use of such name - **S. 852 (1) (a);**

2. A name or trademark containing the words "**chamber of commerce**" **UNLESS** it is a company limited by guarantee - **S. 852(1) (b); Lagos Chamber of Commerce v. Registrar of Companies**

3. A name which is capable of misleading, as to the nature of its activities, or, offensive or contrary to public policy - **S. 852 (1)(c)**

4. A name which **violates or conflict** with any existing trade mark or business name registered in Nigeria, **UNLESS** the consent of the owner is obtained- **S. 852 (1) (d).**

RESTRICTED NAMES - S. 852 (2) (a – d) - MCQ

They are only registered with the **consent of the CAC**:

1) Names that contain the words: Federal, National, Regional, or State-

2) Names containing the word "**Government**" to **suggest that it enjoys patronage from the FG or SG of Nigeria** or **'Municipal'** or **'Chartered'** -

3) Names that contain the word 'Cooperative' or 'Building Society'

4) Names that contain the word "Group" or "Holding" -

CHECKLIST OF POSSIBLE INSTRUCTIONS/MATTERS A LAWYER WILL TAKE TO REGISTER A COMPANY: (Exam Focus)

1. instruction as to the **preferred name and alternative name**.
2. The **Capital involved**. (this is to enable you advise him appropriately as the choice of company)
3. The **number of persons** involved.
4. The **object** or intended business of the company.
5. The **proposed registered address** of the company.
6. **Type of company** intended to be incorporated. (etc.)
7. **Liability envisaged by the members**
8. **Restrictions** on the powers of the company
9. Particulars of the subscribers.
10. **Whether a foreigner or a minor is involved** in the formation
11. Minimum issued share capital (where the company has a share capital)

Clauses To Be Included in The Articles of Association to Gain Control in A Company (August 2018 Q 4f JULY 2022 resit)

1. **Taking majority shares in the company**
2. **Taking different classes of shares** (e.g., preference shares in order to have more votes and special rights).
3. To be **appointed a life director,**
4. **Be appointed chairman of the company**
5. **Be in custody of the common seal** and countersign any document to which the common seal is affixed.
6. **Be signatory to all the documents of the company**
7. Secure a pre-emptive right

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as well as guaranteed return on his investment.
1.create classes of shares

2.assign the major shareholder Preference shareholder.

Instances where the CAC will refuse to register a company S. 41(1) (a-e) (focus)

1. Non-compliance of **MEMO & ART** with the provisions of CAMA
2. **Illegality of object**/ business
3. Where a **subscriber to the memo is disqualified** by virtue of **S. 20** see **S.41(1)(c)**
   - **a.** An individual below 18 years except two other qualified persons are 18 and above,
   - **b.** An individual found to be of unsound mind by a court in Nigeria or elsewhere,
   - **c.** An individual who is an un-discharged bankrupt,
   - **d.** An individual disqualified from being a director under section 280 i.e a fraudulent person,
4. Where there is **non-compliance with the requirement of any other law as to the registration and incorporation of a company**
5. conflict or likelihood of conflict of the proposed company's name with that of an existing company, trade mark or business name registered in Nigeria

Procedure for challenging the CAC's Refusal to Register a company – S. 41(2)

A. Giving notice to the CAC requiring the Commission to apply to court for directions

B. Upon the receipt of such notice, the CAC shall, **within a period of 21 days**, apply to the Court for directions

CONTENTS OF THE MEMORANDUM OF ASSOCIATION (NOOR SLSSA)

1) The **name** clause

2) The Registered **office** clause

3) The business/ **objects** clause

5) The **Restriction** clause, if any

4) The **Status** Clause

6) The **liability** clause

7) The **share capital** clause

8) The **subscription** clause

9) **Attestation** Clause

You can be asked to draft the MEMO

NOTE: **Focus** (new position of CAMA)

It is no longer compulsory to engage a legal practitioner in respect of incorporation of companies because **any promoter or any of the first directors of the proposed company can now apply to incorporate a company**. **S. 40 January 2020 Q3**

Commented [MOU5]:
Statement of Compliance to be signed by the applicant or his agent confirming that the requirements of the law with respect to registration has been complied with thereby expunging the need for a legal practitioner or Notary Public attestation under **Section 40 CAMA.**

EFFECTS OF INCORPORATION

As from the date of incorporation mentioned in the certificate of incorporation, the members of the company, shall be a body corporate by the name contained in the memorandum, capable of exercising all the powers and performing all functions of an incorporated company including

A. the power to hold land, and

B. having perpetual succession,

but with such liability on the part of the members to contribute to the assets of the company in the event of its being wound up as is mentioned in the Act. **Section. 42**

BUSINESS NAMES (very important usually as question 2/3 or 5/6)

This includes small scale businesses usually registered with CAC to protect the names of such business from being used by others. It does not confer legal personality on such business.

Advantages of Business Name over Companies (August 2019 Q 6a)

1. It is **cheaper to establish.**
2. **Ease of registration.**
3. **It is more private.**
4. **It is less formal.**
5. **Ease of decision making and management**
6. **Ease of dissolution**
7. **Registration is not mandatory in certain circumstances.**
8. It gives priority to the use of the name against subsequent registered companies.
9. Does not have distinct legal personality
10. Minor may register

TIME FOR REGISTRATION - focus

A business name must be registered **within 28 days AFTER commencement of business - Section 815 (1).**

Persons that Can Register Business Name in Nigeria

a. Individuals
b. Partnership/firms
c. Companies

Commented [MOU6]: Registrar General of Corporate Affairs Commission is referred to as **Registrar of Business Name in Nigeria** at the Business Name Registry Headquarters. Section 812 of CAMA.
However, there is also the provision of Business Name Registry's in each state of the Federation which is headed by a Registrar. Section 812 of CAMA.

Commented [MOU7]: The date the business was commenced is excluded from the computation

RESTRICTIONS ON REGISTRATION OF BUISNESS NAMES

a. **INFANTS:** The Registrar may refuse to register an individual or firm if the age of the individual or partner in a firm is less than 18 years **(section 852 (3)). UNLESS** the signature is countersigned by **magistrate, legal practitioner or police officer above rank of Assistant Superintendent of Police** -**S. 815 (6)**

b. **Persons involved in fraudulent trade practices-**
the registrar shall refuse to register a name if he has irrefutable evidence that the individual, firm or company applying has previously been involved in fraudulent trade malpractices in local or international trade **(section 852 (4)**

c. **Where illiterate or blind persons are involved** in the formation of business name**, a jurat must be affixed**

When Registration of Business Name Is Not Compulsory (Exam Focus)

Where the persons doing the business intend to avoid the requirement of registration, they may adopt the following names: **(August 2017 Q 5b)**

1. For an individual, if he uses his/her: **Section 814(b).**
    a. full name
    b. initial and surname
    c. the surname without any addition

2. Firm/Partnership, if it uses the: **S. 814(a)**
    a. full name of all the partners only
    b. their initial and surname
    c. their surnames only without any addition.

Commented [MOU8]:
Partners having the surname. If there is an addition of an "S" at the end of the surname. E.G. OKON"S"

3. Company/Corporation, when it uses its corporate name without any addition

Examples: see Dec 2020 Re-sit Q 3b

a) OBI MARTINS, HUSSAINAT OLORIEGBE & UYANNA GEORGE (**full name only)**

b) M. OBI, H. OLORIEGBE & G. UYANNA (**Initials & Surnames only)**

c) OBI, OLORIEGBE & UYANNA **(surnames only)**

Importance/Reasons for Registration of Business Name (April 2019 Q 3b)

a. A **certificate of registration of business name is issued**.

b. It raises conclusive presumption of partnership.

c. It **gives priority over the name registered** so that no company/business will be registered in that name.

d. It gives the public the true identity of the persons behind the business name.

e. It aids in official transactions using the business name

f. It creates trust in the mind of members of the public.

SCHEDULE FOR REGISTRATION OF BUSINESS NAMES/PARTNERSHIP

1. Taking Instructions
2. Search for Availability
3. Preparation of Registration documents
4. Filing; and
5. Obtaining certificate of registration.

Checklist of Items needed to Register Business Name

1. Obtain **Certificate of proficiency** from proprietors in the relevant field if the business is for professional services. (In Practice

2. Obtain two passports from each of the proprietors/partners.
3. Obtain evidence of change of name (married woman).
4. Result of availability check and reservation of name.
5. Tax Clearance Certificate
6. Valid Mode of Identification;
7. Evidence of Payment of Annual Returns in Case of Corporation
8. In case of Corporation, a copy of the resolution authorising the registration.
9. Completed Application Form (CAC/BN 01)
10. Evidence of Payment of Filing Fee.

Procedure For the Registration of A Business Name (August 2017 Q 5a)

Within 28 days of commencing business, an online application must be delivered to the Registrar for registration of the business name.

1. **Form CAC 1** - availability search and reservation of name (filled online)
2. **Form CAC/BN 01** - Application for Registration of Business name. (Filled online)
3. Upload the following **documents with the application**: (**Dec 2020 Q 3e)**
   - **a.** Two passports photograph of each individual – **S. 815(2)**
   - **b.** Valid means of Identification
   - **c.** Electronic signature
   - **d.** If any of the partners is a minor then attestation by a legal practitioner or a Magistrate or assistant superintendent of police will be required.
   - **e.** Tax clearance certificate of each individual of partner
   - **f.** Qualifying Certificate (in case of a professional)
   - **g.** evidence of payment of the processing fees
4. **Obtain Certificate of Registration of Business name from CAC**

Commented [MOU9]:
Procedure for Registration
1.TAKE INSTRUCTIONS
2.CONDUCT AVAILABILITY CHECK AND RESERVATION OF NAME
3.COMPLETE APPLICATION FORMS ON LINE
4.ATTACH ALL THE RELEVANT Documents
5.PAYMENT OF FILING FEES
6.OBTAIN CERTIFICATE OF REGISTRATION

EFFECT REGISTRATION OF BUSINESS NAME

1. **gives priority to use of the name even against registered companies S. 852 (1) (d); S. 41(e).**
2. **Not proof of partnership but Raises a rebuttable presumption of the existence of partnership** ***Nwankwo* v *Nwankwo***
3. Registration will not be construed as authorising the use of the name if apart from such registration the use of the name would be prohibited
4. Registration does not give legal personality to the business or association but merely apprises the public of the true identity of the person(s) who trade under the name. **Domingo v The Queen**
5. It constitutes common knowledge as to the identity of the persons who trade under the name.
6. It absolves the people carrying on business name from criminal liability for failure to register.

EFFECT OF A BUSINESS NAME CONVERTING TO A COMPANY

1. The **Subscribers** to the MEMO & ART together become members of the company
2. The **company shall become a body corporate capable of suing and being sued and having perpetual succession**
3. There shall be liability on the part of the company to contribute to the assets of the company in the event of winding up

ANNUAL RETURN - Section 822 Form CAC/BN 06

To be delivered **not later than 30th June** in each year **EXCEPT** the calendar year in which the name was registered

Commented [MOU10]:
The returns shall be accompanied by the financial statement of the individual, firm or corporation in the business during the preceding period of January 1 to December 31

Instructions to be Taken for the Registration of Business Name (FOCUS)

1. The proposed Business Name and Alternative Name to be reserved for **60 days**.
2. The General nature of Business
3. The Full Address of the principal place of Business and Branches if Applicable. (for service of processes)
4. Full Particulars and Personal Details of Proprietors
5. Whether or not a minor is involved as partner -**Section 815 (6)**
6. Date to commence business (**28 days Rule**)
7. Residential Address of Proprietor.

PARTNERSHIP (always asked together with Business Name)

The Major Elements of a Partnership:

1. there must be a business
2. The business must be carried on **in common** by two or more persons
3. The business must be carried on with a view to make profit- ***Uredi v. Dada***
4. Membership is **limited to between 2 and 20** **EXCEPT** for law and accountancy firms.

NOTE:

Partnership does not exist where these elements are absent

ADVANTAGES OF PARTNERSHIP

1. It is easier to raise funds
2. It encourages specialization
3. There is quality decision making
4. Profits are mutually shared amongst the partners
5. It is easier to get more customers/clients since every partner is involved

Commented [MOU11]:
EFFECT OF Registration of a General Partnership: FOCUS

a.Appraises the public of the existence of the partnership

b.Gives the partnership priority over the use of the partnership name even against an incorporated company.

c.Registration must not be construed as authorizing the use of that name, if apart from such registration, the use of the name would be prohibited

FEATURES OF A General Partnership

1.Shall have a minimum of 2 and maximum of 20 partners except for partnership of professionals.

2.The relationship must be between persons carrying on business in common with a view of making profit.

3.It can commence business before its registration but must be registered within 28 days of commencement of business

4.Registration does not confer legal personality on the partnership

5.**In a general partnership, its necessary to have a formal partnership agreement** to prevent the presumptions at common law.

DISADVANTAGES

1. There is shared liability since each partner is deemed an agent of others.
2. There is **likelihood of delay in decision making.**
3. There is high likelihood of **disagreement** amongst the partners which **may lead to dissolution of the partnership**.
4. Greed and envy amongst the partner may also hinder its growth

NUMBER OF PARTNERS (Dec 2020 Q 3a)

The **MINIMUM NUMBER** of persons required for partnership business **is at least 2 persons** while the **maximum number is 20** persons. ***Uredi v Dada***

EXCEPT for a firm of

1. legal practitioners or
2. chartered accountants; **Section 19 CAMA.**

If at any time the number of members of an association or partnership exceeds 20 **and it carries on business for more than 14 days while the contravention continues, each person who is a member** of the company, association or partnership during the time it so carries on business is liable to a fine as prescribed by the Commission for every day during which the default continues

NOTE: a **Minor** can join the partnership but the signature of the minor must be countersigned by a legal practitioner, a magistrate or a senior police officer.

Commented [MOU12]:
PARTNERSHIP AGREEMENT
Once a business is carried on in partnership, it is advisable for the partners to execute a written partnership agreement or deed.

The reasons/Importance of Written Partnership Agreement (April 2016, April 2018, April 2019 Q 3c)

a. It helps **to avoid common law presumptions on partnership.**
b. For **ease of official transactions.**
c. For **ease of conflict resolution.**

d. Obligations, liability and privileges can be determined easily.

e. It will be **binding on the parties.**

f. The **terms of the partnership will be clearly stated.**

Important Clauses that should be in A Partnership Agreement:

1. Profit sharing equilibrium
2. Capital contribution ratio
3. Partnership property
4. Remuneration of partners
5. Suspension/Expulsion of partners
6. Dispute resolution
7. Death of partner
8. Dissolution of partnership

The Implied Terms/Common Law Presumptions in Partnership (Exam Focus)

Where the partnership Deed is silent, the following is implied**; (Dec 2020 Q 3d, May 2022 resit)**

1. Equal sharing of profits

2. Equal sharing of losses

3. Equal contribution of capital/ assets of the business

4. The death of a partner dissolves the partnership

5. A partner cannot be suspended otherwise it is dissolved

6. No payment of salaries to partners

Commented [MOU13]:
Capital & Capital contribution:
There is a presumption of equality in the absence of a contrary intention. By S. **25(a) Partnership Law Lagos**, all the partners are entitled to share equally in the capital of the business and must contribute equally to the capital of the business. This is the position implied by law in the absence of an express provision to the contrary. Therefore, if the partners intend otherwise, then instructions should be taken to include a clause in the deed which will provide the proportions or percentage of partners share in the capital and their contributions thereto. It should clearly state how much each partner should contribute.

Sharing of Profits and Losses:
The formula of this must be expressly stated or the law will imply equal division, in the absence of an express provision to the contrary. By **25(a) Partnership Law Lagos** each partner is entitled to share equally in the profits and losses of the partnership. Therefore, if the parties intend to share the profits and losses unequally, a clause should be inserted to reflect the sharing formula according to the intention of the partners

POSER

Assuming Partners have agreed to have a written partnership agreement, explain why they must specifically agree on partnership capital, partnership property and dissolution of partnership. **May 2012 No 5(c)**

1. Capital: The amount contributed by each partner or the proportion of the contribution should be stated. There is a presumption of equality of shares unless otherwise provided **Section 25 (a) P. L. Lagos. Halaby vs Halaby.**

2. Partnership property: there is a presumption in respect of property bought with Partnership money as being partnership property unless otherwise provided. **Section 22 Partnership Law**, Lagos; **Hanein v Nasir**.

DISSOLUTION OF PARTNERSHIP

A partnership may be dissolved in 3 ways; which are: May 2012

1) **Act of the parties:**
   - **a)** By **Notice** (**Section 33(1)(c) Partnership Law, Lagos**);
   - **b)** By Illness (**section 36(b)) PL. (L**);
   - **c)** By charge of partner's share of Partnership Property **(section 34(1)(b) P.L.**;
   - **d)** By **special clause** in agreement e.g. power of expulsion.

2) **By Operation of Law:**
   - **a.** Expiration of term (**section 33 (1) Partnership Law, Lagos**;
   - **b.** Termination of venture or undertaking **S. 33(l) PLL**. **Uredi vs Dada**;
   - **c.** Death or bankruptcy of partner unless otherwise provided **S. 34(a) PL**
   - **d.** Supervening illegality **(section 35(L)).**

3) **By the Court** (section 36 Partnership Law, Lagos)

On application to the court by a partner of a firm, the court may dissolve the partnership on the following **grounds**:

(a) A partner is a lunatic or permanently of **unsound mind**;

(b) A partner is permanently **incapable of performing his part of the agreement** i.e illness;

(c) A partner is **guilty of such conduct that is calculated to affect prejudicially, the carrying on of the business of the partnership**,

(d) Where the partnership **business is only carried out at a loss**;

(e) Where the court considers it just and equitable to dissolve the partnership like incompatibility of the partners.

Procedure for Dissolution of the Partnership

1. Notice of retirement, dissolution, or expulsion is served on other partners referring to the appropriate clause in the partnership agreement.
2. The partners prepare and execute the dissolution agreement.
3. Distribution of assets and liabilities will commence
4. Notice of dissolution/cessation is given to:
   - **a)** Corporate Affairs Commission, if registered
   - **b)** Published in the gazette and national newspapers.
   - **c)** Clients or customers

Instructions To Take in Preparation of Partnership Agreement

1. Name of the parties
2. The Nature of Business
3. Contribution of Capital

4. Profit and Loss Sharing Formula
5. Remuneration
6. Power of Suspension and Expulsion
7. Commencement of Business
8. Name and Style of Business
9. Admission of New Partners
10. Duration/Dissolution
11. Retirement
12. Power, Rights and Duties
13. Banker and Mandate/Signatories
14. Dispute Resolution

LIMITED PARTNERSHIP – PART D

Constitution of Limited Partnership: **Minimum of 2 and maximum of 20 Persons** of which:

a. **1 or more persons are general partners** and
b. **1 or more persons are called limited partners – Section 795 CAMA**

Who can be a Partner: **An individual or corporate body can be a partner**; However, the following persons **CANNOT** be partners;

(a) Persons of Unsound Mind and

(b) An Undischarged Bankrupt – **Section 796 CAMA**

Note: A minor can be a partner.

Registration of Limited Partnership – An individual or corporation can register as a limited Partnership.

Commented [MOU14]:
FEATURES OF LIMITED PARTNERSHIP: FOCUS

1. **Must be registered before commencement of business;**
2. **Does not have distinct legal personality from its partners**
3. **Name must end with the words "limited partnership" or "LP"**
4. **Both general and limited partners contribute to the capital of the firm;**
5. **Must carry on business in common with the view of making profit;**
6. **Minor maybe a partner provided there are at least two adult partners**
7. **Must have minimum of two partners and maximum of 20;**
8. **Must have at least one limited partner and at least one general partner;**
9. **Must have partnership agreement;**
10. **Gives priority to use of the name;**

EFFECT OF REGISTRATRION
Certificate shall be evidence that the Limited Partnership came into existence on the date in which it was registered.

Where there is failure of registration, then it is deemed as a general partnership. Section 797(2) CAMA

Documents Required for the Registration of the Limited Partnership: FOCUS

1. **CAC FORM 1** - Availability and Reservation of Name Form;
2. **Form CAC/LP 01** – Application to Register a Limited Partnership;
3. **Recent passport photographs of all partners;**
4. **Copy of Valid means of identification** e.g., driver's license (birth certificate in case of a minor) must be submitted for every individual partner
5. **Partnership agreement**;
6. **Evidence of payment of filing fee.**

LIABILITY:

A Limited Partner is only liable to the amount he contributed, HOWEVER, he should NOT TAKE PART IN THE MANAGEMENT OF THE BUSINESS

If a limited partner participates in the management of the business of the limited partnership, **he will be liable for all the debts and obligations of the partnership incurred while he participated in the running of the firm as if, he was a general partner of the firm - Section 806**

General Partner has unlimited liability for the debts of the LP and is responsible for the running of the affairs of the LP.

NOTICE OF CHANGE IN STATUS OF GENERAL PARTNER OR ASSIGNMENT OF SHARE OF LIMITED PARTNER

General partner can become a limited partner if:

a. such an arrangement is **agreed upon by the other partners** and

Commented [MOU15]:
Instructions to Obtain in Registering the Limited Partnership:
1. **Type of partnership;**
2. **General nature of the business of the limited partnership;**
3. **Principal place of business; address of branch office (if any);**
4. **Partners details (for example, name, nationality, gender, date of birth; phone number; email address, identity type, identity number, occupation and partner's status);**
5. **Partners usual address;**
6. **Partners service address;**
7. **Contribution of partners;**
8. **Profit and losses;**
9. **Remuneration;**
10. **Details of authorized person (for example name, email address and phone number);**
11. **Management of the partnership; powers, rights and duties;**
12. **Accounts;**
13. **Partnership property;**
14. **Expulsion;**
15. **Dispute resolution;**
16. **Dissolution; and**
17. **Winding up.**

Partnership Agreement of Limited Partnership:
The partnership agreement should contain the following:
1. **Name of the partners;**
2. **Name of the limited partnership;**
3. **place of business;**
4. **Commencement date;**
5. **Duration;**
6. **Capital contribution;**
7. **Profit and loss sharing**
8. **property of the partnership**
9. **Salary/remuneration**
10. **powers**

b. a notice of the arrangement or transaction specifying the change from general partner to limited partner is filed with CAC **within 5 days of the change - Section 801.**

Notice of any arrangement:

When A limited partner changes to a general partner such change is to be put in a **statement signed by the firm and submitted in 7 days**. **Section 800 CAMA**

Registers to be kept: Section 805

(a) Register of Limited partners
(b) Index of Members of Limited Partnerships
(c) Minutes book

ANNUAL RETURN

The annual return **is filed within 60 days after closure of the financial year** of a limited partnership in a **Form CAC/LP 04.**

Failure to file annual return and statement of account and solvency for 10 consecutive financial years is one of the grounds for winding up of a limited partnership by the court.

Dissolution:

1. **It is Voluntarily wounded up by Partners.**
2. **By the court**

Following can bring petition for winding up of limited partnership:

a. **The limited partnership** or all partners of the limited partnership;

Commented [MOU16]:
Example is where general partner is absent and limited partner needs to run the affairs of the business,

Commented [MOU17]:
The annual return will be accompanied by the statement of account and solvency for the year of return

b. **Creditors of the limited partnership**; and

c. **Corporate Affairs Commission**.

The application for winding up of limited partnership is by **petition**.

The court with jurisdiction is the High Court of a State where the limited partnership has its principal place of business or carries on business.

Death, Bankruptcy, Lunacy of a limited Partner **DOES NOT** bring a Limited Partnership to an end unlike a general partnership. **Section 806(3).**

LIMITED LIABILITY PARTNERSHIP – PART C

A Limited Liability Partnership is a Body Corporate –**Section 746**

Who can be a Partner: **An individual or corporate body can be a partner**; **HOWEVER,** the following persons **CANNOT** be partners;

(a) Persons of Unsound Mind and

(b) An Undischarged Bankrupt –**Section 747 CAMA**

Minimum number: **At least two (2) persons but NO maximum–Section 748**

Designated Partners: Every LLP shall have at **least 2 designated partners** who are individuals and **at least 1 should be resident in Nigeria** – **Sect 749**

Characteristics/features of Limited Liability Partnership: Focus

1. Must be registered before commencement of business;
2. Has distinct legal personality from its partners;
3. Can enter into contracts in its own name;
4. Can acquire and dispose property;

Commented [MOU18]:
PERSONS WITH SIGNIFICANT CONTROL:
Person with significant control means any person who directly or indirectly holds: at least 5% of the shares or interest in a limited liability partnership; or at least 5% of the voting rights in limited liability partnership

Instructions to Obtain in Registering the Limited Partnership
1.name and alternative name of the partnership;
2.type of partnership;
3.business of the LLP;
4.registered address and head
5.contribution of partners;
6. profit and losses;
7. remuneration;
8.management of the partnership;
9. powers, rights and duties;
10. accounts;
11. partnership property;
12. retirement

Commented [MOU19]:
CONTINUATION

1.Must carry on business in common with the view of making profit;

2.Must have minimum of two partners and no maximum partners;

3.Partners can be corporate bodies as well as individuals;

4.Must have at least two designated partners;

5.The partners has limited liability for the debts of the firm;

6.Partners are agents of the firm and not of the other partners.

7.Partners are not responsible for the errors, omissions, misconduct, negligence, incompetence, or malpractice committed by other partners or by employees of the firm;

8.A partner involved in wrongful or negligent acts in the running of the firm is personally liable;

9.All the partners may participate in the management of the affairs of the limited liability partnership;

10. Flexibility in terms of management and how profits are shared that is; easy to manage;

11. Tax benefits may be available; and

12. Easy dissolution of the partnership.

DISCLOSURE OF SIGNIFICANT CONTROL IN A LIMITED LIABILITY PARTNERSHIP
Where a partner becomes a person with significant control over a limited liability partnership, he shall within 7 days of becoming such a person, indicate to the limited liability partnership in writing the particulars of such control the partnership shall within 1 month from the receipt of the information or any change therein, notify Corporate Affairs Commission of that fact. See section 791 of CAMA

5. May have common seal (if it desires);
6. Has perpetual succession;
7. Name must end with the words "limited liability partnership" or "LLP";
8. Partners can be corporate bodies as well as individuals;

Rights of Limited Liability Partner: focus

1. Right to take part in the management of the LLP;
2. Right to **share in the profits of the LLP**
3. Right to **notice of meeting**;
4. Right to **vote and be voted for**;
5. Right to **introduce and to consent to introduction of a new partner;**
6. Right to **access to, inspection and copy of partnership books;**
7. Right to retirement from partnership at will provided notice is given to other partner; and
8. Right to **advise other partners of the firm.**

Obligations of Partner to Limited Liability Partnership: focus

1. **Contribute an agreed sum as capital of the** limited liability partnership;
2. **Share in the losses** of the limited liability partnership;
3. **Liable for the debts of the LPP to the sum contributed** or agreed to contribute;
4. Not to draw out or receive back any part or all his contribution while the LLP subsists;
5. **Personal liability for wrongful or negligent acts in the running of the LLP;**

6. Account to the limited liability partnership for any benefit or private profits derived by him without the consent of the other partners from any transaction concerning the LLP
7. Rendering true accounts and full information of all things affecting the partnership to any partner or his legal representatives;

Documents Required for Incorporation of the LLP: focus

1. **Form CAC 1**- Availability and Reservation of Name Form
2. **Form CAC/LLP 01** – Application to Register a Limited Liability Partnership filled online;
3. **Partnership Agreement**;
4. **Valid means of identification** must be submitted for every individual partner uploaded online;
5. Qualifying certificate uploaded online;
6. Electronic signature uploaded online; and
7. Evidence of payment of filing fee made online.

CAC will register LLP within 14 days S. 754 CAMA

Effect of Registration: **757 CAMA**

a. The certificate of registration shall be prima facie evidence that the limited liability partnership came into existence on the date of registration
b. Confers legal personality and Legal status on them.
c. Can Sue and be sued in its name
d. Acquire, own and dispose of property (moveable and immoveable)
e. If it decides it can have a common seal
f. Do and suffer such acts as bodies corporate may

Extent and Limitation of Liability: **Only liable for acts done by a partner** who has authority or in the course of business of the LLP.

But not liable for partner who has no authority or where a person is aware he has no authority or is a partner. – Section 765 – 766

REGISTER TO BE KEPT - 772

A. Register of Limited Liability Partnerships
B. Index of Limited Partnerships
C. Register of Persons with Significant Control
D. Register of members
E. Books of account
F. Minutes book

INVESTIGATION OF LLP

Limited Liability Partnership can be investigated on the following grounds:

1. Where the **CAC is of the opinion that the business is being or has been conducted for a fraudulent or unlawful purpose**;
2. Where the CAC is of the view that the business of the LLP is being or has been **conducted in a manner oppressive or unfairly prejudicial to some or any of its partners**,
3. Where the CAC believes that the affairs of the LLP are **not being conducted in line with the provisions of CAMA;**
4. On receipt of a report of the CAC or any other investigating or regulatory agency, the **CAC is of the opinion that there are sufficient reasons to show that the affairs of the partnership ought to be investigated.**

Commented [MOU20]:
THOSE THAT MAY APPLY FOR INVESTIGATION OF LIMITED LIABILITY PARTNERSHIP

1.The court by its order;
2.Corporate Affairs Commission on its own motion;
3.At least one-fifth of the total number of partners;
4.**The limited liability partnership itself.**

USE OF THE INSPECTOR'S REPORT:

1.Corporate Affairs Commission may institute civil proceedings in the name and on behalf of the limited liability partnership on the basis of the inspector's report, where it appears to the Commission those civil proceedings ought to be brought by the partnership in the public interest.

2.Where from the inspector's report a person appears to have been convicted of an offence for which he is criminally liable, the report shall be referred to the Attorney-General of the Federation. Where the Attorney-General of the Federation considers that the case referred to him is one in which a prosecution ought to be instituted, he shall direct action accordingly.

3.Where from the inspector's report, it appears to the Commission that proceedings ought, in the public interest, be brought by the partnership dealt with by the inspector's report for the recovery of damages, in respect of fraud, misfeasance or other misconduct in connection with the promotion or formation of the partnership or the management of its affairs, or for the recovery of any property of the partnership which has been misapplied or wrongfully retained, it may refer the case to the Attorney- General of the Federation for his opinion as to the bringing of proceedings for that purpose in the name of the partnership. If proceedings are brought, all past and present designated partners and partners of the partnership, other than the defendants in the proceedings, must give to the Attorney- General of the Federation all assistance in connection with the proceedings.

4.Where it appears to the Commission from the inspector's report that it is desirable in the public interest that the partnership be wound up, the Commission may present a petition for it to be wound up if the court deems it just and equitable to do so, unless the partnership is already wound up by the court.

5.A copy of the inspector's report authenticated in such manner, as may be prescribed shall be admissible in any legal proceeding as evidence in relation to any matter contained in the report.

Winding Up and Dissolution – S. 789

1. Voluntary Winding Up by the partners- Company passes a **UNANIMOUS DECISION** and **not special resolution**, then it proceeds to court winding up.
2. **Court** –Provides that the court can wind up and the process below:

Circumstances in Which LLP May be Wound Up by the Court – Section 790

1. **All the partners decide** that the LLP be so wound up by the Court.

2. **The number of partners falls below two (2) For a period of more than 6 months**,
3. The LLP is **unable to pay its debt**

4. The LLP has **acted against the interests of the sovereignty and integrity of Nigeria or against her security or public order**.

5. The LLP has made a **default in filing with the commission, the statement of Account, Solvency or Annual Return for any 10 consecutive financial years**

6. The **court is of the opinion that it is just and equitable** that the LLP be wound up.

WHO CAN BRING A PETITION?

The following can bring petition for winding up of LLP by the court:

1. Partners of the Limited Liability Partnership;
2. Creditors of the Limited Liability Partnership; and
3. Corporate Affairs Commission

Commented [MOU21]:
1.By process of winding up as provided in CAMA

2.By striking off the name of the LLP from the Register of Limited Liability Partnership -Section 692 (For companies) and 793 (Where CAC believes that it is not carrying on business in accordance with the provision of the Act.

ANNUAL RETURN

A LLP shall **once a year** apart from the year of its registration file **Form CAC/LLP 07 – Annual Return of Limited Liability Partner within 60 days** after closure of the financial year and **will be accompanied by evidence of filling fee**

Differences between a Private Company Limited by Shares and a Limited Liability Partnership.

Commented [MOU22]:
STRUCTURE TO REMEMBER
1.NAME
2.MEMBERSHIP number
3.REGISTRATION
4.BINDING DOCUMENT
5.LIABILITY
6.MANAGEMENT
7.SECRETARY

PRIVATE COMPANY LIMITED BY SHARES	LIMITED LIABILITY PARTNERSHIP
NAME OF COMPANY ENDS WITH LTD	NAME ENDS WITH LLP
MINIMUM MEMBERSHIP IS ONE	MINIMUM MEMBERSHIP IS TWO
REGISTERED UNDER PART B	REGISTERED UNDER PART C
HAS SHARE CAPITAL	HAS NO SHARE CAPITAL
MAXIMUM 50 MEMBERS	NO MAXIMUM ON MEMBERS
MEMBERS LIABILITY IS LIMITED BY SHARES	MEMBERS LIABILTY IS LIMITED BY THEIR CONTRIBUTION
CAN BE BROUGHT TO AN END BY WINDING UP	CAN BE BROUGHT TO AN END BY DISSOLUTION
HAS MEMORANDUM AND	HAS PARTNERSHIP

ARTICLES OF ASSOCIATION	AGREEMENT
MANAGED BY A BOARD OF DIRECTORS	MANAGED BY DESIGNATED PARTNERS
STATUTORY PROVISION FOR SECRETARY	NO STATUTORY PROVISION FOR SECRETARY

FOREIGN LIMITED PARTNERSHIP (FLLP) (Focus)

If they do not register, then they cannot: **S. 788**

a. carry on business
b. Exercise the Powers of a Corporate Body
c. Have a registered address or Place of Business
d. No Address for Service Except Receipt of Notices, and other documents.

QUESTIONS

1. Can the Foreign LLP be exempted? Who gives the exemption?
2. What Procedure will you follow?
3. What are the Circumstances in which a Foreign LLP can be exempted?

See Section 788 and Regulation 25.

ANSWER

1. It must be registered however, **Yes**, The FLLP can be exempted by Virtue of Section 788(2) of CAMA. The Exemption is given by the **Minister of Trade and Investment**.

2. An application for exemption is made to the minister of trade **Section 80 (2)**
3. The circumstance which a FLLP can be exempted from incorporation are – **Reg 25 Companies Regulation 2021**
   1. LLP invited to Nigeria with the approval of the Federal Government to execute **any specified individual project.**
   2. LLP in Nigeria for the **execution of specific individual loan projects on behalf of a donor country or international organization.**
   3. LLP **owned by a foreign government and engaged solely in export promotion activities.**
   4. An engineering and technical expert engaged on any individual specialist project under contract with any of the governments in the Federation or any of their agencies or with any other body or person, where such contract has been approved by the Federal Government.

A FLLP within 30 days of the grant of exemption shall deliver to the Commission upon payment

INCORPORATED TRUSTEES OF ASSOCIATIONS – PART F

WHO MAY REGISTER?

Two or more trustees appointed by any community of persons bound together by custom, kinship or nationality or any association established for educational, literary, scientific, social, development, cultural, sporting or charitable purpose – may if so authorized apply to the commission to register **section 823 (1)**

Commented [MOU23]:
Instruction for Registering Incorporated Trustees
1.Name of the association
2.Aims and objectives
3.Names, addresses, occupation and ages of Trustees.
4.Powers, duties and tenure of office of Trustees.
5.Use and Custody of Common Seal.
6.Source of funding and application of funds.
7.Accounting and Auditing Procedure.
8.Availability of landed property.
9.Address of Registered Office.
10.Minutes of Required Meetings.

SUITABILITY OF INCORPORATED TRUSTEES

1. Suitable for a group people bound by a common tie which could be religious cultural, social, sport etc. **S. 823**
2. They come together for the furtherance of a charitable purpose
3. Corporate personality is granted to the trustees of such association and not the association itself. **S. 830**

Features of Incorporated Trustees (Exam Focus, April 2019 Q 6a)

1. **The Trustees are the only persons who obtain legal personality** not all the members
2. Incorporated Trustees makes use of **Constitution** which must contain clauses provided under CAMA
3. The Name must start with the words "Incorporated Trustees of …" **S. 825(1).**
4. It **does not do business and does not distribute profits.**
5. It receives incomes from grants, levies, dues to undertake its objects.
6. The body **is run by trustees Board of trustees**
7. Can sue or be sued in the name of incorporated trustees
8. The Association must show within two years of registration, **evidence of acquisition or interest in landed property.**

9. The minimum number of trustees/members is two (2) trustees **Section 823(1) (focus)**
10. Non-payment of tax
11. Assets transferred to bodies with similar objects or charitable organisations on dissolution (SPECIAL CLAUSE)

NOTE:

Organizations that are registrable under **Parts F of CAMA** as incorporated trustee **can operate or carry out its objects without registration** but cannot take advantage of the incidence of incorporation unless registered **Section** **(April 2017 Q 2, January 2020 Q 1b)**

POSER:

Advise the Trustees of a proposed Association on the legality or otherwise of carrying outs its objectives prior to registration. 2010 No 3(a)

The Trustees of an Association can legally carry out its objectives prior to registration and may even decide not to register at all if not so authorized by the association**.**

ADVANTAGES OF INCORPORATED TRUSTEES

1. It can carry on its aims and objectives prior to its registration (exam focus)
2. Its **more flexible to register since the requirement for consent of AGF is not applicable**
3. Its suitable for associations or organizations that might be **anti-government**
4. It's also exempted from paying tax

Contents/Clauses of The Constitution of Incorporated Trustees (Bar final August 2018 Q 2c, April 2019 Q 6b) - Section 827

1. The **name** or title of the association;
2. The **aims and objects of the association**
3. **Appointment, powers, duties, tenure of office and replacement of the trustees,**
4. The **use and custody of the common seal**, if there is one
5. **The meetings of the association**
6. The **number of members of the governing body**, if any, the procedure for their appointment and removal, and their powers,
7. **Source of funds, application of fund, accounts to be kept and auditors**.
8. **Special clause**

N.B

An Incorporated Trustee may alter its constitution **by resolution passed by simple majority of its members and approved by the CAC.** **S. 833 CAMA**

Qualification of Trustees (August 2018 Q2a, August 2019 Q3b, Dec 2020 Q5b)

Everyone is qualified to be appointed as a Trustee **EXCEPT** the following persons: **Section 826 CAMA**

a. A person of **unsound mind;**
b. An **un-discharged bankrupt;**
c. A person that has been **convicted for an offence involving fraud** or dishonesty **within 5 years** of his proposed appointment.
d. He is a **minor or infant below 18 years**. **(exam focus)**

NB-

Trustees can be changed at a general meeting with the approval o**f CAC S. 834**

Commented [MOU24]:

PROCEDURE FOR ALTERATION OF THE OBJECT/NAME OF THE IT

1.the trustees shall apply to the Commission in the prescribed form setting out the alterations desired and attaching a copy of the resolution approving the change and duly certified by the trustees

2.the Commission on receipt of the application shall consider it and, if satisfied that the change or alteration is prima facie lawful shall:

(a)cause the application to be published in two daily newspapers

(b)the corporation to display for at least 28 days a notice of the proposed change or alteration conspicuously mounted at the corporation headquarters, or at any branch office, or any such place where a majority of the members are likely to see it

(c)The publication and notices shall call for objections which, if any, shall state the grounds of objection and be forwarded to reach the Commission not later than 28 days after the last of the publications in the newspapers.

(d)If the Commission assents to the application, the alterations shall be made and in the case of a change of name, the Commission shall issue a new certificate in the new name in place of the former certificate.

A person disqualified that acts as a Trustee shall be liable to a penalty.

Suspension of Trustees

Trustees can be suspended under **Section 839** on the following grounds:

1. **Misconduct or mismanagement.**
2. For the **Protection of the property of the organization.**
3. For **Securing a proper application of the property of the organization towards the achievement of the objects**.
4. On the **ground of public interest.**
5. On **the ground that the affairs of the organization are run fraudulently.**

Persons That May Apply for Suspension of Trustees

The trustees may be suspended **on an application by way of PETITION** by the following:

a. **By the CAC.**
b. **One fifth (1/5) of members of the organization.**

Note: The petitioner must provide reasonable evidence – **Section 839(2)**

Upon hearing the application, the **court may appoint interim managers** with specific powers which may include exercising all the powers of the trustees.

Suspension of trustees must not exceed 12 months from the date of the order. Court may suspend other officers of the organization as well. The court may appoint additional trustees. Appoint an official custodian upon whom the property of the organization may be vested.

Procedure for the Incorporation of Incorporated Trustees (Exam Focus)

1. Obtain instructions
2. **Form CAC 1.1** Availability search and reservation of name (filled online).

Commented [MOU25]:
Section 839(1) allows the CAC to by order suspend the trustees of an association and appoint an interim manager or managers to manage the affairs of an association.

REG 28
The Commission shall not suspend a trustee unless such trustee has been
1.notified of details of the allegation of wrong-doing against him in writing by the CAC,

2.given fair opportunity to respond to the allegation of wrong-doing against him,

3.refused, after a period of 30 days or such other period as may be extended by the Commission, to remedy any wrong-doing established against him by a board of enquiry, provided that in granting any extension, the Commission shall have regard to the particular activities, tasks or requirements necessary to remedy the wrong-doing.

3. Preparation and submission of incorporation documents to CAC - **Form CAC/IT 01** and other necessary documents
4. Make a newspaper publication in at **least two national daily newspapers** to **last for 28 days**
5. Collect the Certificate of Incorporation of the Association from CAC

Documents Required for Registration of Incorporated Trustees (August 2017 Q 2b, August 2019 Q 3a): the documents required for registration of I.T are: **Section. 825**

1. **Form CAC 1** -Availability check and reservation of name with the name stated as "Incorporated Trustees of …"
2. Duly filled CAC **Form CAC/IT 01** (Application for registration IT)
3. **Two Copies of the Constitution of the association**
4. **Duly signed of the extract of the minutes of the meeting where the Trustees were appointed or elected**, having the list of members present and votes scored.
5. A Copy of the **Resolution adopting the Special Clause**
6. Impression of the proposed **common seal of the body.**
7. **Evidence of land ownership or an affidavit in lieu**
8. **Evidence of advertisement in Two National Daillies** calling for objections to the registration of the Association **within 28 days**.
9. **Two passport photographs of each of the Trustees**
10. Trustees Declaration Form duly sworn to by each trustee
11. **Application letter (addressed to the registrar)**
12. **Evidence of payment of the prescribed fees**
13. **Means of identification of each trustee**

<u>Statutory Books To Be Kept By Incorporated Trustees</u> (August 2019 Q 3d, Dec 2020 Q 5c)

1. Register of members
2. Register of trustees
3. Minutes Book
4. Books of Account
5. Asset register /property acquisition register

EFFECT OF REGISTRATION – Section 830

From the date of registration, the company shall become a body corporate and shall have

(a) perpetual succession
(b) a common seal if they so wish
(c) power to sue and be sued in its corporate name as such trustees

Differences between Company Limited by Guarantee (GTE) and Incorporated Trustees (I.T) (Highly Exam Focus see Bar Final 2016 Q 2, April 2017 Q 2, & April 2018 Q 3, January 2020 Q 1C)

1. A GTE is required to have a Memo and Articles of Association while I.T should have a constitution.
2. A company Limited by GTE may be allowed to **engage in small business** without sharing profit but I.T is **not allowed** to engage in business. **S. 26(1) and S. 823 (1)**
3. For I.T, there must be **evidence of advertisement** in two National dailies; this is **not required** for GTE. **S. 828**

4. A company Ltd by GTE requires the **consent of the AGF** before it can be registered; I.T requires **no consent of AGF** (consent of the registrar general needed for IT). **S. 26(4) & (5)**
5. There must be evidence of land ownership or undertaking in lieu for I.T; it is not required for GTE
6. For I.T the Association **can carry out its object without registration** but GTE must be incorporated before it can execute its object.
7. Incorporated trustees have trustees while GTE has guarantors
8. Extract of minutes of meetings appointing trustees and adopting special clause required for IT, but none for Ltd/Gte
9. Two passport of each Trustee is required for registration of I.T but not required for GTE.
10. For Incorporated Trustees, only the trustees acquire legal personality **S. 830** but for company limited **GTE all the members have legal personality**.

Commented [MOU26]: Number of people in attendance
Number of people elected
Votes for and against

The special clause must be explained before they adopted it

Similarities between a Company Limited By Guarantee and Incorporated Trustees

a. They are both non-profit making organizations.
b. Both bodies **enjoy tax exemption**. – **S. 23 Companies income tax Act**
c. They are both **administered by CAC and governed by CAMA**
d. Both have **no share capital**.
e. In the event of dissolution of these bodies and the **remaining assets must be transferred to an association/body with similar objects**. (**SPECIAL CLAUSE**) S. **26(9) and S. 850 (4)** & exam focus (STRIKING FEATURE)

Commented [MOU27]:

The existence of a Special Clause which states that in the event of the winding up/dissolution of the Association, and after the satisfaction of all its debts and liabilities, there remains any property whatsoever, the same shall not be paid to or distributed among the members of the association, but shall be given or transferred to some other institutions having objects similar to the objects of the body. Such beneficiary institutions shall be determined by the members of the association at or before the time of the dissolution

NB – With regards to the special clause for incorporated trustees

beneficiary institutions shall be determined by the members of the association **AT OR BEFORE** the time of the dissolution. **S. 850(4)**.

If distribution under **S. 850(4),** cannot be achieved then the remaining property shall be transferred to some other charitable object. **S. 850(5)**.

MERGERS OF Incorporated Trustees:

1. Can be voluntary by the organization **– S. 849**
2. Compulsorily by the CAC **– S. 831**

Two or more associations with the same aim and objectives may merge on the following grounds: Section 849, Regulation 35

a. Where the organizations have similar objectives
b. Resolution passed by **75%** of the members of each organization
c. **Publication in 2 dailies giving room for objection to be raised**
d. **Display of notice of the proposed merger** at the HQ and branches of each of the associations **for at least 28 days**
e. **Scheme of merger sanctioned by the federal high court**

NB

A Company is prohibited under Section 43 (2) CAMA from directly or indirectly making any donation or gift of any of its properties or funds to a Political Party or Political Association

ANNUAL RETURNS FOR INCORPORATED TRUSTEES – MARCH 2021

Q.4 – Section 848 CAMA

The trustee of the association **shall not earlier than 30th June or not later than 31st December** (other than the year in which it is incorporated) submit to the CAC **Form CAC/IT 04** a return showing the following:

1. the **name of the association**,

2. the **names, addresses and occupations of the trustees**, and members of the council or governing body,
3. **particulars of any land held by the corporate body during the year**,
4. **Any change which has taken place in the constitution of the association during the preceding year.**
5. **Audited statement of accounts for the year of return.**

Bi-Annual Statement of Affairs

This is provided for under **Section 845 CAMA**. It is made up to the **30th day of June** and filed not later than the **15th day of the following month.**

The second Annual Report is made on the 31st day of December of each year and filed not later than the **15th day of the following month**. The Statement is filed in form **CAC/IT 5**. Penalties ensues for failure to file in the past.

NOTE: Accounting Records to be kept for **six (6) years**.

EFFECT OF INCORPORATION: August 2011 No 4(a)(ii)

1. Legal Personality: upon incorporation a company becomes a person at law distinct from the members that formed it – **Salomon v Salomon**
2. Power to own land
3. Power to sue and be sued – **Kate enterprises v Daewoo**
4. Perpetual succession

Dissolution of Incorporated Trustees - S. 850(1) CAMA

Persons that petition for dissolution of I.T; (April Bar final 2019 No 6d)

The Petition for dissolution of I.T can be brought by any of the following persons:

1. The **Governing Council or Board of Trustees**

Commented [MOU28]:
Community in which the organization is operating can petition through CAC.

Community can initiate such petition where the activities of the organization are contrary to public policy or violates the values of the people of the community.
Persons that may be put on notice pursuant to **Section 850(3)** include **creditors and person instrumental to the dissolution**. In this case the petition is filed by CAC not the community because the Community lacks locus.

2. One or more trustees of the association
3. Members of the Association constituting at least 50% of the members
4. The Corporate Affairs Commission

Grounds For Dissolution **Section 850 (2) CAMA** **(April Bar Final 2019 No 6e)**

The grounds for the dissolution of incorporated trustees may be any of the following:

1. Realization of the aims and objects no useful purpose would be served by keeping the corporation alive
2. That the body corporate is **formed to exist for a specified period and that the period has expired**
3. Aims and objects of the association **have become illegal or contrary to public policy;**
4. That it is **just and equitable to do so in the circumstances**
5. The **certificate has been withdrawn or cancelled by the commission**

PROCEDURE FOR THE DISSOLUTION

1. It is dissolved voluntarily by an **Ordinary Resolution** passed by not less than 50 % of the members on any of the grounds stated above
2. File a Petition to the Court for a formal and effectual dissolution

All the persons likely to be affected by the dissolution (e.g. creditors/trustees) shall be put on Notice**.**

The rule guiding the distribution of the assets of an Incorporated Trustee is that May 2012 No 6(d)

1. the income and assets of the association shall be applied solely towards the promotion of the objects of the body and

2. no portion of it shall be paid or transferred by way of profit to the members of the body; and that if,
3. in the event of a winding up or dissolution of the body, there remains, after the satisfaction of all its debts and liabilities, any property, the same shall not be paid to or distributed among the members of the association, but shall be given or transferred to some other institutions having objects similar to the objects of the body, or transferred to some charitable objects. Section

What is a Special Clause? 2010 No 3(g)

The Special Clause is a Clause in the Constitution of an Incorporated Trustee that provides for the application of the income and property of the association to the effect that the income and assets of the association shall be applied solely towards the promotion of the objects of the body and no portion of it shall be paid or transferred by way of profit to the members of the body; and that if, in the event of dissolution of the body, there remains, after the satisfaction of all its debts and liabilities, any property, the same shall not be paid to or distributed among the members of the association, but shall be given or transferred to some other institutions having objects similar to the objects of the body, or transferred to some charitable objects.

Draft the special clause of the Constitution of an Incorporated Trustees May 2012 No 6(b)

In the event of dissolution of the incorporated trustees, there remains, after the satisfaction of all its debts and liabilities, any property, the same shall not be paid to or distributed among the members of the association, but shall be given or

transferred to some other institutions having objects similar to the objects of the body, or transferred to some charitable objects.

OR

In the event of Dissolution and after the discharge of its debts, any assets of the company remaining shall not be distributed among the members, but shall be transferred to organizations with similar objects.

Instructions for registering IT

1. Name of the association and alternative if any
2. Aims and objective
3. Name, addresses, occupation and ages of trustees
4. Powers, duties and tenure of office of Trustees.
5. Use and custody of common seal
6. **Sources of funding and application of funds**
7. **Accounting and auditing procedure**
8. **Availability of landed property**
9. Address of registered Office
10. Minutes of required meetings

ETHICAL ISSUES

ethical implication of a Legal Practitioner who was given instructions and paid money to incorporate a company and he failed to incorporate the company and refused to take the calls of the client**. 2009 No 1(h)**

It amounts to a breach of trust and a breach of professional responsibility for a legal practitioner to fail to carry out the instructions of his clients for which the legal practitioner may face disciplinary actions and punishable punishments under **Section 11 LPA.**

PROMOTION AND PRE INCPRPORATION-MATTERS

Promoters are those that undertakes to take part in the forming of a company in reference to a given project and to get it going **and who takes steps to bring a company into existence; Section 85 CAMA, Twycross v Grant.**

Persons rendering professional/technical or ministerial services e.g Solicitors, Accountants, Valuers or Business Consultants in the formation of a company **are not promoters**. **Garba v Sheba Intl (Nig) Ltd**

DUTIES OF A PROMOTER

1. Duty to account for money/properties received in the course of the promotion activities - ***Garba v. Sheba Intl. Ltd,* Section 86(2)**
2. Duty **not to make secret profit**; where made, it must be returned to the company.
3. Duty to disclose conflicting interests in transactions with the company.
4. Duty of Skill and Care
5. duty not to expose the company to loss – **Section 86 (1).**

Implication of Promoter not making full disclosure is:

The company may rescind the contract or the company may refuse to ratify the contact if it hasn't been ratified (But if it has been ratified you cant rescind it)

You can't also rescind if the company cannot be rescinded to its status quo so you sue for damages**. Gluskstein v Barnes**

LIABILITIES OF PROMOTERS - Section 86 CAMA

Where there is a breach of the duties imposed on a promoter, the company can take any of the following actions for redress:

1. Action to render account of money or property received in the course of promotion activities.
2. Action to account for secret profits made which was discovered by company.
3. Action for damages for wrongful exploitation of confidential information. (Fraudulent misrepresentation)
4. Refusal to ratify pre-incorporation contract tainted with conflict of interest.
5. Action to rescind contracts perfected not by the Promoter.
6. Action for rescission of the contract after the contract has been ratified **Section 86 (3)**

There is no time limit for instituting action against promoters **Section 86(4).** The court **in equity** may **look at lapse of time** due to circumstances of the case.

REMUNERATION OF PROMOTERS

Promoters are generally not entitled to remuneration

EXCEPTIONS to the above are:

a. The **Articles** of Association of the company **allows the directors to pay**

b. The promoters **entered into a pre-incorporation contract with the proposed company to pay**

c. The promoters entered into a personal contract with the persons instructing them to float the company.

d. In lieu of payment a promoter may take up shares in the company which will be credited as fully paid up or be given shares to be paid for within a specified period at par where such shares would have appreciated

ADDITION – YOLA CAMPUS

1. they can only be remunerated based on an agreement duly ratified.
2. Articles may provide for the payment of preliminary expenses to promoters.

ENUGU CAMPUS, THEY CAN BE RENUMERATED BY:

1. Reselling property to the company at an enhanced price; or
2. Receiving commission provided he discloses it to board of directors independent of him, existing or potential members or members at GM
3. Taking up Deferred or Founders Shares; or given options to subscribe for shares at a particular price within a specified limit.

PRE - INCORPORATION CONTRACTS (Exam Focus)

Pre-incorporation contracts are contracts entered into by any person on behalf of a company before its incorporation; **Sparke Electrics Nig. v. Ponmile**

LEGAL STATUS OF PRE- INCORPORATION CONTRACTS

- **Common Law Position:** under the common law**,** the company is not bound by the contract and cannot ratify it upon incorporation; ***Kelner v. Baxter; Edokpolor v. Sem Edo Wire Industries Ltd***

- **The Companies and Allied-Matters Act:** the promoters are **personally liable but** upon incorporation the company may ratify the pre-incorporation contracts and it becomes binding-**S. 96 CAMA, Societe General Bank (Nig) v. Societe General Favouriser.**

  It is only when the contract is ratified that it **WILL BE ENFORCEABLE** against the company and the company can derive benefit from the contract as if the company was in existence at the same time of the formation of the company see **Section 96**

NOTE

Before such ratification, if there is no express agreement to the contrary, the promoter will be personally liable and can benefit therefrom.

Essence/Importance/Need of Pre-Incorporation Contracts (Exam 2018 Q 1e)

3. It **enhances privacy** by ensuring that private matters are not necessarily included in the MEMOART
4. It allows for detailed issues relating to operation of the company to be addressed
5. It helps to define the role of parties in the operation and management of the company
6. It facilitates for amicable settlement of disputes.
7. It helps to **ensure compliance with the provisions of relevant laws**

RATIFICATION OF PRE- INCORPORATION CONTRACTS

The company cannot ratify an oral contract or promise to pay sums of money incurred by the promoters on behalf of the company, so there must be a formal contract executed to that effect, ***Garba v. Sheba International (NIG) Ltd***

PIC may be ratified by the following: **Section 86(3)(a)-(c).**

(a) the company's board of **directors independent of the promoter**;

(b) all the **members of the company;**

(c) the **company at a general meeting at which neither the promoter nor the holders of any share in which he is beneficially interested shall vote on the resolution to ratify that transaction.**

RELATIONSHIP BETWEEN MEMOART AND PIC

When the pre-incorporation documents **contradict** with the object clause of a company, **then it will be declared Ultra vires**, meaning it cannot be ratified.

The implication or effect of incorporating a pre-incorporation agreement into the MEMOART **does not make it binding but a strong indication that the company will ratify it**

N.B Where there a conflict between MEMOART and pre-incorporation contract, **the memorandum prevails**. **Edokpolar and Co. Ltd V. Sem-Edo Wire Industries**

To make a pic binding on the company it will be best if the company make provisions for it to be part of the regulations of the company in the articles

Types of Pre-Incorporation Contracts (April 2018 No 4, April 2019 Q, April 2019 Q 4c)

1. **Joint Venture Agreement;** (where there is Aliens/foreigners in the Company)
2. **Shareholders' Agreement.**
3. **Memorandum of Understanding**
4. **Conversion, Merger and Take Over Contracts**
5. **Directors' Service Contract**
6. **Confidentiality/Non-disclosure Agreements**
7. **Contract for payment of promoter's expenses.**
8. **Contract for acquisition of property.**
9. **Technological Acquisition Agreement**

State clauses you will include in the (Pre incorporation contract) Memorandum of Understanding. 2010 No 1(d)(ii)

CONTENTS:-

1. **Authority;**
2. **Signatories;**
3. **Management;**

4. **Employment requirements;**
5. **Employment conditions;**
6. **Wages/Salaries;**
7. **Capital contribution;**
8. **Effective Date;**
9. **Subcontracts;**
10. **Community development;**
11. **Termination;**
12. **Dispute resolution;**
13. **Governing law;**

Clauses in JOINT-VENTURE AGREEMENT (exam focus)

1. Parties;
2. Commencement date;
3. Management structure;
4. Capital contribution;
5. Profit and loss sharing;
6. Supremacy clause;
7. Confidentiality clause;
8. Duration;
9. Determination;
10. Accounts;
11. Governing Law;
12. Arbitration Clause; etc

CHAPTER FOUR

FOREIGN INVESTMENT AND PARTICIPATION IN BUSINESS IN NIGERIA

INTRODUCTION (Mostly compulsory question)

Foreigners willing to do businesses in Nigeria can participate subject to the provisions of Nigerian law- **Section 20(4) CAMA**

LEGAL FRAMEWORK & REGULATORY AUTHORITIES ON FOREIGN PARTICIPATION IN NIGERIA

	E N A B L I N G L A W	REGULATORY AGENCY	PERMIT/APPROVAL/FUNCTIONS
1	Companies and Allied Matters Act (CAMA), cap C20 LFN 2020	Corporate Affairs Commission (CAC)	Incorporation of Nigerian Companies for FDI and companies without exemption saddled with the **responsibility of registering the company**.
2	Nigerian Investment Promotion Commission Act, CAP NII7,LFN 2004	Nigerian Investment Promotion Commission (NIPC)	Regulates & Promotes investment activities. Registers a foreign company after incorporation in Nigeria and before start of business- s.17 NIPC act

3	Investment Securities Act (ISA)	Securities & Exchange Commission (SEC)	Regulates the registration of securities, records of FPI and FDI-s.8
4	Immigration Act	Nigerian Immigration Service (NIS)	Regulates the entry of aliens into the country. Supervises and grants visa, Business Permits, Residence perm, expatriate quota and work permit-**S. 8 of the Act**
5	National Office for Technology Acquisition and Promotion Act	National Office for Technology Acquisition & Promotion (NOTAP)	Registration of technology transfer from foreigners to their partners in Nigeria. Gives Certificate of Approval
6	Customs & Excise Management Act	Board of Customs	Regulates importation and exportation of goods. Imposes import & export duties
7	Federal High Court Act	Federal High Court	Resolution of disputes arising from company matters
8	Foreign Exchange (monitoring & miscellaneous provisions) Act	Central Bank of Nigeria (CBN)	Capital importation through an Authorized Dealer. Issues Certificate of Capital Importation

Commented [MOU29]:
Any securities of a public company allotted to an alien must be registered with the Securities and Exchange Commission.

Commented [MOU30]:
Any contract or agreement between a Nigerian and an alien that has to do with transfer of technology not yet known in Nigeria must be registered with NOTAP.

Commented [MOU31]:
An alien must import capital through an authorised dealer and obtain certificate of capital importation.

9	Stamp Duties Act	Federal Inland Revenue Service	Prescribes the quantum of duties or taxes to be paid before registering certain document for incorporation (memo & Art)

10. Industrial Inspectorate Act

ASSURANCES/GUARANTEE FOR INVESTMENT PROTECTION OF FOREIGNERS UNDER THE CURRENT REGIME (August 2018 Q 1h, August 2019 Q 1b) 🔄

1. Free importation of capital through authorized dealers.
2. Companies can repatriate the whole of their profits net of taxes
3. Effective dispute resolution mechanism based on international arbitration and treaty (bilateral investment treaties exist between Nigeria and other countries which may contain some dispute resolution mechanisms). **S.26(2) NIPC**
4. Guarantee for non-nationalization of companies or **prompt** and **adequate compensation in the event of nationalization**. **S. 25 NIPC**
5. **freedom to invest in any sector in Nigeria Except with respect to the negative list**
6. There can be wholly owned foreign companies.

MODES OF FOREIGN PARTICIPATION IN BUSINESS IN NIGERIA

1. FOREIGN DIRECT INVESTMENT (FDI)

This is a process where foreign investors **participate directly in business in Nigeria by incorporating a company in Nigeria either solely or through joint**

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Any company that is going to incur additional expenditure of not less than N500,000 may apply to the Director of the Industrial Inspectorate Division of the Federal Ministry of Industry, Trade and Investment for waiver.

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GUARANTEES UNDER THE NIPC ACT:
A.100% Ownership: Section 17 and 18 of the NIPC Act
B.Purchase of shares in convertible currency – Section 21
C.Non-nationalization and expropriation – Section 25
D.Effective Dispute Resolution Mechanism – Section 26
E.Guaranteed repatriation of profits, proceeds and capital

venture with Nigerians. **(April 2019 Q 2b)**. The investors may or may not have already existing company in their home country. In either case, a Nigerian company must be formed and registered in Nigeria with the CAC **S. 19 NIPC** and thereafter with the NIPC **S. 20 NIPC** (unless the company is exempted).

A non-Nigerian may now freely invest and participate in the operation of any enterprise in Nigeria **EXCEPT** enterprises in the "**Negative List**" **S.17 NIPC**

Negative list is defined under **Section 31 NIPC** Act to include:

a. Production of Arms and Ammunition.
b. Dealing in narcotics and psychotropic drugs.
c. Production of military and paramilitary wears and accruements.
d. Any other item that may be included by the FEC.

2. FOREIGN PORTFOLIO INVESTMENT

Portfolio investors participate by purchasing shares in existing PUBLIC companies (listed/not listed) **S. 21 NIPC**. Passive investment is **FPI** and is provided for under **S.21 NIPC**

STEPS TO REGISTER A COMPANY WITH FOREIGN PARTICIPATION –2009 2016,

1. Securing an address in Nigeria for service of documents
2. Prepare a Joint Venture Agreement or other pre-incorporation contracts suitable to the case (where there will be Nigerians involvement).
3. Take steps to form a company to be Registered with CAC. **S. 19 NIPCA**
4. Import Capital from authorized dealers **and obtain certificate of capital importation from CBN through the dealer.**
5. Register with NIPC. **S. 20 NIPCA**

Commented [MOU34]:
WHAT TO DO WHEN A FOREIGNER WHO WANTS TO DO BUSINESS DOES NOT WANT TO OFFEND THE LAWS

NB- APPLY TO THESE OTHER BODIES WHEN IT FITS THE SCENARIO – POINT 7

a.Application to NOTAP for registration of agreements for transfer of technology

b.Application to the Director of the Industrial Inspectorate Division of the Federal Ministry of Industry, Trade and Investment for waivers

6. Application to the SEC for the registration of Securities/investment S. **154 ISA**
7. Apply for relevant permits. This depends on the industry that the company will be operating in.
8. Apply for reliefs and incentives where applicable

REQUIREMENTS (DOCUMENTS) FOR REGISTRATION WITH NIPC – 2010

Note that all companies with foreign participation must be registered with NIPC and the requirements are as follows:

1. **Complete NIPC Form 1**
2. **Pay a non-refundable fee of N15,000.00 (15k)**
3. **Partnership or Joint Venture Agreement where applicable**
4. **2 Copies of receipt of payment of application fee**
5. Copy of certificate of incorporation of the company
6. Copy of MEMO & ART
7. **Tax Clearance Certificate for the applicant company**
8. Receipt of payment of stamp duties of the applicant company
9. **Feasibility report and project implementation program**
10. **Title deed or lease for business premises**
11. **Training program for Nigerian Staff**
12. Particulars (name, address, occupation and nationalities) of directors including NRD
13. Job title and designation of positions to be filled by expatriate quota Information brochure on foreign partner.
14. **Information brochure, if any, on the foreign company**

FOREIGN COMPANY

A foreign company is a company registered elsewhere than Nigeria- **Section 868**

A foreign company cannot carry on business in Nigeria **UNLESS it is registered as a Nigerian Company** – **Section 78 of CAMA**, **Agip (Nig) Ltd v. Agip Petrol International**.

Any company or officer that permits **a foreign company** to **carry on business without registration is subject to criminal and penal liability. Section 79.**

The effect of carrying on such business without registration is that any such contract entered therein is void and a nullity**.**

EXEMPTED COMPANIES :

FOREIGN COMPANIES QUALIFIED FOR EXEMPTIONS. 80 (1)(a) – (d); (August 2017 Q 1C, August 2019 Q 1C)

The class of foreign companies qualified for exemptions are:

1. **Section 80 (1)(a)** companies invited to Nigeria by or with the approval of the FG for a **SPECIFIED INDIVIDUAL PROJECT**,

Commented [MOU35]: Foreign companies invited to Nigeria by the federal government to execute any specified individual project

Note paragraph (d) has to do with consultancy, technical expert and specialist. Therefore paragraph (a) has to do with a project that is not a specialist project.

2. **Section 80 (1)(b)** foreign companies in Nigeria for the execution of a **specified loan project** on behalf a donor country or international organizations. (Key - **SPONSORED PROJECTS)**.

3. **Section 80(1)(c)** **foreign government owned companies** involved **SOLELY** in **EXPORT promotion activities** - **(**key: **ownership structure (government) scope of business (export)**.

4. **Section 80(1)(d)** engineering **consultant, technical experts, engaged in a specialists project under contract invited by the government, or any of its agencies or any other body or person for a contract approved by Federal Government.**

Carrying on Business v. Suing and being sued

Section 84(b) permits for a foreign company to sue or be sued in its name or the name of its agent without registration as a Nigerian Company

N.B

Foreign company have the right to sue and be sued in Nigeria

APPLICATION FOR EXEMPTION (always asked to draft the letter of exemption; August 2017 Q 1a, April 2019 Q 2a)

An application for exemption shall be in writing **addressed** to the **Minister of trade Section 80 (2);**

Documents To Be Attached to An Application of Exemption: (August 2019 Q

Commented [MOU36]: In your letter add this as ENCL

1. Name and Place of business **outside** Nigeria
2. Name and place of business **in** Nigeria
3. The **name and address of each director**, partner or other principal officer **of the foreign company.**
4. **A certified copy** of the charter, statutes, or MEMOART of the company a certified copy of the translation of the instrument where necessary.
5. Business or proposed business in Nigeria and **duration**
6. **Particulars of any project previously carried out by the company as an exempted foreign company**

7. Name(s) of the **person(s), resident in Nigeria, who are authorized** to **accept on behalf of the company, documents and notices required to be served on the company**.
8. Such other documents as may be required by the minister or secretary to the government of the federation

NOTE THE FOLLOWING:

Approval is given by minister for a project or series of projects **Section 80 (3)**

Exemption may be revoked where the company: **Section 80(5).**

1. breached the provisions of CAMA
2. failed to meet to meet any condition contained in the exemption order

Approved exemption is published in a gazette by the minister. S.80(6)

Notice is given to CAC within 30 days of the grant of such exemption **S. 80 (7). Failure to notify the CAC** the FC is liable to a penalty. **S. 80 (8).**

STATUS OF AN EXEMPTED COMPANY

a) An Exempted Foreign Company has the status of an **Unregistered Company. Section. 82**. The effect is that the company is exempted from payment of all company taxes.

b) An exempted company can only execute the project contained in the exemption order, **if it intends to carry out any other project; it must take steps to be incorporated with CAC**; **section 78 CAMA. (focus)**

c) An exempted company must deliver/file Annual Reports every year with the CAC in the prescribed form- **Section. 81 CAMA**

POSER:

State the position of law in Nigeria on the issue of a foreign company, carrying on business in Nigeria in its own name without registering a Nigerian Company. **2010 No 4(a)**

The position of law on the issue of a foreign company seeking to carry on business in Nigeria is that a company having the intention of carrying on business in Nigeria shall first obtain incorporation as a separate entity in Nigeria for that purpose. **Section 78 CAMA**

However, **Section 80(1) of CAMA** provides that a foreign company may be exempted from registration if it belongs to any of the following categories or types of companies –

a) A foreign company invited to Nigeria by or with the approval of the Federal Government to execute a specified individual project.
b) A foreign company which is in Nigeria for the execution of a specific individual loan project on behalf of the donor organisation or agency.
c) A foreign government-owned company engaged solely in export promotion activities.
d) Engineering consultants and technical experts engaged on any individual specific project under contract with any of the governments of the Federation or any of their agencies or with any person where the Government has approved such contract.

To benefit from such exemption, the company needs to apply for exemption from the minister of trade through the Secretary to the Government of the Federation.

IMPORTATION OF CAPITAL BY FOREIGN INVESTORS

After a foreign company /investor have obtained registration with the NIPC, its capital can be imported by any of the following:

a. Importation of equipment/ raw materials

b. Importation of cash

c. Importation of cash indirectly through the Debt-Equity Conversion Programme (DMO)

Importation of Capital through Foreign Exchange (Monitoring & Miscellaneous Provisions) Act

A foreign investor wishing to buy shares or import foreign capital/loan for doing business in Nigeria should freely import the capital through an Authorized Dealer, which currency is convertible into the Naira at the official foreign exchange market.- **S. 12, 13, 15 Foreign exchange (monitoring &miscellaneous provisions Act)**

PROCEDURE (in the exam you may be asked to advise the foreigners on what to do to bring in the foreign capital or loan; this is the answer)

a. This can be done by buying Nigeria Debt instrument abroad from any Stock Exchange at a discount rate.
b. A Certificate of Capital Importation will be issued to the Foreigner.
c. The foreign company/investor will then present the CCI-Certificate of Capital Importation to the Central Bank of Nigeria through authorized dealers usually Banks.
d. The CBN will pay the face value of the Certificate of Capital Importation in naira.

Incentives/Advantages of Capital Importation/Foreign Loan (April 2019 Q 2c)

a. It enables the opening of foreign currency domiciliary accounts with Banks in Nigeria
b. The foreigner can open a Special Non–Resident Naira Account.

c. The foreigner can buy shares in Nigerian companies out of the naira account.
d. It aids repatriation of capital, dividends and incomes without restrictions at autonomous market rates minus taxes.
e. Unconditional transferability of funds through an authorized dealer in freely convertible currency **S. 24 of the NIPC Act**
f. The company will be exempted from Money Laundering investigations.

Necessary Permits Required by Foreign Investors (August 2018 Q 4e)- S. 8 Immigration Act

A foreigner must obtain the following in order to do business in Nigeria as follows:

1. **VISA**

This is a permit to enable a foreigner to enter a country. This is a major immigration requirement of a foreigner that intends to do business in Nigeria.

There are two types of visas;

a. Cable visa (Temporary Work Permit)(TWP) and
b. Business Visa/STR Visa for Residence Work

A foreigner who is granted cable visa to visit Nigeria **within three months** on **Subject to Regularization (STR)** is to regularize the visa by changing his status from that of a **visitor to that of a resident** by converting it into **CERPAC**-(**Combined Expatriate Residence Permit and Alien** Card) **within 56 days.**

2. **RESIDENCE PERMIT**

An alien desirous of entering Nigeria for the purpose of residence shall, **unless exempted** may be issued a residence permit; **S. 10(2) Immigration Act; CERPAC** is compulsory for aliens staying for more than 56 days.

3. EXPATRIATE QUOTA AND WORK PERMIT

Expatriate quota- is a permission given to a business concern to employ **non-Nigerians**.

Expatriate Quota is given to a Nigerian registered company or a foreign company to employ foreigners granted by the Minister of Internal Affairs (Minister of Interior).

It is the **duty of the Company** employing a foreigner to obtain the expatriate quota/work permit; ***Oliver v. Dangote Industries PLC*; Oilfields Supply Center Ltd v Johnson S. 34 Immigration Act (MCQ)**

Types of Expatriate Quota:

a. **Permanent Until Reviewed(PUR)** issued to the **Chairman/Managing Directors** of the company
b. **Temporary** granted **for a minimum of 5 years** renewable for **2 years-S. 34 Immigration Act.**

4. BUSINESS PERMIT

This is the consent given by the **Minister of Internal Affairs (Minister of Interior)** to a foreign owned company to carry on business in Nigeria.

It applies to wholly foreign owned company, **where there is Nigerian Participation, Business permit is dispensed with (MCQ)**

Where the foreigner is carrying on business under a registered business name, **the individual foreigner not the company that applies for the business permit.**

A foreigner who intends to practice his profession in Nigeria needs a business permit whether or not he will do it with Nigerians

Application may be made **through the executive secretary of NIPC**

The authorized share capital of the applicant company must not be less than N10 million.

NOTE- if you are asked in exam to state the necessary permit a foreigner requires for doing business in Nigeria you state**:**

1) Visa,
2) Residence permit
3) Business permit (if theres no Nigerian participation)
4) Expatriate quota.

NB: Only residence permit and Expatriate Quota have been combined to be **CERPAC**

Incentives/Reliefs To Foreign Investors In Nigeria (Exam focus)

1. **Pioneer Status:**

   A company which enjoys pioneer status is granted tax exemption on its statutory income. It is a five-year tax holiday granted to industries located in economically disadvantaged LGA's (Local Government Areas) of the Federation (Granted for 3 years and can be extended for another 2 years).

QUALIFICATION FOR PIONEER STATUS

a. Incur a capital expenditure of **not less than One hundred Million Naira (an indigenous company may also enjoy pioneer status)**
b. Bring the application **within one year of commencement of production activities**
c. The application is made to the NIPC in the prescribed form accompanied with the necessary document

Commented [MOU37]:

1.Where the company exports not less than 60% of what it manufactures, the company will not pay tax for three (3) years.

2.Where the company continues to export not less than 60% of what it manufactures in the subsequent years, the company will have 10% tax relief.

3.If the company obtains foreign loan, interest from such loan will not be taxed.

4.If the company obtains loan from a Nigerian Bank, interest from such loan will not be taxed.

5.If the company uses all the profit it makes to purchase raw materials or machineries, the company will not be taxed for that year.

6.If the company is located within an area designated as Export Processing Zone (EPZ), the company will not pay tax for three (3) years and will import free of import duties.

7.Relief from double taxation

8. Utilisation of local raw materials attracts tax waivers.

9.Pioneer status

10.Relief from double taxation

11.Relief from commonwealth taxation

12.Importation of raw materials to manufacture goods for export will attract duty drawback/suspension scheme

13.If the company is located within an area designated as Economically Disadvantaged Area, the company will not pay tax for seven (7) years.

14.The foreign currency earned from such export will be deposited in a domiciliary account without converting it to Naira and interest from such domiciliary account will not be taxed.

15.Expenses incurred in research and development will be deducted before taxing the company. In other words, the company enjoys 20% tax credit for engaging in research development

... [1]

Commented [MOU38]:

Pioneer Status Certificate is issued by NIPC to the effect that the company is exempted from payment of tax for three years, which can be extended for a period of one year and thereafter another one year, or for one period of two years (Section 10(2)(a)(b) IDITRA); INDUSTRIAL DEVELOPMENT (INCOME TAX RELIEF) ACT

Three regulatory Agencies are:
1.Nigerian Investment Promotion Commission
2.Industrial Inspectorate Division
3.Ministry of Trade and Investment

Requirement for Application for Pioneer Status check

a. Company must be registered with NIPC as a company with foreign participation.
b. Company must fall under the category for the exemption
c. The application must be submitted within the first year of capital expenditure.
d. Complete NIPC Form II
e. Payment of processing fee
f. Payment of service charge deposit.

2. Repatriation of all **(100%) capital** imported without seizure is guaranteed to foreign investors.

3. **Tax relief on double Taxation Treaties:** The **foreign** Nigerian company is exempted from taxation provided **its parent company** abroad has paid its tax. **S. 33 of the Companies Income Tax Act**

4. **Tax Relief on Foreign Loan - S. 11(1) CITA** provides for tax exemption/relief on foreign loan
   a. If the loan is to be repaid after 10 years, the interest is exempted from tax.
   b. If the loan is to be repaid between 5 – 10 years, then the tax the interest accruing should be half of the chargeable tax.

5. **In-Plant Training:** Applicable to industrial establishments that have set up in-plant training facilities. Industries in this category **enjoy 2 percent tax concession for five years**.

6. **Investment infrastructure incentives:** Granted to industries that ordinarily should have been provided by the government e.g. access road, pipe borne water and electricity. They enjoy 20% of the cost of providing these facilities.

7. **Export Free Zone Allowance** The profits of export oriented businesses are given **100% tax exemption**. No payments of import / export duties or permits are needed in **export free Zones. The conditions are:**
   a. It is a new business
   b. The business uses new plants and machinery
   c. The export proceeds is solely up **to 75 %** of its turn over
   d. The business is registered with the **National Export Promotion Commission**. S**. 35 of the Companies Income Tax Act.**

8. **Duty drawback/ suspension scheme**
   This provides for the refund of duties or surcharges on raw materials, including packing and packaging raw materials used for the manufacturing of products, upon effective exportation of the final products. **Must be made within 2 years from date of importation**

9. **Incentives Under Bi-Lateral Investment Treaties:** Some of the incentives under this category include:

a. ECOWAS trade liberalization scheme- removal of import and export duty on some products from the West African sub-region including free movement of goods and services.
b. Common Wealth Tax relief- reciprocal tax relief arrangement among common wealth countries.

10. **Special Incentives:** **Section 22 of the NIPC Act** empowers the NIPC to negotiate, with the appropriate government agencies, special incentives for strategic or major investments

INDUSTRY BASED RELIEFS

(1) **Oil and Gas Free Zone (2010):** This encourages investments within the oil and gas sector. It is characterized by

a) exemption from income tax, while promoting 100% repatriation of capital, profit and
b) no pre-shipment inspection of goods imported into the free zone. The zone encompasses Onne, Calabar and Warri.

Some other incentives under the oil and gas industry include;

I. upstream gas exploitation,
II. downstream gas utilization,
III. gas production,
IV. gas transmission and distribution,
V. other petroleum incentives for companies in joint venture with NNPC.

AGRIC AND AGRO ALLIED

A. Enhanced Capital Allowance
B. Agriculture Credit Guarantee Scheme (Loan guarantee of up to 75%). The fund guarantees the repayment of principal and interest for those in the Agri-industry up to 75%.
C. Exemption from minimum Companies Income Tax for **4 years** initial period and same can be extended.
D. Indefinite carry forward of losses (benefit for tax in subsequent years).

HOSPITALITY/TOURISM INDUSTRY

A. 25% OD Income in convertible currency is exempted from tax.
B. Provision of social amenities in tourism zones.
C. Loans with longer moratorium.
D. Provision of land for tourism development at affordable rates etc.

INCENTIVES UNDER SOLID MINERALS

A. Exemption from Companies Income Tax for the 3 years for a new company going into mining of solid minerals.
B. Depreciation on Capital Allowance
C. Extension of infrastructure to mining sites.
D. Deferred royalty payment.
E. Exemption from payment of custom and import duties etc.

MANUFACTURING INDUSTRY

A. Manufacturing in bond scheme – incentive companies that import raw materials to produce goods for export with a bond issue by a financial institution to repatriate export proceeds.
B. 60% interest repayment for those in cassava processing under the ACGS (Agricultural Credit Guarantee Scheme)

CHAPTER FIVE

POST- INCORPORATION MATTERS

PRELIMINARY MATTERS BEFORE COMMENCEMENT OF BUSINESS

After incorporation but before a company commences operation, it must do the following:

PUBLICATION OF CERTAIN PARTICULARS

a) Publication of company name - **S. 729 CAMA.**
b) Production of company seal, if authorised by the company's articles – **S. 98, 99 and 840.**
c) Submission/Display of statement of affairs in the prescribed form- applicable to banking & insurance companies (**s. 733 CAMA).**
d) Certificate of incorporation – the company is required to display the certificate conspicuously in all its offices.

1. **PUBLICATION OF THE NAME OF THE COMPANY; S. 729(1)(a) – (c) CAMA** provides that a company preparing to commence business must publish its Name in 3 main forms as follows:-
   a. Publication of Name in the Name Plate-if trade name is used, RC NO must be affixed

b. Publication of Name in the Common Seal.

c. Publication of Name in official documentation and Bills of Exchange.

Consequences of Failure to Publish Names: S.729(2)(3)

a. The company shall be **liable to a fine as fixed in the companies regulation for everyday it carries on business** during which its name is not so published in its name plate. **Section S.729(2)**;

b. **Every officer of that company who knowingly and willfully** authorizes or permits default shall be liable to like penalty; **S.729(3)**;

c. The company shall be guilty of an offence and liable to a **fine** for not publishing its name in the common seal, official documentation and Bills of exchange. **S.729(3)**;

2. **KEEPING OF STATUTORY BOOKS/RELEVANCE (August 2018 Q 5a, August 2019 Q 2a &b March 2021**)

A company upon incorporation is to keep some statutory records/books at its registered office which include the following:

1) **Register of Members: Section. 109, CAMA (All companies)**

   1. To keep records of names and **particulars of existing and former members**
   2. it shall be done **within 28 days of incorporation or becoming or ceasing to be a member.**
   3. This is **kept in the registered office** or other arranged accessible place within Nigeria and if kept outside the Registered Office, CAC must be notified. – **Section 110**
   4. Failure to keep the register of members will attract such penalties as may be fixed by CAC on the company and its officers **Section 109(4)**

2) **Register Of Charges-S. 216, CAMA**

a) This Register is to be kept by **Private and Public Limited** Companies

b) It records charges – fixed and floating, created by the company on its assets.

c) It is open for inspection to creditors and members.

d) It is to be kept in the company's registered office.

3) **Register Of Debenture Holders-S.218 CAMA**

i. This Book is to be kept by **Private and Public Limited Liability companies as well as Unlimited Liability Companies only.**

ii. It records the names and particulars of Debenture holders and the details of the term of issue, **The 30 days of creation and 30 days of ceasing.**

4) **Minutes Book- Section. 266 CAMA (all companies except small)**

i. The minutes Book is to be kept by **all** the types of companies except a single member company.

ii. It records proceedings of meetings, **signed by Chairman** as prima, facie evidence of events at the meeting.

iii. It is kept in bound book or leaflets or electronic storage device easily retrievable.

iv. The Minutes Books is available for inspection by members **within 6 hours per business day** without charge, but **fee** is to be paid for making **a copy to be certified** by the **Company Secretary.**

5) **Register of Directors Shareholding-S. 301 CAMA (except of Gte)**

i. This Statutory Book is to be kept by **Private and Public Limited Companies** only.

ii. It is used to record shares or debentures in which Directors hold in the company.

iii. It is open for inspection to CAC always.

iv. It is also open for inspection by members and debenture holders **14 days before** and **3 days after AGM.**

6) **Register of Director -S. 318 (all companies)**

i. This applies to **all** companies. It used to record the Names and Particulars of **current and past** Directors

ii. The company is to notify the CAC **within 14 days of appointment** or ceasing to be a director or Secretary.

7) **Accounting Records- S. 374 CAMA (all companies)**

i. This "book" is to be kept by **all** the types of companies

ii. This reflects the Financial Records of the company sufficient to show and explain the transactions of the company.

8) **Index of Members- S.111 CAMA (public companies)**

This is to be kept once the **members exceed 50** members. It contains the name and particulars of members. Applies **only to a public limited company.**

9) **Register of Substantial shareholding in a public company - S. 120 (Public companies)**

i. It applies to only a **Public Limited Company.**

ii. It is used for **recording** acquisition of **5% unrestricted voting right in AGM of PLC**

iii. This is to be **kept at the Registered Office** or another arranged place with notice to CAC **Section 122(2)**

10) Register of interest in shares – S. 122

a. It applies to only a **Public Limited Company.**

11) Register of Secretaries 336 CAMA (Public companies)

i. It used to record the Names and Particulars of every Secretary of the company. its applicable to Public companies

NOTE: not compulsory for small companies **S. 330(1)**

STATEMENTS REQUIRED UNDER S.733

- It is required from Banks, Insurance Companies, deposit, provident or benefits societies **BEFORE COMMENCING BUSINESS**.
- The return gives the position of the authorized share capital of the company, called shares and uncalled shares.
- It also gives a statement of the assets and liabilities of the company
- In addition, the statement is required to be filed **every 1st Monday in February and every 1st Tuesday in August**
- Requirement for the display of the statement conspicuously at the registered office.
- Members and creditors are entitled to a copy of the statement upon payment of necessary fees

- Liability in the event of default upon the company, is on the director and manager **S733(4)**
- The statement filed before commencement of business is called statement of affairs.

3. CORPORATE SEARCHES

Reasons for Corporate Searches:

1) It is a **means of verifying the profile of the company.**
2) It is also **useful in determining how the company has operated or complied with the law.**
3) **used to verify entries made by applicants,** who wish to open an account for a corporate organization.
4) Used to **confirm whether the company was duly incorporated**

Procedure for Corporate Searches at CAC

1. Formal application (could be made in the prescribed form).
2. Payment of the prescribed fee.
3. Payment of CTC fee (where requested for).
4. Payment of Annual Returns (not in all cases)
5. Preparation of search report and attach CTC where applicable.

CONTENTS OF A SEARCH REPORT

1) Date of search
2) Place of search
3) Name of company
4) Company Number: (Registered Certificate Number)
5) Registered office address of the company

6) Date of Incorporation
7) Business/objects of the company
8) Borrowing powers
9) Share capital
10) Shareholders
11) Shareholding
12) Directors
13) Company secretary
14) Any change in the registered particulars such as alteration conversion or re-registration
15) Any encumbrance
16) Filing of annual returns
17) Remarks (If any)
18) Name and signature of the legal practitioner who conducted the search

A forwarding/covering letter should accompany the search report

CONVERSION AND RE-REGISTRATION OF COMPANIES (Big focus)

PROHIBITED RE-REGISTRATIONS

A. Unlimited -Limited- Limited - Unlimited
B. Limited - Unlimited - Unlimited - Limited
C. Private-Public-public-private

NB: Form CAC 4 is used for notifying the CAC of re-registration. See Schedule to Companies Regulation 2021

1. **Re-Registration of A Private Company (Ltd) To A Public Company (PLC)- S. 56 of CAMA**; The main reason for doing so is usually to raise or increase the share capital of a private company. (**this is usually comes out in exam**)

THE PROCEDURE:-

1. Board Resolution proposing the conversion and Re-registration from Ltd-Plc
2. Board authorizes the Company Secretary to issue Notice of GENERAL MEETING usually Extra-Ordinary General Meeting, but may come up as a special business in AGM
3. At the General Meeting board passes **Special Resolution** authorizing the re-registration and alteration of the MEMO & ART in line with the status of the company
4. At the time of passing the special resolution, the following conditions have been met: **Section 57** **FOCUS**
   a) The company must have a share capital (Note implication on LTD/GTE)
   b) Minimum issued share capital is is not less than N2 million in accordance to **Section. 27(2)**
   c) **Paid up share capital is not less than 25% of the nominal share capital**

5. Application is made to CAC for re-registration in **FORM CAC 4** with the following attached documents
   a. Copy of the **Special Resolution** that the company should re-register as a public company
   b. copy of the altered MEMOART as proposed to be amended
   c. **Balance sheet made not more than 7 months before application for re-registration was made to CAC Section. 58 (1).**
   d. A **copy of valuation report pursuant** to **Section 60 (2) (d)**
   e. receipt of filling Annual returns up to date
   f. Duly signed statement of compliance**. S. 56(1) (c) (ii)**

Commented [MOU39]:
The requirements are as follows; Section 57.
a.Passing of a special Resolution.
b.Requirements as to capital.
c.Requirements as to assets.
d.Recent allotment of shares for non cash consideration.
e.Consequential alterations to be made to the written documents.

6. If CAC is satisfied, a new Certificate of Incorporation indicating that it is a PLC is issued-**Section 62 (3) CAMA**

Consequential Alterations after Conversion (August 2017 Q 5d, April 2018 and August 2019 Q 4b)

Alterations To The Memorandum of Association

1. Alteration of name clause to end with **PLC**
2. Alteration of the Minimum issued **share capital clause** to meet legal minimum for PLC
3. Alteration of status clause to show that it is a public company

Alterations To The Articles Of Association – August 2011

1. The name must be changed to PLC
2. **Removal of the restriction on the transfer of its shares**
3. **Regulation on appointment of Directors** (with respect to 70 years age requirement)
4. **Amendment of the qualification of the company Secretary**
5. **Written Resolutions not to be allowed.**

2. Re-Registration of A Public Company (PLC) To A Private Company (LTD)- Section. 63 of CAMA.

THE PROCEDURE: S. 66 CAMA, generally

1. Board Resolution proposing the conversion and Re-registration from Plc-Ltd
2. Issuance of notice of GM by the secretary

3. At the General Meeting pass a Special Resolution authorizing the re-registration and alteration of the MEMO & ART in line with the status of the company
4. **Wait after 28 days** of passing the resolution for any application to cancel the resolution at the FHC by dissentient members, the court may:
   a. confirm resolution
   b. Cancel the resolution or
   c. make such orders as it deems fit in accordance with the circumstances
5. If no application is made to cancel the re-registration, then **within 15 days after the end of the 28 days**, deliver a copy of the order to CAC and make an application to the CAC using **Form 4** and attach the following documents:
6. **Document to accompany application for re-registration** under **S. 63** include:
   a) Copy of the special resolution
   b) Copy of the proposed amended memo and art
   c) Evidence of availability of name
   d) Copy of Court order where applicable
   e) Statement of compliance
   f) Payment of annual returns to date
   g) Payment of filing fees

7. Issuance of a certificate of incorporation if CAC is satisfied that the company is entitled to re-registration **S.67(2)**

N.B – MCQ

Commented [MOU40]:
They are
Section 64(1) members who can make an application for cancellation

a.holders of at least 5% in nominal value of the company's issued share capital

b.if the company is not limited by shares at least 5% of its members;

c.by at least 50 members of the company, but not by a person who has consented to or voted in favour of the resolution.

After re-registration a company **must forward to members** a copy of the statutory report **at least 21 days before the day** on which the statutory meeting is held

RE-REGISTRATION OF PRI. COMPANY LIMITED BY SHARES AS UNLIMITED- LTD-UNLTD Section 68 CAMA, while the procedure and documents are provided under **S. 69**

PROCEDURE:

1) Board resolution proposing the conversion and re-registration
2) Issuance of notice of GM by the secretary
3) General meeting is convened where the **Unanimous assent of all members of the company is passed in support of the re-registration S.68(1)(a).** Note the position of a trustee in bankruptcy and a personal rep.
4) Consequential amendment to the MEMO and ART
5) Application is made using Form **CAC 4** to the CAC authorized by a director or secretary
6) **Documents accompanying the application:**
    a. **Prescribed assent** duly authenticated by all members or persons lawfully authorized by them **S.69(2)(a).**
    b. Proposed amended MEMO and ART
    c. **Statement of compliance to include the fact the assent was executed by the whole members personally or their lawful representatives**, **S.68(1)(c) (ii).**
    d. Annual return
    e. Filing fee
    f. Certificate of re-registration issued

RE-REGISTRATION OF UNLIMITED COMPANY AS PRIVATE COMPANY LTD BY SHARES Section 71 CAMA

PROCEDURE:

1. Board resolution proposing the conversion and re-registration (special resolution to state if company will be ltd by shares or Ltd/Gte)
2. Issuance of notice of GENERAL MEETING
3. At the meeting Pass a special resolution authorizing the conversion to re-register as ltd **The resolution shall state the proposed authorized share capital** and the necessary consequential alterations in the MEMOART for the private company Ltd by shares.
4. At the time of passing the special resolution, the following conditions must have been met:
   a. The **company must not have been previously re-registered as unlimited**
   b. The **resolution** for the re-registration shall **specify whether the company is to be limited by shares or by guarantee**
5. Application is made to the CAC using **FORM CAC 4** with the following documents;
   a) Copy of the special resolution duly passed
   b) Proposed MEMOART as altered in line with the resolution.
   c) Payment of registration fees
   d) Evidence of filing of Annual Returns to date
   e) Statement of guarantee if the company is to be Ltd/Gte,
   f) Statement of compliance
   g) Return of allotment of shares to be made 15 days after re-registration.

6. Issuance of certificate of incorporation if CAC satisfied that the company is entitled to be so re-registered. S.73(1)(2)

RE-REGISTRATION OF PLC AS ULTD

S.75 provides for the re-registration of a PLC as ULTD

a) It requires the assent of all members
b) The company must not have been previously re-registered as Ltd or ULTD

Note the position of trustee in bankruptcy or personal rep to assent on behalf of member represented.

The following documents are to be accompany the application:

1. Duly completed assent form
2. Amended MEMOART
3. Statement of compliance, to include that all the members signed the assent form or it was signed by their lawful representatives
4. Evidence of availability
5. Annual return
6. Filing fee
7. Certificate of re-registration issued.

CHANGE OF CORPORATE NAME – Section. 30(1)(4)

Circumstances Warranting Compulsory Change of Name – resit 2022

a. **Inadvertent registration of a new company by a name of already existing company** or so nearly resembling it as to be likely to deceive. ***Niger Chemists v. Nigeria Chemists – S.30(1)***

b. That the **company's name conflicts with an existing trade mark or business name** registered in Nigeria **without the consent of the owner of the trade mark**. **S.30(4)**

c. **Upon a successful passing off action;** see ***Halifax PLC v. Halifax Re-Possession Ltd &Ors.***

PROCEDURE:

1. **Amendment and request letter**: existing company writes to the erring company to voluntarily change its name within a reasonable time
2. **Protest letter**: if the erring company fails to comply within time, the aggrieved company will write a protest letter to the CAC requesting that the commission direct the erring company to change its name
3. **Investigation by the CAC**: to know who registered first
4. Direction by the CAC

Guide to drafting letter of protest and request the CAC to direct a company to change its name:

a) Use company's letter head paper or solicitor's letter head paper as the case may be
b) The CAC may direct that a company changes its name if it discovers by itself that the there is a conflict with an earlier registered name
c) Title of the letter should read **"Protest and request to Compel…..to change its name pursuance to section 30(1) CAMA**
d) Preamble: **history of both companies** (date of incorporation and RC No.
e) Body: state the **effects or consequences of allowing both to continue using their names** and request the CAC under **S. 30(1)** to compel the other company to change its name
f) Conclusion: **attached relevant doc** and **director/secretary/solicitor signs.**
g) The commission may request change of name after reservation before registration if it discovers conflict after approval of name

PROCEDURE FOR VOLUNTARY CHANGE OF NAME S. 30(3) CAMA; (Exam Favorite Take Note) 🔄

1. Pass Board Resolution proposing the change of name with suggestion of new names
2. **availability check and reservation of name**
3. issuance of notice of meeting of GM usually (EGM) to members
4. At the meeting, Pass a **special resolution** for the approval of the change of the company name
5. Make consequential alterations on the Memorandum and Articles of Association in line with its new status
6. Make an application to the CAC for its consent on the change of name attached with necessary documents to wit:
   a. Notice of special Resolution
   b. Application for consent to change the name of the company, using **Form CAC 3** (Notice of Change of Name of a Company)
   c. copy of the Memorandum and Articles as proposed to be amended
   d. original Certificate of Incorporation
   e. Evidence of filing annual Returns
7. **CAC will then advertise the change of name in its official Gazette**
8. CAC will issue a new Certificate of Incorporation.

Commented [MOU41]:
REQUIREMENTS/DOCUMENTS FOR THE CHANGE OF COMPANY NAME

1.Availability search and reservation of new name

2.Notice of change of the name of a company (Form CAC 3) - to be authorised by a director, secretary or any other appropriate officer of the company

3.Special resolution stating the change desired, duly signed by director (s) of the company

4.Surrender of the original certificate of incorporation for cancellation

5.Payment of filing fees

6.Up-to-date annual returns

POST-REGISTRATION PROCEDURE

1. **Alteration of company seal** (where the company's articles provide for the use of seal), certificates, letterheads, etc.
2. Effect the alteration in the memorandum and articles of association, issued after the approval of the new name

3. **Advertisement of the change of name in a daily newspaper circulating nation-wide**
4. Advertisement of change of name in the official gazette of the federation

NOTE: it is now the duty of the CAC to advertise in a national daily newspaper and on its website. - **see s. 30 (7) CAMA**

NOTE – focus, Section. 30 (6) CAMA

The **change of name does not affect any right or obligation of the company, or render defective any legal proceeding by or against the company**, and any legal proceeding may be continued or commenced against or by it in its new name.

CHANGE OF REGISTERED ADDRESS OF A COMPANY

PROCEDURE:

1. Pass Board Resolution proposing it
2. Secretary sends 21 days' notice of meeting
3. Pass **ordinary resolution** of the company approving it
4. Fill Form **CAC 3A-** Notice of registered address to reflect the new office address
5. Write an application to CAC to note the change attached with the following:

a. Board and company Resolution approving the change
b. Filled Form CAC 3A- Notice of change of registered office
c. Receipt of filing fees

ALTERATION OF OBJECT CLAUSE OF A COMPANY S. 50 of CAMA

PROCEDURE: (April 2019 bar final Q 5a, b&c)

1. Board resolution proposing the alteration, which may be in whole or in part
2. Company secretary sends **21 days'** notice of a GM in writing to members and debenture holders secured by floating charges. **S.51**
3. At the meeting Pass special Resolution approving the alteration of the objects of the company as contained in the memorandum
4. Company allows **28 days** of passing the resolution for any objection and application to court for the cancellation of the resolution by aggrieved minority members and debenture holders secured by floating charges. **S.51(3)**
5. if no objection is made within **28 days, within 15 days** expiration of the **28 days**, deliver to CAC :
    a) a copy of the special resolution for the alteration
    b) altered MEMO and ART
    c) updated annual returns
    d) Evidence of payment of prescribed fees

    (stop here if no objection is made and CAC is satisfied)
6. If CAC is not satisfied. by the resolution, it notifies the company and the company/aggrieved members can appeal to the FHC **within 21 days** of receipt of CAC notice of refusal
7. If the appeal succeeds, **within 15 days** deliver to the CAC:
    a) CTC of the court order confirming the resolution altering the object clause
    b) A printed copy altered MEMO and ART

8. Where an application is made to cancel the resolution is made to court by the aggrieved minority members or debenture holders within 28 days of passing, the company notifies CAC

CHANGE/ALTERATION OF SHARE CAPITAL

A company's share capital can alter in any of following modes: **Ordinary resolution**

1. Increase in share capital - Section **128**
2. Reduction in share capital - Section **130**
3. Consolidation of all the shares and division into shares of larger amounts – **S.126 (1) (a)**
4. Subdivision of shares into shares of smaller amounts – **S.126 (1) (b)**
5. Conversion of paid-up shares into stock and reconversion – **S.126 (1)**

CAC should be notified within 1 month – **S.128 (1)**

Procedure For The Increase Of Share Capital of A Company: S. 127 CAMA (August 2017 Q 3ei) 🔄

1. Pass Board Resolution proposing the increase and authorizing the secretary to take necessary steps to effect the increase.
2. Issuance of notice of meeting
3. At the meeting an **ordinary resolution** is passed approving the increase
4. Prepare and deliver to CAC **within 15 days** of the passing of the Resolution attached with the following **documents**: August 2011
   a. **Copy of the notice of increase**
   b. **Statement of increase duly stamped**
   c. Copy of Resolution of the Board and the company approving the increase

d. Statutory declaration by Directors **verifying the fact that 25% of total share capital has been issued**

e. Evidence of payment of annual returns up to date

f. Altered MEMOART reflecting the new issued capital

5. Obtain **Certificate of increase** from CAC.
6. Annex **a copy** each of the Resolution and **the Certificate of Increase** to the MEMO**.**

Note the procedure where there is need to obtain approval for increase of share capital from a regulatory agency **S 127 (2)-(5):**

A. Notice to CAC **within 15 days** **supported by a verifying affidavit** on the need to get special approval.

B. Period is deemed extended with a period **not later than 10 days** from the date of approval

C. Successive notices **after 48 days of approval** not granted.

D. If approval is not obtained **within 9 months**, the resolution lapses and becomes null and void.

REDUCTION OF SHARE CAPITAL section 131 CAMA

FORMS OF REDUCTION OF ISSUED CAPITAL - **S 131 (2) CAMA**

1. By extinguishing or reducing the liability on un-paid shares.
2. Cancel paid up shares lost or un-represented by available assets.
3. Cancelling paid up shares in excess of the company's wants

Procedure For Reduction of Share Capital (Dec 2020 Q 1a) SECTION. 130

1. Board Resolution proposing the reduction of the share capital
2. **Preparation of the Scheme of Reduction.**
3. Secretary issues notice of meeting (usually EGM), **accompanied with explanatory circular and the scheme of reduction**
4. At the meeting Special Resolution will be passed reducing the share capital and approving the scheme of reduction – S. 131
5. Apply to the Federal High Court to **confirm the reduction and approve the scheme of reduction.**
6. Deliver to CAC the following documents:
   - **a)** Copy of the Special Resolution
   - **b)** CTC of the order of court approving the Scheme of Reduction
   - **c)** Extract of minutes of meeting approving the Scheme of Reduction.
   - **d)** Updated Annual Returns
   - **e)** Receipts of payment of the filing fees.

7. Obtain from **CAC Certificate of Registration of Court Order** confirming the reduction and the Extract of Minutes of Meeting adopting the Scheme and annex same to the Memorandum and Articles Association of the company.

ALTERATION OF THE ARTICLES OF ASSOCIATION OF A COMPANY - S. 52 & 53 of CAMA;

PROCEDURE:

1. Board Resolution proposing the alterations.
2. Convene General Meeting of members and enclose the Resolution Notice.
3. At the General meeting, a special Resolution is passed altering the relevant provisions of the articles.
4. Stamp the altered Articles.

5. Deliver to CAC **within 15 days** of passing the Resolution:
   a. Printed copy of the Resolution.
   b. Copy of duly stamped Articles as altered.
6. Evidence of payment of Annual Returns up to date.

NOTE:

In all the procedures the first 4-5 steps are almost the same at least always remember those ones in case they decide to mark according to the number of procedures you get. .

CHAPTER SIX
CORPORATE GOVERNANCE I & II, COMPANY DIRECTORS AND SECRETARY

CODES OF GOOD CORPORATE GOVERNANCE IN NIGERIA

The following indigenous Codes have been released by different regulatory agencies to ensure good corporate governance in Nigerian Companies: **(Bar final January 2020 Q 5a)**

1. Code of Corporate Governance for Public Companies 2011 by SEC
2. Code of Corporate Governance for Pension Operators 2008 by PENCOM
3. Code of Corporate Governance for Telecommunication Companies.
4. Code of Corporate Governance for Banks, Discount Houses and other Financial Institutions 2014 by CBN
5. Code of Corporate Governance for Insurance Industries
6. **OECD** Code of Corporate Governance

The two main Codes with relevant provisions are:

a. Nigerian Code of Corporate governance
b. Code of Corporate Governance for Discount Houses, Banks and Other Financial Institutions.

The first Code is applicable to all public companies and it made the following provisions (Bar final August 2017 Q 4e, 2018 Q 5c, August 2019 Q 2d&e, January 2020 Q5b)

1. The **composition of the Board of Directors** of a public company shall be at **least 5 members** and the **majority shall be non-executive directors**.

2. The **chairman** of the company is to be **appointed from the non-executive directors**

3. **Prohibition of the combination of the offices** of the **chairman and CEO**

4. **2 members of the same family shall not be in the Board of directors of a public company at the same time.**

5. The **company must have a strong independent Auditor who must not be a staff of the company.**

6. The **proceedings of the Board shall be 3 meetings in a year with each director attending at least 2.**

7. Whistle blowing: reporting unethical or illegal practices S. 32

The second Code applies to Banks alone and it made the following provisions:

1. Quantum of Shares: **no single individual shall hold more than 5% of the shares of a Bank**
2. Tenure of office of a Managing Director of a Bank shall be 2 tenures of 5 years each (appointed for 5 years and can be re-appointed for another 5 years only)

DIRECTORS

A director is a person duly appointed by a company to manage the affairs of that company; **S. 269(1).** Director is the alter ego of a company-***Yalaju Amaye v.Arec***

Presumption of Due Appointment

There is presumption of due appointment of any person held out by the company as a director – **S.269 (2)**

PENALTY

a) The person not duly appointed, who holds himself out as a director: He is liable to a term of 2 years imprisonment or a fine as the court deems fit. Such fine shall be payable for each day the defaulter acts without due appointment. **269 (3), Olufosoye v Fakorede**

b) Where it is the company that holds out such a person as a director: It is liable to a fine in such amount as the Commission shall specify in its regulations for each day during which the default took place. **S.269 (4) CAMA.**

TYPES OF DIRECTORS

Commented [MOU42]:
various types of directors that can manage the affairs of a company limited by shares.
1.Executive or special directors
2.Non-executive directors
3.Shadow directors
4.Alternate directors
5.Assignee directors
6.Life directors
7.Independent directors

SHADOW DIRECTOR

a person on whose direction and instructions the directors are accustomed **– S. 270.**

EXCUTIVE DIRECTORS :-

They hold service contract and are employees of the company involved in the daily running of the company and **are normally paid salaries** – See **Longe v. FBN.**

NON-EXECUTIVE DIRECTOR: -

They are board members who attend board meetings and general meetings of the company. They are not servants of the company but its alter ego and **are not paid**

salary but out of pocket expenses. Salary is paid only when the articles permit that.

INDEPENDENT DIRECTORS S.275 (3): Independent director means a director who, in the two years preceding is nomination the relevant director or his relative was not:

(a) Was not an employee of the company;

(b) did not Make or receive payments from company exceeding N20,000,000(20m)

c) was not engaged directly or indirectly as an auditor of the company

By the provisions of **S. 275 of CAMA**, a public company shall have at least 3 independent directors.

Commented [MOU43]: nor own (directly or indirectly) more than 30% of the shares of an entity that received such a payment from the public company;

LIFE DIRECTOR – S. 281

This is a person appointed a director of company for life which means that he is not subject to the rotation of directors but he is removable under **S. 288 of CAMA; BY AN ORDINARY RESOLUTION and SPECIAL NOTICE IS GIVEN.**.

MANAGING DIRECTOR

Per S. 88(b) unless otherwise provided in the articles, the board of directors may from time to time, appoint one or more of their body to the office of managing director and may delegate all of their powers to such MD. Also **S.289(5) CAMA** permits the board to delegate their powers to the Managing director

This is a director appointed by the Board of directors to run the day-to-day affairs of the day company. Their appointment may be terminated like that of any other employee. If so terminated, **he reverts to the position of an ordinary director. Where the members remove him as a director, he ceases to be both a director and the managing director – Yalaju Amaye v AREC**

CHAIRMAN - focus

The directors may elect a Chairman of their meetings and determine the period of which he shall be in office. if no chairman is elected or if at any meeting the chairman is not present **within 5 minutes** after the time appointed for the holding of the meeting, the directors present may choose one of their members to be the chairman of the meeting – **Section 289(6).** The Act restricts the chairman board of directors of a public company from acting in dual capacity as the CEO of the same company – **S. 265(6)**

NUMBER OF DIRECTORS

The minimum number of directors of a company is **2 directors**, **except a small company section 271 CAMA, the articles may fix a maximum number**

NOTE:

If the number falls below 2 the company must within 1 month appoint another or shall not carryon business after the expiration of the 1-month period. **S. 271 (2)**

Any director acting without filing the vacancy **after 60 days** shall be personally liable for all the debts incurred by the company within that period **– S. 271 (3).**

The directors may increase the number of directors as long as it is not above the maximum numbers but the general meeting has power to increase or decrease the number of directors generally **Section 274(3)**

APPOINTMENT OF DIRECTORS (exam area: August 2014 Q 4a, 2016 Q 6)

1. **FIRST DIRECTORS:**

   These are directors appointed by the **Subscribers to Memorandum of Association**. They may also be named in the article of association **- S. 272**

2. **SUBSEQUENT DIRECTORS:**

   a. By members at Annual General Meetings; **Section 273(1)**

   b. By personal representatives or creditors where all the directors and shareholders die; **Section 273(2)**

   c. **By board of directors to fill casual vacancy arising out of death, retirement and resignation SUBJECT to ratification by members** at the next annual general meeting. **S.274**

Commented [MOU44]:
may re-elect or reject directors and appoint new ones.

NOTE: Appointment of Directors after Death of all Directors and Shareholders (exam area).

The **Personal Representatives** of the dead directors and Shareholders shall apply to the Federal High Court for an order to convene a **General Meeting** of all Personal Representatives of the shareholders to appoint new directors. Where they fail to convene the meeting; the **CREDITORS** if any, shall do so **S. 273(2) CAMA (see January 2020 Q 2e)**

QUALIFICATION OF DIRECTORS (Exam Focus)

Anybody can be appointed as a director of a Company **EXCEPT** the following persons: **Section. 283**

1. **Infants** under 18 years of age **(totally prohibited)**
2. A person disqualified under **section 279** (insolvent persons), **section 280** (fraudulent persons), and **section 284** (vacation of office).
3. A person **suspended or removed** under **S. 288** of the Act
4. Person of **unsound mind**;
5. A corporation other than its representative appointed to the board for a given period (section 283).

Commented [MOU45]:
i.e share qualification, resignation in writing etc;

NOTE S. 280 restrains persons who have been adjudged fraudulent in relation to company matters by the court, from taking part in the management of a company for a specified period **not more than 10 years.**

POSER

What is the legal implication of a person's conviction for fraudulent misrepresentation in his capacity as a Director of a Company. **August 2011 No 5(b)**

Section 283 provides for the category of persons who are disqualified from holding office as Directors. One of such persons is the person disqualified under **Section 280 CAMA.**

By Section 280, a person who has been found guilty, while as an officer of a Company, of any fraud in relation to the Company shall be disqualified from holding office as a Director of the Company or take part in the management of the Company for a specified **period not exceeding 10 years.**

AGE OF DIRECTOR (Exam Focus)

A director must be **above 18 years** of age. Therefore, **A MINOR CANNOT BE A DIRECTOR. – Section 283**

Section 278 requires that where a person **who is 70 years** is to be appointed a director of **public company** he/she **shall** disclose this fact to members in general **meeting**

THE EXCEPTION, a person may be appointed a director who **is 70 years** notwithstanding his age **PROVIDED special notice** is given of the resolution appointing or approving the appointment of such a director, and the **notice given to the company and** by the company to its members **shall state the age of the person to whom it relates. Section 282**

Failure to disclose his age and multiple directorships, will attract a fine/penalty; S. **278(3)**

POSER

Examine the possibility of appointing a 72 year old man and a 16 year old as Directors of Axe (Nig) Plc. August 2011 No 5(c)

An adult is qualified for appointment as a Director of a Company. But in the case of a Public Company, a person above the age of 70 years owes the Company the duty to disclose his age to the members at the general meeting. **Section 278**. Failure to so declare his age renders the person guilty of an offence and liable to a fine. The notice seeking to appoint a 72 year old man must state the age of the person.

An infant, being a person less than 18 years old is disqualified from appointment as a Director of a Company. **Section 283(a) CAMA**

ROTATION OF DIRECTORS (see August 2014 Q 4b, 2016 Q 6, January 2020 Q 5c) 🔄

If **no provision** on the retirement or rotation of directors is made in the Articles of Association of a company, then the provisions of the CAMA can apply which are as follows: **Section 285**

1. At the first **Annual General Meeting (AGM),** all the directors **(excluding life directors)** are to retire.
2. In any **subsequent AGM, one-third (1/3)** of the directors must **retire to the nearest whole number** in their order of appointment (i.e. first to be appointed retires first).
3. Where two or more directors are appointed the same day, retirement shall be by casting a lot **unless they agree among themselves who should retire first**. **(stop here when asked for the principle)**

4. Where a director at **retirement** presents himself for **re-election** then whether the company is silent or not, he is deemed to have **been re-elected** as a director, unless:
   a. There is a resolution not to fill the vacancy or
   b. The resolution for his re-appointment was put to the meeting and he lost or
   c. Another director has been elected in his place.

REMOVAL OF DIRECTORS (exam focus; April 2019 Q1b) 🔄

First look at **the Articles of Association** of the company if it has clauses on the removal of a director, if yes then that should be followed. If not, CAMA applies

The Procedure is as follows: Section 288, Yalaju Amaye v A.R.E.C Ltd

1. Check to find out if direct and simpler power of removal other than S. **288** is provided by the articles or contract of service and apply it if available.
2. The person proposing the removal will send a **SPECIAL NOTICE** to the company **at least 28 days** before the date of the meeting
3. Upon receipt of the notice, the secretary to the company will:
   a. Send a copy of the Notice for his removal to the director concerned.
   b. Issue a notice of meeting to members **AT LEAST 21 DAYS** before the date of meeting which is **ACCOMPANIED** by any representation made by the director **and state the fact of the representations having been made**
4. At the meeting:

Commented [MOU46]:
PROCEDURE FOR REMOVAL UNDER S. 288

1.Check to find out if direct and simpler power of removal other than S. 288 is provided by the articles or contract and apply it if available.

2.The person wishing to remove the director issues special notice of the resolution to the company.

3.The secretary upon receipt of the notice will;
a.Send a copy to the director concerned,
b.Issue notice of meeting together with the special notice to members
c.The notice will be accompanied by any representations made by the director and state the fact of the representations having been made.

4.At the meeting, audience will be given to the director to make his representations and an ORDINARY RESOLUTION will be passed removing the director

5.The company secretary will notify CAC by filing Form CAC 7A within 14 days of removal

CONSEQUENTIAL ALTERATIONS
1.The Secretary will alter the Register of Directors S. 318
2.Register of Directors' Residential Addresses – S. 320
3.Register of Directors Share-holding – S. 301 of CAMA.

a. Give audience to the director and read to the members his representations if they were received too late or were not sent to the members owing to the company's default; and

b. Pass an **ORDINARY RESOLUTION** the removal of the director.

5. Company notifies the CAC using **Form CAC 7A**- notice of removal of directors to reflect the removal, attached with the said Resolution **within 14 days**.

6. The company is to make the changes in its Register of Directors and where necessary and also amend the register of directors' shareholding**.**

POSER

What are the options available to a Board of Directors of a company for the removal of the Managing Director? 2009 No 5(d)

There's no provision in the Act for the appointment, discipline or suspension of an executive director (the managing director is also an executive director). Provisions for suspension or general discipline may be made in the contract of service or the Articles of Association of a company. **Longe vs FBN**

In **U.O.O (Nig) Plc v Okafor (2020) NWLR Pt 1736** the court held that There's no provision in the CAMA for the appointment, discipline or suspension or removal of a managing director from office. **Be that as it may the Chairman of the BOD or MD can be removed summarily for serious misconduct or when there is crisis of confidence between him and the shareholder.**

The Effect of Non-Compliance with the Above Procedure:

A director who's removal is not in accordance with the procedure under the CAMA, the removal will be **invalid and void** and such will be **set aside**; see

Longe v. First Bank PLC*, *Yalaju-Amaye v. AREC e.g failure to issue notice to the director sought to be removed

NOTE: That **the Board of directors cannot remove a director** (including a managing director). A director can only be removed at the **General Meeting** in accordance with **section 288 of CAMA** above; (**see April Bar Final 2019 Q 1a & b, Dec 2020 Q 6d).**

Remedies For Wrongful Removal of A Director: (Dec 2020 Q 6dii)

1. **A declaration that the removal was wrongful hence Null and void-** ***Awoyemi v. Solomon***
2. Seek for an **Order of Court re-instating him as a director**
3. **Compensation for loss of office**
4. Seek for damages for the unlawful removal

REMUNERATION OF DIRECTORS – S. 293

Directors of a company **are not entitled to remuneration unless** expressly stated in the Articles of Association. **S.293(4).**

The **remuneration of directors** shall be determined from time to time by the **members in general meeting** and shall be deemed to accrue from **day to day**. **Section 293(1) CAMA.** The articles of association may also fix directors remuneration where the articles fixes it, it is **only alterable by a special resolution** – **Section 293(3)**

However, **Executive/Managing directors** are entitled to remuneration since they are considered as employees of the company with Service Contracts

NOTE: that directors will always be entitled to refund of **out of pocket expenses** expended in discharging their official duties on behalf of the company**.**

MULTIPLE DIRECTORSHIPS

A person shall not be a director in more than **5** public companies. Any person who is a director in more than five public companies shall, at the next annual general meeting of the companies after the expiration of 2 years from the commencement of this Act, resign from being a director from all but five of the companies.

DUTIES OF DIRECTORS: -

Directors are in fiduciary relationship with the company, all their duties therefore flow from the fiduciary duty that they owe the company. **S. 305**

1. **Duty to act in the best interest of the company** – A director must separate his personal interest from the interest of the company. The test is subjective which depends on each circumstance, but the director must have displayed faithfulness, diligence, carefulness and ordinary skill.

2. **Duty not to fetter discretion**- Discretion will be fettered when for example the director uses the right to vote for a collateral reason.

3. **Duty to avoid conflict of interest** - Personal interest must not conflict with duties as a director (especially in making secret profit) See Section **306 (1) and (2) CAMA.**

4. **Duty of Care and Skill**- must not be negligent in the discharge of his duties. See **Section 308 (1) CAMA**; See also **308 (2) CAMA**.
5. **Duty to give notice** – Notice of interest in contracts, loans and/or shareholding.

6. **Duty to disclose age and Multiple directorship in case of public company**:
   (a) Age: Any person who is appointed or to his knowledge proposed to be appointed director of a public company and who is 70 or more years old shall disclose this fact to the members at the general meeting – Section 278 (1) CAMA

   (b) Multiple Directorship: shall not derogate from his fiduciary duties to each company including, duty not to use the property, opportunity or information obtained in the course of the management of one company for the benefit of the other company or to his own or other person's advantage. **S.307**

Presently, a person shall not be a director in more than 5 public companies. **S.307**

Remedies for Breach of Directors Duties

The following remedies are available to the company against a director for breach of duties:

1. Accounts of Profits
2. Rescission of Contracts
3. Summary termination of appointment with the company/dismissal of the director.
4. Restoration of the company's property
5. Damages/Compensation
6. Injunction and/or Declaration.

LIABILITY OF DIRECTORS: - 316

A director may be personally liable who fraudulently fails to apply money received by the company as a loan for a specific purpose or money or other properties received by the company as advance payment for execution of a contract or project, for the purpose for which it was received, shall be personally liable to the party from whom the money or property was received.

There are circumstances when the liability of directors of a limited liability company shall be unlimited and they are as follows;

1. Where the memorandum of association of a limited liability company provides that the liability of directors, managers or
2. managing director be unlimited. See S. 314(1).
3. Also, a limited liability company, if so authorized by its articles may, by special resolution, alter its memorandum so as to render unlimited, the liability of its directors or managers or of any managing director

PROCEEDINGS/MEETINGS OF DIRECTORS

The directors may meet as a Board, the first meeting of the Board of directors is to be **held within 6 months (MCQ)** of incorporation company. - **Section. 289 (1).**

Commented [MOU47]:
The decision of the board shall be by simple majority and where there is a tie, the chairman shall have a second or casting vote. Each director is entitled to a vote.

A resolution in writing signed by all the directors entitled to receive notice of meeting is valid and effectual as if it has been passed at a meeting of the directors. A-G Enugu State.V. Avop Plc

REG 16 COMPANIES REGULATION
Directors may, in the exercise of their power to regulate their meeting as they think fit, hold their meetings electronically and by any means that would allow all directors to participate, speak and vote at the meeting.

Agendas/Business of the First Board Meeting (Exams focus)

The agenda of the first Board meeting should usually contain the following:

1. Election of the Chairman from amongst the directors
2. **Appointment of secretary**
3. **Appointment of the managing director**
4. **Appointment of the solicitor of the company**

5. **Appointment of Bankers.**

Length of Notice of Board Meeting (MCQ)

The length of Notice of Board meetings is **14 days**' notice**. Sec. 292 (2).**

The notice must be sent to every director entitled to attend the meeting and the company secretary.

Failure to give notice of the meeting to persons so entitled shall invalidate the meetings, **Section 292(3)**

QUORUM OF BOARD MEETINGS

The quorum of Board meetings is **2** if the directors are **not more than 6 or 1/3 if** they are more **than 6** directors of the company. **-S. 290 of CAMA**

NOTE that where the Board of Directors is unable to act because quorum cannot be formed, **the general meeting may act in place of the Board**; S**. 291 CAMA; (MCQ August 2019)**

POSER

With the aid of relevant authorities, write a reply on points of law to the contention that once made a director, only death can terminate the appointment. **2009 No 4(a)(v); August 2011 No 5(d)**

This assertion is not correct. The general meeting has power under **section 288** to remove all directors, including a Life Director, from office. A Life Director is only exempted from retirement from office by rotation under section **285 CAMA**. He is subject to removal under S**. 288 CAMA**

COMPANY SECRETARY

Every company except a small company, must have a company secretary; **S. 330**

A company can appoint assistant or deputy company secretary – **S 330(3)**

He's a high-ranking officer and can be part of management. **Wimpey Ltd v Balogun**

On no condition shall a secretary Exercise any powers vested on the directors without the board's authority. S. 335 CAMA.

NOTE: exam focus

a director of a company may be appointed as a secretary of that same company but **cannot validly act in the same capacity in a single (one) transaction**; **section 331**; **(August 2018 Q 4c), A document attested to by a person in the dual capacity of a Director and Secretary is invalid**.

Commented [MOU48]: it is possible for a person to validly occupy the dual position of Director and Secretary at the same time but where an act or thing is required to be done by a Director and Secretary, such things cannot be validly done by the same person

QUALIFICATIONS OF A COMPANY SECRETARY: Section 332

PRIVATE COMPANY (LTD)

There is **no special qualification for the secretary of a private company. PROVIDED** that the Board is satisfied that the person to be appointed a company secretary **have the requisite knowledge and experience to discharge the functions of a secretary.**

PUBLIC COMPANY (PLC)

For a person to be appointed as a secretary of a public company, he/she must be qualified as either**:**

1. A member of the Institute of Chartered Secretaries of Nigeria
2. A Legal practitioner

3. A member of of any professional body of accountants established from time to time by an Act of the National Assembly
4. A person who had held the office of the company secretary for **3 years** in a Public company **of the 5 years preceding his** appointment
5. A body corporate or a firm of chartered secretary, legal practitioner or chartered accountant

APPOINTMENT OF SECRETARY

A company secretary is appointed and removable by the **Board of Directors** of the company**. Section 333(1) of CAMA. Use Form CAC 8 for appointment**

STATUS OF A COMPANY (See August 2019 Q 6e)

A company secretary is an important officer of the company and can make representations that will bind the company, ***Wimpey Nig. Ltd v Balogun, Okeowo v Migliore***

The Companies and Allied Matters Act has also elevated the status of a company secretary by making the following provisions: **FOCUS**

1. Statutory provision for the position of a secretary; **Section 330**
2. Statutory provision for the qualification of a company secretary (PLC); **section 332 CAMA**
3. Statutory provision for the appointment and removal of a secretary; **S. 333**
4. Statutory provision for the duties of a company secretary; **Section 335**

DUTIES OF A COMPANY SECRETARY (August 2016 Q 6, April 2018)

The Statutory Duties of Company Secretary are: S.335

1. To attend and take minutes of the meetings of all types of company meetings

2. Advising the meetings on the compliance with the applicable rules and the provisions of CAMA
3. To **maintain the registers and other statutory records**
4. To **render the proper returns and give notifications to the Corporate Affairs Commission** as required by Law
5. To **carry out other administrative and secretarial duties as directed by the company -** section **335(1)**

N.B

The secretary must not without authority exercise any power vested in the director's **section 335(2)**

Duties Before A Meeting (General Duties): focus august 2011

a. Serve out Notice of meetings and the agendas on all members and officers of the company
b. Receive the **Notice of proxies attendance** within **48 hours** to the meeting
c. Keep the statutory records
d. **To ensure the venue of the meeting is secured**
e. To publish additional Notice of meeting in at least two National Newspapers (PLC only)

Duties During The Meetings:

a. To take down the minutes of the meeting
b. To ensure compliance with the Law
c. To assist the Chairman in the conduct of the meeting.

Duties After the Meeting:

a. To draft Resolutions of the meeting ready for filing at the Corporate Affairs Commission
b. To prepare the minutes of the meetings to the Chairman/secretary to sign
c. To file statutory returns at the CAC required by Law
d. To update Statutory Records/ Registers kept by the company to reflect current Resolutions.

Statutory Filings/Returns to be made to CAC by a Company Secretary & time (Exam focus August 2016 Q 1 & 3)

1. Court orders must be filed **within 14 days** – **S. 51(7), 65(3) and 115 (4)**
2. Notice of change in the particulars of directors **within 14 DAYS** – **S. 321**
3. Notice of change in the particulars of a secretary **within 14 DAYS** – **S. 339**
4. Notice of Appointment/ removal of auditor **within 14 DAYS** – 401 & 409(2)
5. Returns during receivership and winding up **within 14 days** – **S. 533**
6. Special resolutions **within 15 DAYS** – **S. 262**
7. Annual returns to be made within **42 days** after the Annual General meeting. – **S. 421**
8. Return of Allotment of shares within **1 month** after the allotment – **S. 154**
9. Notice of alteration in Share Capital within **1 MONTH** - **S. 126, 127, 131**
10. Statutory report – 21 days **S. 235(6)**
11. Registration of charges **within 90 DAYS**. – **S. 222**

12. Statement by banks, insurance companies – **Before commencement of business and on 1st Monday in February and 1st Tuesday of August of every year - S. 733**

REMOVAL OF A COMPANY SECRETARY- Section 333

PRIVATE COMPANY:

There is **no special procedure** for removal of the secretary of a private company, **PROVIDED** it was done by a **resolution** of the Board of Directors. Upon such removal, the company will notify CAC **within 14 days** by filing **CAC Form 8A**

NOTE: only the **Managing Director cannot** remove the secretary.

Procedure for the removal of a secretary of a private company

1. Board of directors Convene a meeting proposing the removal of the secretary
2. At the meeting a resolution is passed removing the secretary
3. Notify CAC using **within 14 days** using **FORM CAC 8A** – Notice of removal of secretary
4. Make consequential alteration to the register of secretaries

PUBLIC COMPANY (January 2020 Q 5e, Dec 2020 Q 6e) – S. 333

The secretary of a public company can only be removed through the procedure stated below**:**

1. Give the affected secretary a Notice which must state:
   - **a.** Intention to remove him as the secretary
   - **b.** The grounds for his proposed removal

c. That he has 7 working days to either resign his office or to make a defense

2. The Board may pass a Resolution removing the secretary where he does not resign or does not make a defense the Board will remove him and report it to the next Annual General Meeting.

3. Where without resigning his office, **he makes a defense** which the **board does not consider sufficient to exonerate him**, the following options are open to the board
   a) If the ground is that of fraud or gross misconduct, **the board may remove him from office** and shall report to the next general meeting
   b) If the ground is other than fraud or serious misconduct, the **board can only suspend him and report same to the next general meeting**

4. The company will notify CAC of the removal **within 14 days using CAC 8A – Notice of removal of secretary**
5. Make consequential alterations to the register of secretaries (if a plc) – S. 336

Note: where a secretary who is suspended from office eventually removed with the approval of the general meeting, the **removal takes effect from the date of the suspension** – **Section 333 (4)**

REMEDIES FOR WRONGFUL REMOVAL

1. action in court for damages for wrongful removal
2. claim a declaration that the purported removal is void

REGISTER OF SECRETARIES - Section 336.

Every public company shall maintain a register of secretaries which shall contain if it's an individual:

(a) full name and any former name or names ;

(b) address; and

(c) email address.

CHAPTER SEVEN

CORPORATE GOVERNANCE III

MEMBERSHIP, MEETINGS AND RESOLUTIONS

HOW TO BE A MEMBER OF A COMPANY – focus 2010

It can be by any of the following for companies with a share capital:

1. subscribing to the memo – **Section 105**
2. By Allotment and being placed on the register of members. - **Section. 150**
3. Transfer of shares (SALE) from existing shareholders and being placed on the register of members. **– Section 175**
4. Transmission (Inheritance) i.e. by succeeding to the estate of a decreased, bankrupt member, and being placed on the register of members. - **Section 179**

For companies without a share capital (GTE and IT) membership is acquired by:

1. Subscription
2. Undertaking to contribute to the assets of the company in the event of it being wound up

NOTE: An alien may join in forming a company or acquire shares in a company but must comply with the laws relating to alien participation. **-S. 17 NIPC ACT;**

INCIDENTS/RIGHTS OF MEMBERSHIP (Bar Final August 2018 Q 6b).

SECTION 138

1. Right to dividends when declared
3. Right to attend meetings
4. Right to receive notice of meetings
5. Right to vote at meetings and be voted for
6. Right to demand poll.
7. Right to appoint proxy
8. Right to requisition extra – ordinary general meeting.
9. Right to own shares
10. Right to transfer shares.

CESSATION OF MEMBERSHIP

1. Transfer of all of one's share to another
2. Forfeiture of shares
3. Transmission of shares
4. Surrender of shares
5. Liquidation of a company
6. Repudiation by an infant

MEETINGS OF THE COMPANY

There are 3 types of General meetings of a company:

1. Statutory meeting. **– Section. 235**
2. Annual General Meeting (AGM) – **Section 237**
3. Extra–ordinary General Meeting (EGM) **Section 239**

A. STATUTORY MEETING - Section 235 (April 2018 Q 4, August 2018 Q 5d)

Features of the Meeting:

1. This is **solely** for **public companies** (PLC) and it is compulsory.
2. To be held **within 6 months** of the date of incorporation of the company.
3. It **must be held in Nigeria Section 240**

Business Transacted at Statutory Meeting (MCQ and Theory)

The members of the company present at the statutory meeting may

1. Consider the statutory report.
2. Considers matters arising from the statutory report.
3. Discuss any matter relating to the formation of the company and commencement of business.

Statutory Report: MCQ

- The directors shall **at least 21 days before the day on which the statutory** meeting is held, forward to every member of the company statutory report; **S. 235 (2) CAMA**
- The statutory report shall be **certified by not less than two directors** or by a director and the Secretary of the company **Section 235(3) CAMA**
- The directors shall also deliver a copy of the statutory report certified, to the **CAC**, Done **within 14 days** for registration. **Section 235 (6)**

Contents of Statutory Report (know at least 5) – Section 235(3)

1. **The total number of shares allotted**, either as fully paid up, partly paid up or partly paid up by consideration **and its particulars.**

2. The **total amount of cash received by the company in respect of all the shares allotted,**
3. The total amount of cash received by the company in respect of all the shares allotted, distinguished as aforesaid.
4. The **names, addresses and descriptions of the directors, auditors, managers, if any, and secretary of the company.**
5. The **particulars of any pre-incorporation contract together with the particulars of any modification or proposed modification**.
6. **Any underwriting contract that has not been carried out and the reasons therefore.**
7. The arrears share, if any due on calls from every director.
8. The particulars of any commission or brokerage paid or to be paid on the issue or sale of shares or debentures to a director or manager
9. An abstract of the receipts of the company and of the payments made from them up to a date;

Effect of Failure to Hold the Statutory Meeting OR deliver statutory report (April 2018 Q4, August 2018 Q5e): Failure to hold statutory meeting or deliver statutory Report would result to:

1. **The company and any** officer in default shall be guilty of an offence and liable to a daily **penalty for everyday** during which default continues to the tune of any amount the commission specifies in its regulation**; Section 236 CAMA**
2. It will form a ground for winding up of the company by the court-**S. 571 (for failure in delivery of report)**

POSER

When is a Company incorporated on September 30, 2022 supposed to hold its statutory meeting and what businesses are transacted therein?

The statutory meeting of a Public Company must be held within a period of 6 months from the date of incorporation – **Section 235 CAMA**. A company incorporated on September 30, 2021 must hold its statutory meeting before March 30, 2022.

The business to be transacted at the Statutory Meeting of the Company is to consider the statutory report. The statutory report must be forwarded to every member of the Company at least 21 days before the meeting.

B. ANNUAL GENERAL MEETING (AGM)- Section 237 CAMA

Essential Features of AGM

1. It is compulsory for all Companies **EXCEPT** small company.
2. A company should hold its **first AGM within 18 months** of incorporation.
3. Not more than **15 months** must elapse between one AGM and the next However a company that holds its first AGM **within 18 months of its incorporation**, **it need not hold another AGM in that year or in the following year S. 237(1)(a) CAMA**[1]
4. Apart from **the first AGM,** CAC can extend the time of holding **any subsequent AGM by not more than 3 months**; **S. 237(1)(b) CAMA**
5. The AGM must be held in **Nigeria** **S. 240 CAMA**

N.B

The notice calling it must describe it as an annual general meeting

Commented [MOU49]: MCQ
THE FOLLOWING CAN CONVENE AGM
1.DIRECTORS OF THE COMPANY
2.THE COURT
3.MINORITY SHAREHOLDERS HOLDING 20% OF THE COMPANIES SHARES

[1] i.e. the company need not hold its first annual general meeting in the 1st or the following year of its incorporation. For example if a company was incorporated on 1st November 1995, it need not hold annual general meeting in 1995 or 1996 but must hold it at least in April 1997

PROCEDURE TO COMPEL HOLDING OF AGM:

1. A member can apply to the CAC urging the CAC to call or direct the calling of a meeting.
2. If a member's application is timely and the CAC grants the order to hold the meeting in that year, the meeting is an AGM of that same year.
3. The CAC can also give a direction that one members of the company present in person or by proxy may apply to the Fed. High Court for an order to take a decision which shall bind all the members **S. 237(2) CAMA**

Business Transacted at Annual General Meeting (Exams Focus August 2016, April 2017 & April 2018);

Two types of business are transacted at the AGM of a company **ORDINARY BUSINESS OF AGM: this includes; S. 238**

1. Declaration of dividend.
2. Presentation of the Financial Statements.
3. **The Reports of Directors and Auditors**
4. **Election of directors in place of retiring ones.**
5. **Appointment of Auditors and fixing of their remuneration.**
6. **Appointment of members of the Audit committee**

Commented [MOU50]:
1.IT MUST BE DECLARED AT THE GENERAL MEETING
2.MAY BE PAID OUT OF DISTRIBUTABLE PROFITS
3.ARE SPECIAL DEBTS RECOVERABLE WITHIN 12 YEARS

2. **SPECIAL BUSINESS OF AGM**

Any other business not listed as ordinary business of AGM is deemed Special Business of AGM;**. It may include: section 238**

1. Increase of share capital
2. Reduction of share capital
3. Conversion of company
4. Removal of a director

5. Change of name
6. Alteration of object clause etc.
7. Winding up of company

POSER – May 2011

When is a Company incorporated on September 30, 2022 supposed to hold its first AGM and what businesses are transacted therein.

The first annual general meeting a Company must be held within 18 months from the date of incorporation – **Section 237 CAMA.** Thus for a company incorporated on September 30, 2022, its first annual general meeting must be held not later than March 30, 2024.

The business to be transacted at the Annual General Meeting of the Company are the ordinary business and the special business. The ordinary businesses are

- Declaration of dividends
- Presentation of financial statements
- Directors/Auditors' Report
- Election of Directors to replace retiring Directors
- Appointment and fixing of remuneration of Auditors
- Appointment of Audit Committee members

  Section 238 CAMA

All other businesses other than the above are deemed special business of the Company. Section 238 CAMA.

C. EXTRA-ORDINARY GENERAL MEETING - Section 239 CAMA

1. Extra–ordinary General Meeting (EGM) is the General Meeting **held at any** time to transact businesses that cannot conveniently wait for the next Annual General Meeting (AGM).
2. An EGM can hold at any time and need not hold in Nigeria **S. 240 CAMA**

WHO CAN CONVENE AN EGM?

1. Board of Directors
2. Any Director if other Directors are not within Nigeria & quorum may not be formed for BOD
3. Requisition by members **holding not less than one tenth of the paid-up share capital** of the company, carrying the right of voting **see Pedley V Inland Waterways Asso. Ltd , S. 239(2)**
4. Auditors can requisition an EGM **for the purposes of discussing the reasons contained in his notice of resignation Section 413**
5. in the case of a company without a share capital (GTE/IT), members holding one-tenth of the total Voting rights of all the member.
6. **CONVENED BY THE COURT**: - **Section 247**

   Where it is impracticable to call company's meeting, the court may on its own motion or on the application of a director or a member, order that a meeting be conducted as it may direct including one member constituting quorum, Okeowo .V. Migliore.
7. CAC can order for holding of EGM of a company.

N.B - 2009

The contention that there is nothing the shareholders can do where the Directors fail to convene a meeting is misconceived in law. Apart from the Board of

Directors calling a meeting, a meeting of the Company may also be called by those listed above.

N.B

The Board of Directors have the duty of calling the general meeting of the Company, but where they fail to do so, the members of the Company can requisition a General Meeting of the Company

Procedure Calling/Requisitioning An EGM By The Members (April 2018 Q 3)

S. 239 (2) CAMA

1. The Requisitionists shall deposit a signed requisition at the registered office of company, stating **"the object of the meeting"** and the Resolution which they intend to propose. S. **239(3)**
2. If after **21 days** of the deposit of the notice of requisition stating the objects of the meeting, the directors fail to call a meeting,
3. Such meeting must be convened **within 3 months of the deposit of the requisition.** See **S. 239(4).**
4. Any reasonable expenses of the requisitionists in convening the meeting shall be repaid to the requisitionists by the company **S. 239 (6)**
5. If **no quorum is present** at the requisitioned meeting, **within 1 hour** from the time appointed **for the meeting,** it is dissolved i.e. that would be the end of the matter**, there is no adjournment S. 264 (3).**

Business Transacted At Extra–Ordinary General Meeting.

ALL businesses transacted at an extra – ordinary general meeting shall be deemed to be "**SPECIAL BUSINESS**" (MCQ) **Section 239(8) CAMA,**

Note however: that the members of the company cannot requisition an Annual General Meeting stricto senso. The procedure for requisition relates to Extra-ordinary General Meeting. By Section 237 CAMA, where there is failure of the

Board of Directors to convene an Annual General Meeting, the CAC on the application of a member may give ancillary or consequential directions as it may think expedient in relation to calling, holding and conducting the meeting; and such directions shall include a direction that one member of the company present in person or by proxy may apply to the Court for an order to take a decision which shall bind all the members.

VENUE OF MEETING

All **STATUTORY** and **AGM** shall be **held in Nigeria** **EXCEPT**, a small company and a company with a single shareholder **S.240.**

A **private company** can hold general meetings **electronically** **PROVIDED** that the meetings are conducted **in accordance with the articles of the company**. **S. 240 (2).**

POSER

Comment on the challenge of a meeting of the Board of Directors by the Chairman on the ground that the Board meeting was held in Dubai, UAE. **May 2011 No 4(b)(ii)**

The Directors of a Company may meet together from time to time for the dispatch of business, adjourn and otherwise regulate their meetings as they deemed fit. Section CAMA. Also By **S. 240**, all statutory and annual general meetings of the company shall be held in Nigeria. It therefore follows that all other types of meetings, including meeting of the Board of Directors can validly hold outside Nigeria.

The objection by the Chairman that the Board meeting is invalid having been held in Dubai is misconceived in law.

Commented [MOU51]: REGULATION 15

Where the general meeting of a private company is held electronically, the minutes of the meeting shall indicate that fact.

It shall be sufficient to reflect the registered office address of the company as the physical venue of the meeting provided that a director and the company secretary (if any) shall be present at the physical venue of the meeting.

NOTICE OF MEETING 241 CAMA (MCQ

The notice required for all types of general meetings **is 21 days** from the date on which the notice was sent out.

A shorter notice may be given where:

a. For AGM, **if it is agreed by all the members entitled to attend and vote at the meeting**

b. For any other meeting, by majority holding not less than 95% in nominal value of the shares with right to attend and vote. **S. 241(2).**

Contents of Notice of Meeting: Section 242 CAMA (January 2020 Q 5d)

A valid notice of a meeting must specify:

1. The **place, date and time** of the meeting; (Venue)
2. **The type of meeting**
3. **Agenda** i.e. general nature of the business to be transacted
4. For **Annual General Meeting, it is to be stated in the Notice**; that the meeting is to transact **"Ordinary Business"** and state them.
5. For **Special Business**, **terms of the resolution** should be set out.
6. Provision should be made for **proxy attendance.**
7. It should be expressed to be **By Order of the Board**.
8. Signed by Company Secretary.
9. Date

PERSONS ENTITLED TO RECEIVE NOTICE OF MEETING – S. 243(1)

The following persons are entitled to receive Notice of a general meeting, and thus are eligible to attend: (**Bar final August 2018 Q 3b, January 2020 Q 5c)**

a. **Every member**

b. **Legal representative, receiver or a trustee in bankruptcy of a member.**

c. Every director of the company.

d. Every auditor of the company

e. Company Secretary

f. CAC **in case of public of companies**

SERVICE OF NOTICE: Section 244 CAMA

Notice of meeting can be served by:

a. Personal service

b. By post to the person entitled or to his registered address

c. **electronic mail where electronic mail address is provided**

NOTE-Where a notice is sent by post and the letter is properly addressed and stamped, then the addressee is deemed to **receive it 7 days** after **the letter is posted**– **S. 244 (2) CAMA**

EFFECT OF FAILURE TO GIVE NOTICE OF MEETING S. 245 CAMA (exam focus)

Failure to give notice of meeting to a person entitled to receive it **shall invalidate the meeting**. Therefore, such a member can apply to the Federal High Court by Originating Summons for the meeting to be declared invalid.

The **EXCEPTION** is where such **failure is an accidental omission** on the part of the persons giving the notice; **(January 2020 Q 5a**)

NOTE THAT: In addition to the normal individual notices sent out, every **Public Company (PLC)** shall at least **21 days** before any General meeting advertise a notice of such meeting in **at least two daily newspapers**. **Section 246 CAMA**

POSER

Advice a person who was not given a notice of meeting about the remedies available to him under the law. 2009 No 3(iv)

Failure to give notice of any meeting to any a person entitled to receive notice of such meeting shall invalidate the meeting except where such failure is an accidental omission. **Section 245 CAMA**

In addition to the above, a minority who complains of failure to serve notice of meeting on him shall be entitled to bring minority actions under **S. 343** for either an injunction restraining the company from holding the meeting or giving effect to the resolutions passed at the meeting or a declaration to invalidate such meeting or resolution. **Pender v Lushington, Parke v Daily News; Longe v First Bank.**

CHAIRMAN OF THE MEETING - May 2011 No 4(b)(i)

- The chairman of **the AGM is** also the Chairman of the **Board of Directors**.
- **If it is a general meeting** of the company for which he is not present **within one (1) hour** of the scheduled time or is unwilling to act, the directors present will be appointed to chair the meeting**- S. 265(1) of CAMA. (FOCUS)**
- If he is not **present after 5 minutes** of **the time for the Board meeting**, another will be appointed to act as chairman-**S. 289(6) (Focus)**

POSER

Comment on the challenge of a meeting of the Board of Directors by the Chairman on the ground that the Board appointed another person as Chairman after 10 mins.

May 2011 No 4(b)(i)

The Board of Directors of a Company may elect a chairman of their meetings and determine the period for which he is to hold office, but if no such Chairman is elected or if at any meeting, the Chairman is not present within five minutes after the time appointed for the holding same, the Directors present may choose one of their number to be the Chairman of the meeting. **Section 289(6) CAMA.**

The objection by the Chairman that another person was appointed as Chairman after ten minutes is misconceived.

POSER II

Comment on the validity or otherwise of the appointment of another person as Chairman of an AGM in the absence of the Chairman after 30 mins of the time scheduled for the commencement of the meeting**. August 2011 No 6(a)(i)**

The Chairman of the Board of Directors has the right to preside as Chairman at every general meeting. But where at a general meeting, there is no such Chairman if he is not present **within one hour** after the time appointed for the holding same or is unwilling to act, the Directors present may choose one of their number to be the Chairman of the meeting. **Section 265 CAMA.**

The objection by the Chairman that another person was appointed as Chairman after 30 minutes is valid because the Directors ought to have waited for one hour before appointing another person as the Chairman of the meeting.

THE FUNCTIONS/DUTY OF A CHAIRMAN OF A MEETING; Section 265(3) (AUGUST 2011)

1. To ensure the meeting is properly conducted
2. **Preservation of order in the meeting**
3. He ensures that all questions that arises in the course of a meeting are properly decided
4. To preside over both the Board and company meetings
5. To act bona fide in the interest of the company
6. He has the power to adjourn meetings
7. He has a casting vote on issues if there is a vote tie by the members

PROXY - 2009 No 3(iv).

- Proxy means a person **nominated by any member** to attend a company meeting on his behalf, takes part in the voting and can exercise the same right as the member appointing him. **S. 253 (focus)**
- A member who appoints a proxy **must be entitled to attend and vote** at the meeting.
- A proxy may not be a member of the company
- Proxy is **not allowed in company without share capital UNLESS its Articles permit** e.g. Incorporated Trustees and guarantee. **S.254 (1)**

How A Proxy Is Appointed

1. The instrument appointing a pr**oxy shall be in writing** under the hand of **the appointe**r or of his Attorney duly authorized in writing**.**
2. If the appointer is a **corporation**, the Proxy Instrument shall either be **deed o**r under the hand of an officer or Attorney duly **authorized** **S. 254(6)**
3. Proxy Form/Instrument is to be lodged not later than **48 hours** before a meeting or adjourned meeting at the registered address or head office-**S. 254 (3)**
4. If voting in the meeting will be by **Poll**, it has to be deposited **not less than 24 hours** before the time appointed for the taking of poll.-**S. 254 (7)**

REVOCATION OF PROXY'S APPOINTMENT

A proxy instrument may be revoked in writing before the commencement of the meeting or adjourned meeting at which the proxy instrument is to be used:

1. By death of the appointer;
2. By insanity of the appointer;
3. By express revocation;
4. By attendance of the meeting by the appointer

5. By the transfer of the shares in respect of which the proxy is given. S. 254(5)

CORPORATE REPRESENTATION - Section 255 (exam focus)

A company which is a member of another company shall be represented at the general meeting of that company of which it is a member by **a person authorized on a resolution of the board of directors** or other governing council.

POSER

Comment on the representation of a Company which is the Shareholder in another Company, at the meeting of such other by Company by an NYSC Lawyer. August 2011 No 6(c)

> A Company which is a Shareholder in another Company shall have the right to be represented at the Board of such other Company as a Nominee or Representative by resolution of its Board of Directors or other Governing Body. **Section 255 CAMA.**
>
> There is no special requirement to be fulfilled by any person before being appointed such Nominee or Representative so long as the appointment **was done by the resolution**.

QUORUM OF MEETING; Section 256 (1) CAMA

Refers to the minimum number of persons whose presence is required to constitute a valid meeting **Except** for a company with one member or provided in the articles. It is a matter for the articles to fix the quorum, but where it is silent, **Section 256 (2) applies**

Quorum is determined as Follows:

1. the quorum for a meeting shall be **1/3 (one-third)** of the total number of members of the company or **25 members** (whichever is less) present in person or by proxy.

2. Where the number of members **is not a multiple of 3**, then the number nearest **to 1/3.**
3. Where the **number of members is 6 or less**, the **quorum shall be 2 members**.

N.B

In determining whether there is quorum, members and proxies will be counted **section 256 (2).**

Quorum During the Progress of The Meeting (August 2016 Q 6)

Unless the Articles provides, quorum is to be maintained from the starting of the business of the meeting and throughout the meeting**. S. 256 (1)**

MEMBERS WITHDRAWAL - focus

The Chairman's direction depends on whether the reason for withdrawal from the meeting was for "sufficient or insufficient Reason"

GOOD REASON

If it is for sufficient reasons, the **meetings shall be adjourned to the same place, and time in a week's time**. **If there is no quorum still at the adjourned meeting**. **The member present shall be the quorum and their decision shall bind all shareholders**. If **only 1 member is present at the adjourned meeting, he may seek direction of the FHC to take decision S 256 (3)**

MALICIOUS WALKING OUT/INSUFFICIENT

If it is for insufficient reason OR for the purpose of reducing the quorum the meeting can continue with the number present, and their decision shall bind all the shareholders and where it remains only one member, he may seek direction of the court (FHC) to take a decision **S 256 (4)**

VOTING IN THE MEETING

Voting is done to ascertain the support of a particular Resolution by members.

There are basically two types of voting at any General meeting;

a. Show of hand
b. By demanding a poll-**section 248(1) CAMA**

VOTING BY POLL

- Voting on a poll entails the shareholders voting according to the number of shares he owns.
- Proxies also vote according to the number of shares which the member they are representing hold.

RESTRICTIONS ON DEMAND OF POLL

S. 249, right to demand a poll shall not limited by the articles of a company. Where the Articles **limits the right to demand for poll,** the Articles shall be void.

There shall be no right for demand poll in the following matters: S.249 (1) & (3)

1. **Election of the chairman**
2. **Adjournment**
3. **Appointment of members of the audit committee**

Persons that Can Demand a Poll S.248

1. The Chairman, where he is a shareholder or a proxy
2. **At least three members present** in person or by proxy
3. Any member or members present in person or by proxy and who represent not less than 1/10 of the total voting rights
4. Any member or members holding shares not less that 1/10 of the total fully paid-up shares in the capital of the company

ADJOURNMENT OF MEETINGS-Section 264 CAMA

A meeting may be adjourned either because:

a. **No Quorum is forme**d at the original meeting, or
b. The business was **unfinished** at the original meeting.
c. The Chairman **may with the consent** or **directive from the members at the meeting**, adjourn the meeting from **time to time and from place to place.**
d. No new business is allowed at the adjourned meeting only the unfinished business from the original meeting shall be transacted
e. **It is not necessary to give notice of adjourned** meeting unless it is adjourned for 30 days or more, then notice must be given

MINUTES OF THE MEETING – S. 266

- Every company EXCEPT small companies **shall** keep minutes of all proceedings **of general meetings, board meetings and management meeting at its registered office**
- Where there is **default,** the company and every officer in default shall be guilty of an offence and liable to a penalty
- The minutes when signed by the Chairman of the meeting or the chairman of the next succeeding meeting, shall be prima facie evidence of the proceedings.
- And that the meeting was duly held and convened, and matters agreed to the meeting are deemed to be valid

FORM OF MINUTES:

1. Bound books

2. Loose leaves - International Agricultural Industries (Nig)ltd v Chika Brothers Ltd
3. Photographic film form
4. Stored on any information storage device capable of being reproduced into intelligible written form e.g. Compact Disks (CD), Flash drives etc.

RESOLUTIONS IN THE MEETING

There are two basic types of Resolutions:

1. **ORDINARY RESOLUTION**

This is a resolution passed by a simple majority of votes cast by members being entitled to vote either in person or by Proxy - **Section 258(1) CAMA**

Examples of Matters Requiring Ordinary Resolution:

1. Appointment and removal of directors
2. Removal of Secretary.
3. Appointment and removal of Auditors
4. Appointment of members of the audit committee
5. Increase in share capital

SPECIAL RESOLUTION

This is a resolution passed by at least **¾ (three – fourth)/75%** of the votes cast by such members being entitled to vote either run person or by proxy, **of which 21 days' notice** specifying the intention to propose the resolution as a special **Resolution** has been duly given- **S.258(2)**

Shorter notice may however be given if agreed to by majority holding not less than 95% of the nominal value of the shares or by members representing not less than 95% of the total voting rights in case of company not having share capital.

Examples of Matters Requiring Special Resolution:

1. Change of Name – S. 30
2. Alteration of Objects – S. 51
3. Alteration of the Articles – S. 53
4. Re-registration of LTD as PLC – S. 56
5. Re-registration of PLC as LTD - S. S.63
6. Re-registration of ULTD as LTD – S. 71
7. Reduction of Capital – S. 131
8. Voluntary Winding up - S. 621
9. Compulsory winding up – S. 571
10. Increase in Share Capital of the company – S 127

NOTE: Printed copies of the **special resolutions** must be forwarded t**o CAC** for registration **within 15 days after** its passage.- **S. 262(1) & (4) CAMA**

WRITTEN RESOLUTIONS

This is **peculiar to private companies**. Written Resolution is resolution passed without formal physical meeting of members who are entitled to attend the meeting and vote **AG Enugu State *v.* Avop Plc**.

All resolutions shall be passed at general meeting otherwise, it shall not be effective. But **for a private company**, a written resolution signed by all members is as valid and effective as if passed in general meeting. **See S. 259. (exam focus)**

RESOLUTION REQUIRING SPECIAL NOTICE

When a resolution requires special notice, **notice of intention to move it must be given to the company at least 28 days before the meeting** - (**section 261**). The

company in turn is to give notice to members of the proposed resolution **at least 21days** before the meeting or advertise it in a newspaper.

Note Proviso:

Once a company receives notice, its failure to call a meeting for a date 28 days or less after the notice will not invalidate the meetings.

POSER

Comment on the validity of a resolution passed by the Board of Directors of a Company, where only one of the Directors was available in Nigeria while the others forwarded their consent by e-mail. 2009 No 6(b)

The Board of Directors ordinarily take decisions by resolutions passed at meetings. However, by **Section 259 CAMA**, a resolution in writing signed by all the Directors for the time being in force, entitled to receive notice of a meeting of the Directors shall be as valid and effectual as if it had been passed at a meeting of the Directors duly convened and held. Thus the Directors can validly pass a resolution in writing without necessarily being present physically.

The resolution signed by one Director while others sent their consent via email is invalid because Section CAMA contemplates a resolution signed by the Directors entitled to receive notice of the meeting and not a consent sent via email.

Also where the other Directors are outside Nigeria and did not leave an address in Nigeria, then they are not entitled to receive the notice of the meeting (Section CAMA) and hence not entitled to sign the written resolution in the first place. Section 263(8) CAMA. Thus, the only Director available in Nigeria would not form the quorum necessary for any transaction.

CHAPTER EIGHT

MINORITY PROTECTION

CORPORATE SOVEREIGNTY AND MAJORITY RULE

The general rule in the case of ***Foss v. Harbottle* and Section 341 of CAMA** is that only a company can sue to redress a wrong done to it or defend an action against the company; ***Yalaju-Amaye v. AREC Co. Ltd***

Justification of the rule

1. the company will ultimately be the claimant to sue in respect of wrong done to the company
2. to prevent multiplicity of suits
3. the court will not intervene in the management of company, where the irregularity being complained about is within the scope of powers of the majority shareholders to remedy or ratify by means of an ordinary resolution

EXCEPTIONS TO MAJORITY RULE; Section 343 (a) – (f) CAMA

The minority members of the company may act in any of the following instances:

a. Illegal or ultra vires acts of the company**-**This is where the company acts in excess of its powers or outside its objects.**;** ***Parke v. Daily News***

b. Purporting to do an act by ordinary Resolution, which CAMA or the Articles of the company require a special Resolution (irregularity); ***Edwards v. Halliwel***

c. Any act or omission **affecting the applicants individual rights as a member** of the company. **Pender v Lushington**

This includes breach of the member's personal right in the company (such as the right to attends meetings, to be paid dividend when declared, to vote in meetings, to receive Notice of meetings

d. **Commission of fraud on the company** or the minority shareholders **and the directors fail to take steps to redress it.**
An example of this ground is the **misappropriation** of the company's property/money by the directors or majority shareholders. ***Cooks v. Deeks***

e. Where a company meeting cannot be practically called in time to redress a wrong done to the company
A good example is where the Directors have exceeded the borrowing limits and have mortgaged the prime asset of the company

f. Directors are deriving profits or benefits from their negligence or breach of duty. A good example is sale of company property at an under value.

g. any act or omission, where the interest of justice so demands

MINORITY PROTECTION REMEDIES (August 2016 Q 4c, 2017 Q 1B, & 2018 Q 3c) 🔄

the remedies available to the minority shareholders where any of the wrongs stated above are committed or being committed by the company. They are:

1. Members Direct Action
2. Derivative Action

3. Petition on the ground of unfairly prejudicial, discriminatory or oppressive conduct of the company's affairs
4. Application to CAC for investigation of the Company
5. Petition for compulsory winding up on just and equitable ground

MEMBERS DIRECT ACTION

This is the most suitable remedy **where the wrong in question is affecting the individual rights of the members of the company.**

The Members Direct Action can be brought in two forms as follows;

a. **Personal Action**

A member can institute a personal action to enforce a right due to him **personally**; **section 344 CAMA.** Personal action is restricted to **such infringements directed** at the **individual membership rights** in the company **e.g. entitlement to notice of meeting, voting, attendance to meetings payment of dividend when declared**

b. **Representative Action**

Members can bring action in a **representative capacity for** the enforcement of **personal rights** due to them. Such **members must nominate** those who are members to bring action in a representative capacity for the enforcement of rights due to them.

Proper Parties to a Member Direct Action:

The member of the company sues in his name or in representative capacity as the **plaintiff(s)** while **the company and the directors** are made **defendants** to the action.

Who Can Bring Members Direct Action-S. 345 CAMA

1. Member/shareholder of a company

2. Debenture holder secured by floating charge
3. Personal representative of a deceased member

Reliefs Available To a Person Instituting A Members Direct Action S. 344(1)

a. Declaration or
b. Injunction **restraining** the company and/or directors from doing a particular act.
c. damages for any loss incurred on account of the breach of that right

NOTE:

The court may order any director to be personally liable to pay damages to the member of the company if found liable for any wrong doing **S. 344 (3)-(4)**

DERIVATIVE ACTION-Section 346 CAMA, Agip (Nig) Ltd v Agip Petrol. Int

This action is suitable in circumstances where the directors have refused to act on behalf of the company either to sue or to defend an action against the company. They are actions which ought to have been brought by the company through the directors.

Modes of Derivative Action:

a. A member can commence a derivative action in the **name of the company** OR
b. In **a Representative Capacity** on behalf of the company**.**

Who Can Apply For Derivative Action?

Section 352 CAMA; the following persons can apply for Derivative action for a company:

1. A registered holder (**member**) or beneficial owner (**by Transfer or Transmission**)
2. A former registered holder or beneficial owner of a company's security (debenture holder).
3. A director or officer or a former Director or Officer of a company.
4. Corporate Affairs Commission.
5. Any other person the Court may permit to make the application.

The Procedure for Derivative Action

Obtain **leave of court** by way of **Originating Summons** at the **Federal High Court** with an **Affidavit** in support and a **written address**

The **Affidavit in support** of the **Originating summons** must show the following:-

a. **a cause of action has arisen from an actual or proposed** act or omission involving negligence, default, breach of duty or trust by a director or a former director of the company;

b. That a **reasonable Notice to the directors of the company of his intention to apply to the Court**

c. the **directors of the company do not bring, diligently prosecute, defend or discontinue the action**

d. the **notice contains a factual basis for the claim and the actual or potential damage caused to the company**

e. The Applicant is acting in good faith; **and**

f. It is in the **best interest of the company that the action be brought or defended**; **section 344(2) CAMA**

ORDERS THE COURT CAN MAKE UPON A SUCCESSFUL DERIVATIVE ACTION – S. 347(2) CAMA

a) An order authorizing the applicant or any other person to control the conduct of the action;

b) An order **giving directions for the conduct of the action**;

c) An order directing that any amount adjudged payable by a defendant in the action shall be paid, in whole or in part, directly to former and present security holders of the company, instead of the company.

d) An order requiring the company to pay reasonable legal fees incurred by the applicant in connection with the proceedings.

NB:

the court may order the company to pay to the applicant interim costs to the applicant pending the determination of the application or action. **S. 351**

That a derivative action shall not be dismissed, stayed or discontinued on the ground that the shareholder approved the breach – **S. 348**

Proper Parties To A Derivative Action

The appropriate parties in a derivative action should be the **Company** and the **Applicant** as **Claimants/Applicants** and the **Directors** and the **Company** or wrong doer as **the Defendant/Respondent**.

RELIEF ON THE GROUNDS OF UNFAIRLY PREJUDICIAL AND OPPRESSIVE CONDUCT: S. 354 CAMA

Here, the affairs of the company are being conducted in **an illegal or oppressive manner** or **unfairly prejudicial or discriminatory** manner against a member or member's interest or in disregard of public interest.

May apply to court for relief by way of **PETITION**. **Ijale Properties Ltd v Omololu-Mulele**

For the petition to succeed, there must be a continuing cause of oppressive conduct and not an isolated case of oppression

The following persons may bring such an application to the court: 353(1) CAMA.

a) A member of the company;
b) A director or officer of the company, or former director or officer of the company.
c) A creditor
d) CAC
e) Any other person who in the discretion of the court is the proper person to make the application under S. 354 CAMA.

Possible Reliefs/ Orders The Court Can Grant Upon Successful Petition: S. 355 CAMA lists the several reliefs which may be ordered by the court as follows:

a. That the **company be wound up.**
b. order directing an **investigation** to be made by the CAC
c. order **appointing a receiver** or a receiver and manager **of company property**
d. Order **varying or setting aside a transaction**.

Commented [MOU52]:
The following conducts have been held to be unfairly prejudicial: -

a.Exclusion and removal of a member from the board,

b.Improper allotment of shares,

c.Failure to call meeting of the company,

d.Making an inaccurate statement to shareholders,

e.A managing director using assets of the company for his own personal benefit and the personal benefit of his family and friends,

f.Diversion of company's business to a director-controlled company,

g.Making right issue which minority shareholders could not take up; and

h.Payment of excessive directors" bonuses and pension contributions.

e. **Order for the purchase of the shares of any member** by other members or by the company.

f. Order directing the company or a member to institute, prosecute defend or discontinue specific proceedings etc.

INVESTIGATION OF THE COMPANY

CAC may appoint competent inspectors to make formal inquiry into alleged malpractices by those persons who managed or who control the company and make report on their investigation. **S.357**

Section 357(2) provides that, the appointment may be made by

1) In the case of a company having a share capital, on the application of **members holding not less than 1/10 of the class of shares issued**
2) In the case of a company not having a share capital, on the application of not less than 1/10 in number of the persons on the company's register of members; and
3) in any other case, on the application of the company

NOTE:

The application is by a letter and shall be **supported by evidence showing good reason for requiring the investigation. S.357(3) – August 2017 Q1.b**

Where a company's employee, in compliance with an inspector's request, provides the inspector with any information concerning the company's affairs, the company shall protect the employee from any form of discrimination or other unfair treatment. **Section 357(4)**

Commented [MOU53]:
USES OF THE INSPECTION REPORT

CIVIL PROCEEDINGS - S.364 CAMA:
Pursuant to the inspection report, if it appears to the commission, that any civil proceedings ought in the public interest to be brought by the company, or anybody corporate, the commission may itself bring such proceedings in the name and on behalf of the company, or the body corporate - S. 364(1) CAMA.
CAC shall indemnify the body corporate against any costs or expenses incurred by it in connection with the proceedings, and any costs or expenses so incurred shall, if not otherwise recoverable, be defrayed out of the Consolidated Revenue Fund.

CRIMINAL PROCEEDINGS - S. 365CAMA
If **company, is guilty of an offence for which it is criminally liable, the report shall be referred to the AGF for criminal prosecution or other proceedings-**

WINDING UP PETITION – S. 366 CAMA
Pursuant to the Investigation Report, **if it appears to the Commission to be expedient in public interest that the body corporate be wound up, it may (unless the body is already wound up by the court), present a** petition for it to be wound up, if the court thinks it is just and equitable to do so.

EVIDENCE IN LEGAL PROCEEDINGS – S. 368 CAMA
A copy of the Inspectors' Report, certified by the Commission, as true copy of the original shall be admissible in any legal proceedings as evidence of the opinion of the inspectors in relation to any matter contained in the report.

OWNERSHIP OF A COMPANY – S. 369 CAMA
The Report may be used to ascertain the actual membership of a company, and the true persons who are or have been financially interested in the success or failure of the company, or liable to control or materially influence the policy of the company.

Any employee relieved of his employment without any just cause, other than for reason of disclosure made pursuant to the provision of this section, is entitled to a compensation which is calculated as if he had attained the maximum age of retirement or had served the maximum period of service, in accordance with his terms of employment or conditions of service to the company- **Section 357(5)**

CIRCUMSTANCES THAT MAY WARRANT APPLICATION FOR INVESTIGATION OF A COMPANY

CAC may order investigation if:

a. the company's affairs are being or have been conducted with intent to defraud its creditors or the creditors of any other person, or in a manner which is unfairly prejudicial to some part of its members;

b. any actual or proposed act or omission of the company (including an act or omission on its behalf) is or would be so prejudicial, or that the company was formed for any fraudulent or unlawful purpose;

c. persons concerned with the company's formation or the management of its affairs been guilty of fraud, or misconduct towards it or towards its members;

d. the company's members have not been given all the information with respect to its affairs which they might reasonably expect. See S. 358(2)

CHAPTER NINE

FINANCIAL STATEMENTS AND ACCOUNTING RECORDS

Accounting records are day to day records kept at the companies registered office of the profit and losses of a company.

Importance of Accounting Records:

- **a.** To disclose with reasonable accuracy the financial position of a company
- **b.** It forms the basis of relevant information and data to be used in preparing financial statements and audited account of the company.
- **c.** To ensure that financial records comply with the Act–**section 374 CAMA**

Time Frame For Keeping Accounting Records

The records are to be preserved for a **period of 6 years; S. 375(2)**

Contents of Accounting Records – 374(3) CAMA

The accounting records shall, in particular, contain:

1. **Entries from day to day of all sums of money received and expended by the company**, and the matters in respect of the receipt and expenditure took place; and
2. **A record of the assets and liabilities of the company**. **S. 374(3) CAMA**
3. The Accounting records of a company dealing in goods will contain
   - **a.** statements of stocks held at the end of the year of the company;
   - **b. Statements of all goods sold and purchased other than by retail trade. S. 374 (4) CAMA**

FAILURE TO KEEP ACCOUNT – S 376

every officer of the company who is in default commits an offence unless he shows that he acted honestly and that in the circumstances in which the business of the company was carried on, the default was excusable

FINANCIAL STATEMENT - Section 377 CAMA (focus)

series of financial documents made from year to year and presented to or laid before the members at an AGM. It gives the financial position of a company **on a given date.**

Every company, the directors shall in respect of each year of the company, prepare **financial statements** for the year.

At **the first meeting of the board** after incorporation the Directors must determine to what date in each year the financial statements shall be made up., and they shall give notice of the date to the **CAC within 14 days** of determination. **S. 377(4)**

The Contents of A Financial Statement of A Company (August 2017 Q 3d)

The contents of a financial statement of a Nigerian company are: **S. 377(2)**

a. Balance sheet **as at the last day of year,**
b. Profit and loss account. (Note Ltd Gte).
c. Notes on the accounts,
d. Auditor's report.
e. Director's report.
f. Five-year financial summary.
g. Statement of the source and application of fund or **statement of cashflow** (Nil for LTD)
h. Changes in equity (Nil for LTD)
i. Value added statement for the year. (Nil for LTD)

j. Statement of accounting policies. (Nil for LTD)

k. Group financial Statement. Required for holding company.

Any other matter required by accounting standards

NB – You may be asked to list the one applicable only to a private company or public company.

Persons Entitled To Receive Financial Statements (MCQ) – S.387(1)

a. Every member of the company.

b. Debenture holders.

c. Other person apart from members/debenture holders that may be entitled.

NOTE:

Copies of the financial statements for each year **shall** be sent to the above persons **not less than 21 days** before the date of the meeting at which they are to be laid and approved**. S 387**

NB-Failure to deliver financial statement **only attracts penal sanction** but does not affect the validity of the meeting or resolution reached. – **S. 389**

Director's Duty to Lay and Deliver Financial Statements at the General Meeting:

In respect of each financial year, the directors shall at a date **not later than 18 Months** after incorporation and subsequently, **once at least in every year**, lay before the company in **general meeting** copies of the financial statements of the company **made up to a date not exceeding 9 months** previous to the date of the meeting for its adoption - **Section 388 CAMA**

MODIFIED FINANCIAL STATEMENT - 393

A small company may file a modified financial statement. **S 393(1) CAMA**

A small company is defined in **Sect. 394 (3), Reg 19** and the requirements are conjunctive. They are:

Commented [MOU54]:
T IN THE TURNOVER – TWENTY – 120m
S in THE ASSTES – SIXTY – 60m

1. Must be a private company
2. Turn over for the year is not more than **N120m**
3. Net assets not more than **N60m**
4. No alien participation
5. No govt. or govt. agency nominee
6. **51%** equity share capital held by directors (for companies with a share capital)
7. Must have qualified as a small company if the requirements are not only met in that year, but also in the preceding year.

A modified financial statement is an **abbreviated version** of the full balance sheet. **It may exclude Profit and Loss account and Director's report** (**See 6th Schedule and Part l. 1st Schedule)**

NOTE: A modified financial statement is different from abridged financial statements in S 399 CAMA

ABRIDGED FINANCIAL STATEMENT – S. 399

- it is not a complete statement, but same is not submitted as a part or partial financial statement **S 399(1).**
- A company publishing abridged financial statements **must publish the fact that they are not full statements S 399(3).**
- Where a company publishes abridged financial statements, **it shall not contain an auditor's report S 399(4)**

GROUP FINANCIAL STATEMENTS – S.379

- There is need not just to prepare accounts for the subsidiaries, but also to prepare group financial statements.
- The Group financial statement includes **a consolidated balance sheet and a consolidated Profit and Loss account.**
- The directors may also choose to present several consolidated financial Statements or separate Financial Statement, for each subsidiary.
- Group Financial Statement May be incorporated into the Financial Statement Of the holding company,

Note S.379(3) circumstances under which Financial Statement of a subsidiary in the group can be dispensed with if the directors are of the view that:

Commented [MOU55]: an Unlimited Company is exempted from delivering to CAC, its financial statements and the annexures unless, it is a subsidiary or a holding company of a limited liability company.

1. **Impracticability** or of no value.
2. **Expense or delay outweighs value.**
3. Misleading/harmful as to the company's business or its subsidiaries.
4. Business are so unconnected and cannot be taken as a single undertaking.

- **Note S 379(2)** circumstances exempted under **FRCN** (Financial Reporting Council of Nigeria)

AUDIT, AUDIT COMMITTEE AND ANNUAL RETURN

AUDIT

Audit deals with the examination of the books of accounts of the company by external experts with a view to ascertaining its compliance with the accounting policy of a company and accounting standard rules.

AUDITOR-this is an independent external person who verifies and checks the compliance of accounting records of the company with basic accounting stands and legal requirements.

WHO APPOINTS FIRST AUDITORS? (August 2017 Q 3a, August 2018 Q 5b, Dec 2020 Q 6a) 🔄

The **first auditors** of a company may be **appointed by the Directors at any time before commencement of business** and **such auditors will hold office until the conclusion of the next (first) AGM S 401(5).**

Where the directors fail to exercise the power, the appointment is made the company at a general meeting; **S 401 (5) (b) CAMA**

Appointment of Subsequent Auditors

S. 401 an auditor should be **appointed at every AGM** to audit the financial statement of the company **and should hold office until the next AGM**. Both Public and Private Companies must have auditors.

POSER

The challenge of the appointment of an auditor of a company on the ground that he was appointed by the General Meeting instead of the Board of Directors is invalid because, the appointment of an Auditor of a Company is to be done at every General Meeting of the Company. **It is only the appointment of the first Auditor that is done by the Board of Directors**. **Section 401 CAMA.**

RE-APPOINTMENT OF AUDITORS; S. 401(2) (a)-(c)

At any AGM **a retiring auditor** however appointed shall be **re-appointed without any resolution** being passed **UNLESS –**

a. He is not qualified for reappointment; or

b. A resolution has been passed at that meeting that some other person instead of him has been nominated or

c. He has given the company notice in writing of his unwillingness to be reappointed.

RESIGNATION OF AUDITORS – S. 412 CAMA

An Auditor of the company **may resign by depositing a notice** in writing **of his resignation at the registered office of the company**. Such notice shall operate to bring an end to his tenure as the auditor of the company.

For the notice to be effective, it must contain the following:

c. A statement that there is no fact relating to his resignation which he ought to disclose to the company or to the creditors

d. If there is such fact, he must disclose same in his notice of resignation which must be sent to the creditors of the company.

e. However, where it is calculated to gain cheap publicity by the Auditor, the company can apply to the court for an order that the Notice should not be sent out.

f. A notice of the resignation will be filed to CAC within 14 days of the resignation.

DISQUALIFIED AUDITORS ((August 2017 Q 3a, August 2018 Q 5b))

The following persons are prohibited from being appointed Auditors; **Section 403 (1)(a)-(c) CAMA**

a) An **officer** of the Company.

b) A **partner or employee** of the Company.

c) A **person or a firm that gives the company financial consultation services.**

d) A person disqualified as auditor of a subsidiary cannot be appointed as auditor of the holding.

e) **A debtor to the company** or any person or company with interest (shares) in the company cannot be appointed

f) **Shareholder or spouse of a company** whose employee is an officer of the coy is disqualified.

g) **Anyone responsible for keeping the register of debenture holders.**

h) Employee or consultant involved in preparing financial statement for more than a year.

i) A person that knows he is disqualified must step down or he will be guilty of an offence liable to penalty **S 403(7).**

NOTE: the point is that anyone who is directly or indirectly connected to the administration of the company or who has an interest in the company is disqualified from appointment as auditor. The purpose is to ensure the independence of such auditors.

REMOVAL OF AUDITOR PROCEDURE: (Dec 2020 Q 6bi) – combined reading of 409(1) and 411(1)(d)

i. Issue **a Special Notice** to the auditor **proposing the removal** and stating the grounds

ii. **Issue 21 days' notice of EGM** to the members

iii. At the EGM, **pass an ordinary Resolution** removing the auditor from **office as auditor**

iv. The **Notice of his removal** is to be filed with the CAC **within 14 days** of the Resolution

Failure to follow the above procedure will render the company and every officer in default liable to a penalty as the commission shall specify in the CR

NOTE (EXAMS) :

where an auditor is removed before the expiration of the tenure of office or contrary to the terms of appointment, **the auditor shall be entitled to compensation or damages in respect of the termination of his appointment as auditor** – **S. 409 (3)**

POSER- can the BOD remove an auditor?

The procedure for the removal of an Auditor of the Company by the Board of Directors is wrong. An Auditor is appointed at the AGM of a Company and holds office from the AGM to the conclusion of the next AGM **S. 401** **EXCEPT** if he is removed from office by the company at any time before the expiration of his term by an ordinary resolution of the company. The removal of the Auditor by the Board of Directors is invalid **S. 409**

Remedies for Wrongful Removal: (Dec 2020 Q 6bii)

1. Sue the company for **damages for wrongful removal**
2. Apply to court for an **order to declare the removal null and avoid.**
3. Sue the company **for breach of the service contract.**

AUDITOR'S REPORT

S 404(1) provides that an auditor shall make a report the members of the accounts examined including balance sheet and profit and loss accounts

For a public company, an audit report must be subjected to the scrutiny of an audit committee

THE AUDIT COMMITTEE

Membership of Audit Committee- section 404 (3) CAMA; (Bar Exam January 2020 Q 5d)

The maximum number of an audit committee is 5 persons 3 members of the company and **2 Non-Executive Director's S 404 (3).**

All the members of the Audit Committee must be financially literate and **at least one being a member of a professional accounting body S 404 (5)**.

Members of an audit committee are **not entitled to remuneration** {**S.404(3)**} and they can be re-elected.

Any member of the company may by **21 days** written notice served on company secretary nominate another member of the company to audit committee **S 404 (6).**

N.B

Any nomination not received prior to the meeting as stipulated is invalid

The audited financial statements to be laid before the AGM must be made up to a date not later than 9 Months previous to the meeting – S. 388 MCQ

Objectives and Functions of The Audit Committee; (Bar Final January 2020 Q 5d) S.404(7)(a)-(f)

1. **Ascertain whether accounting and reporting policies are in accordance with legal requirements and ethical practice.**
2. **Review scope of planning and audit requirement**.
3. Review matters on management together with external auditor and departmental responses thereon.
4. **Reviews effectiveness of the company's accounting system and internal control.**

Commented [MOU56]: MCQ
For Public companies, **private companies do not need an audit committee**

5. Makes **recommendation of appointment, removal and remuneration of auditors,**
6. Authorizes investigation by internal auditors.

ANNUAL RETURNS

Every company is to make annual returns to the Commission **at least once in each year.** **S 417** The annual returns are in different forms depending on the type of company **S 418-420.**

FORM CAC 19 is used for all AR filing for all companies.**.** The AGM of the company determines filing of annual returns **S 421**. A company need not file annual returns in the year of incorporation or the following year provided the period does not exceed 18 months and the period for filing can be extended for not more than 3 months. Therefore, in subsequent years, penalties for late filing will only start counting from 15 months of the last AGM.

TIME FOR COMPLETION & DELIVERY OF ANNUAL RETURN – S. 421

The annual return shall be completed, signed by a director and the secretary, delivered to the Commission **not later than 42 days** after the AGM for the year, whether or not that meeting is the first or only general meeting of the company in that year, The company may apply to the Commission for extension of time within which to file its annual return for any given calendar year.

Documents To Be Annexed To Annual Return – S 422

Subject to the provision **of S. 424** CAMA **exempting unlimited companies and Small companies**, the Annual Return must have annexed to it:

The following documents are to be attached to the Annual Return:

1. Balance Sheet (Including documents to be attached to the Balance Sheet),

2. Profit and Loss account.
3. Auditors Report.
4. A written certificate for the above documents signed by a director and secretary.

NB could be delivered in hard copy or electronically

Consequences of Failure To File Annual Returns (Exam focus)

1. It is an **offence and directors or officers are liable to a penalty** as the CAC may prescribe – S. 425.
2. **Striking off a defunct company**: **S. 692, Also** under S. 425(3) If the company fails to file for **a consecutive period of 10 years**, it can lead to striking off the company from the register.
3. **Enforcement of Return**: **By S. 744 CAMA** through an action filed at the FHC within 14 days after service of notice by CAC on the company to file its annual returns

STRIKING OUT OF NAME OF A COMPANY

The name of company may be struck off from the register of companies either at the request of the company or by CAC Suo motu.

Procedure for striking off at the request of the company: **S. 692(1) CAMA**

1. a special resolution has been passed by the company that the name of the company be struck off the register;
2. The company will send an application to the CAC that the name of the company be struck off the register;
3. The company will make an advertisement has been made in three national daily newspapers **within 28** days of passing the resolution, calling for objections, if any, to the application

4. the Commission is satisfied that—
   a) the reasons given for the application are sufficient to justify the striking off,
   b) the company has not commenced business and has no undischarged obligations, and
   c) no reasonable objection has been received **within 28 days** of the publication of the advertisement mentioned in paragraph (c)

GROUNDS FOR COMPULSORY STRIKING OFF BY CAC: **S. 692(3)**

1. Where the company is not carrying on business or has not been in operation for **10 years** or
2. Where the company has not complied with provisions of CAMA for a consecutive **period of 10 years**,

PROCEDURE (focus)

1. the CAC will publish, in at least **three national daily newspaper**s, a notice of its intention to strike off the company from the register.
2. **within 90 days** of the last publication, the CAC did not receive any response from the company that it is carrying on business or in operation, it may strike off the name of the company.
3. CAC will then publish in at **least three national daily newspapers**, the name and date of the striking off of the company

N.B

the liability, if any, of every director, managing officer and member of the company shall continue and may be enforced as if the company has not been struck off – **S. 692(5)**

RESTORATION OF NAME AFTER STRIKING OFF

1. If the name of the company was struck off on the request of the company, it may be restored if **within 2 years** from the date of the striking off, an application was made to the court by an aggrieved member. If the Court is satisfied that it is just to restore it to the register, the Court may order the name of the company to be so restored. – **S. 692(2)**

2. If the name of the company was struck off by CAC, it may be restored if **within 10 years** from the date of the striking off, an application was made to the court by an aggrieved member if the Court is satisfied that, at the time of the striking off, the company was carrying on business or in operation, or that it is just to restore it to the register, the Court may order the name of the company to be restored to the register. – **S.692(6)**

CHAPTER TEN

COMPANY SECURITIES I- SHARES AND DEBENTURES

A share is the unit of interest a person has in a company. By acquisition of the share of a company, a person becomes a member of such company.

The shares of a company may be classified into:

1. Preference shares.
2. Ordinary Shares
3. Founders or Deferred shares. – **S. 144 CAMA**

PREFERENCE SHARES

1. This type of shares entitles the holder to a **fixed preferential dividend,** this means that the dividend payable by the company to the holder of such shares is fixed at a specific figure e.g. 5%, 10% etc.
2. It **only becomes payable when dividends are declared.**
3. The dividend **must be paid before** the ordinary shareholders receive their own dividends i.e. it has priority over ordinary shares.
4. However, they **CANNOT** participate in the profit of the company in excess of the fixed dividend.

EQUITY/ORDINARY SHARES

1. Ordinary shares are referred to as the Equity share capital of the company.
2. They carry the remaining of distributed profits after the preference shares have been paid their fixed dividend.
3. They are the **risk bearing shares.**
4. They enjoy unrestricted right to participate in the surplus assets of the company.

PRE-EMPTIVE RIGHTS OF EXISTING SHAREHOLDERS

The existing members of a company have pre-emptive rights (right of first refusal) in the new issue of shares. This is aimed at maintaining the shareholding equilibrium. **See S. 142 CAMA. It must be** authorized by the Articles.

NON-VOTING - Section 140 CAMA.

Non–voting share **carries no right to vote**, **CAMA abolished non–voting shares**

WEIGHTED SHARES

A weighted share **carries more than one voting right**, the Act prohibits the issuance of weighted shares. **Section 140 CAMA.**

The apparent permission granted by the Act is in **section 140(3)** which allows preference shareholders to more than one vote. The circumstances in which such shares can be issued are provided in **section 168.**

Circumstances When Preference Shares Can Carry More Than One Vote

Preference shares shall carry a right of more than one vote per share in the following circumstances, but not otherwise: **S. 168(2) CAMA**

a. upon any resolution during such period as the preferential dividend or any part of it remains in arrear and unpaid, such period starting from a date **not more 12 months o**r such lesser period as the articles may provide, after the due date of the dividend or
b. upon any resolution **which varies the rights attached to such shares**, or
c. upon any resolution to **remove an auditor of the company** or to appoint another person in place of such auditor; or
d. Upon any **resolution for the winding up of the company** or during the winding up of the company.

e. any **special resolution of a company increasing the number of shares** of any class

Issuance of Shares at Premium: S. 145

means issuance of shares at price **that is higher than the nominal value of the shares,**

It is prohibited to issue shares at a discount – Section 146 of CAMA.

SHARE PREMIUM ACCOUNT

When shares are issued at a premium, the company is to open an account called "**Share Premium Account**" where the premium will be kept.

Uses Of the Share Premium Account (April 2018 No 1) – Section 145(4)

1. For **paying up unissued shares and paying them to members as bonus shares**.
2. **Writing off preliminary expenses relating to Incorporation**.
3. **Writing off commission or expenses on any issue of shares**.
4. **Providing for premium payable on redemption of redeemable shares**.

METHODS OF ACQUISITION OF SHARES

1. Subscribing to the **MEMOART** of the company –**S. 105**
2. Allotment of shares **S. 150**
3. Transfer of shares **S. 175**
4. Transmission of shares **-S. 179**

1. SUBSCRIPTION

Subscription is the signing of the memo and articles of association by two or more persons. Therefore, subscribers are those that append their signatures to the Memo and Articles of Association of a company.

All the shares of a company must be issued at the point of incorporation- **Sect 124(1).** 25% of the issued share capital must be paid up – **Section 128(1) CAMA.** Their names are entered on the register of members.

3. ALLOTMENT OF SHARES (April 2018, August 2018 Q 4d)

Simply put is a written application for shares to be issued. Shares may be acquired by allotment, i.e. written application to the company for shares to be issued to the applicant.

MODE OF ALLOTMENT

1. For a **private company** is by **application which is delegated to the board of directors** **Section 149(1) CAMA**
2. For a **public company** its through the ISA **Section 149(2) CAMA,**

A person may withdraw the application for shares before it is issued by notice in writing. **Section 150(1)(c).** This is called **Renunciation**.

A company may allot all the shares requested for or part and notify the applicant **within 42 days of the application- Section 150(1)(c) of CAMA. (focus)**

Notification of allotment of shares forms contract between the company and the individual with effect from the date of the allotment- **Section 151 of CAMA**

Sending of a **letter of regret** where the whole shares applied for cannot be granted.

In the event where a **letter of regret** is sent part of the money representing the shares not issued to the applicant should be refunded to the applicant. **Dangote Industries Ltd v Bank PHB.**

A **company must have unissued shares for it to be issued to the applicant**, else a resolution for increase of share capital must be passed first**. Okoya v Santili**

When a company allots shares **it must make Return of allotment** by filling form **CAC 5 within 1 month** - **Section 154**

Pre-Emptive Rights with Respect to Allotment Of Shares:

A company shall not in any event allot newly issued shares **UNLESS** they are offered in the first instance to all existing shareholders of the class being issued **in proportion as nearly as may be to their existing holdings**. - **Sect 142 of CAMA**

The procedure for allotment of shares is provided in S. 150 – 154 CAMA (EXAM FOCUS)

1. Issuance of prospectus,
2. Subscription list is opened (if public)
3. Receive applications and record in application and allotment sheets
4. Board of Directors (allotment committee) meeting is called to pass resolution on allotment.
5. Issuance of letters of allotment or regret
6. Deal with Letters of Renunciation if any;
7. **Deliver Share Certificate within 2 months – S 171. CAMA**
8. **Enter allotees name in the Register of Members**
9. File **Return of Allotment in Form CAC 5 within 1 month** of the allotment to the CAC and attach the following documents

Shares may be paid for in cash or non-cash consideration – **Section 160 of CAMA.**

If the shares are issued for a consideration other than cash with regards to a public company – (TAKE NOTE EXAM)

a. Have the consideration valued and obtain particulars of valuation. **S. 162(1)**

b. If consideration involves capital investment of 20,000 Naira or more apply under the Industrial Inspectorate Act.

In the event where there is non-cash consideration, the following must be submitted along with **Form CAC 5**:

1. Agreement constituting the title of the allottee to the allotment.
2. Agreement for sale of property, services or other consideration
3. Particulars of valuation (valuation report)
4. BOD resolution approving allotment by non-cash consideration

3. **TRANSFER OF SHARES**

Transfer of shares is usually subject to restrictions provided under CAMA or the articles of the company particularly private companies. **S. 22** Restriction does not mean prohibition.

Section 175 is the general rule on transfer as restriction is an exception

Transfer is done by a instrument of transfer (it could be electronic). Transfer could be part or the whole of the shareholding of the transferor.

Procedure For the Transfer of All the Shares Held By A Member (April 2018 Q 4) –

1. Execute an agreement under seal.
2. Submit instrument and share certificate to transferee.

3. **Transferee delivers the instrument to the Company who cancels the certificate and issues a fresh certificate.**
4. Name of the transferee entered on the Register while that of transferor is deleted.

If what is transferred is part of the shares or all the shares but to more than one purchaser, the procedure is as follow: May 2012

1. Instrument of transfer duly executed is sent to the company and instrument to be recognized and registered as certificate of transfer which shall include an electronic form of certificate – Section 181(1) of CAMA.
2. Upon receipt company endorses on the certificate "**certificate lodged**". (Certificate lodged endorsed is prima facie acknowledgement of title of transferor, but not conclusive proof that the transferor has interest in the company- Section 181(2) of CAMA.
3. Old certificate is submitted and a new certificate is issued to each person.
4. Alteration on the Register.
5. Notice to **CAC Form 5** (Return of allotment)

EFFECT OF NON-REGISTRATION OF TRANSFERRED SHARES

- Until the name of the transferee is entered in the Register of members in respect of transferred shares, as far as the company is concerned, the transferor is deemed to remain a holder of the shares. **S. 176(2) (focus)**
- The company may refuse to register the transfer of a share (not being a fully paid share) to a person of whom they do not approve, and may also refuse to register the transfer of a share on which the company has a lien. **S. 176(3)**

Commented [MOU57]:
REMEDIES FOR NON-REGISTRATION
Until the transfer is registered the interest remains in the holder
The remedies are:
I.Notice of interest to company coupled with affidavit of interest 180(1). nb maintaining status quo for 42 days 180(2)
II.Application to CAC for alteration of reg of member
III.Action against transferor to account for dividends

If the company refuses to transfer shares, notice of refusal must be sent to the transferee - **Section 177 of CAMA**

Refusal by the Company to Recognize and Register Instrument of Transfer

A company may refuse to register a transfer of shares on the following grounds:

a. If the **shares are not fully paid up and the company will not approve the transfer. – 176(3)**
b. The company has a **lien** on the shares.
c. Non-payment of requisite fees on instrument of transfer.
d. The instrument of transfer is not accompanied by share certificate or other evidence to show transferors to make the transfer.
e. the instrument is in respect of more than one class of shares. – **S. 176**

NOTE: If a company refuses to register a transfer of any share, it shall within 2 months after the date on which the transfer was lodged with it, send notice of the refusal to the transferee. **Section 177(1)**

Remedies For a Person Entitled to Shares but Not Registered

1. Serve on the company a notice and affidavit of interest in the company's shares **pursuant to CAMA.**
2. Apply to Federal High Court to rectify the company's register of members in his favour;

TRANSMISSION OF SHARES

This is the acquisition of shares by the personal representative or surviving holder in case of joint holding of the shareholder upon the death of the shareholder.

A person may die testate or intestate. **Beneficiaries to produce Letter of Administration or will admitted to probate**. **Tika Tore Press Ltd v Abina**

Transmission is applicable in Bankruptcy (a bankrupt is a financially dead person, but he may be resurrected from his financial death) – **Section 179 (2) CAMA**.

A personal representative may himself validly transfer the share or other interests of a deceased member even though he is not registered as a member**. Section 178.**

OPTIONS OPEN TO A PERSONAL REPRESENTATIVES IN RESPECT OF SHARES

1. A personal rep can transfer shares to another person or get it registered in his name **S. 179(2)**
   a. If the **personal reps elect to transfer to himself**, he **sends notice in writing indicating same**, - **S. 179(3)**
   b. **if he elects to transfer to another**, **he shall execute an instrument in the prescribed form** **S.179(3)**

2. If the personal rep does not make the election above, **then the company may give notice to make an election.**
3. In the event where the personal rep still fails to make an election, **after 90 days the company can stop paying dividends on those shares S.179(5)**

N.B BAR FINAL **2009 No 4(a)(iv)**

the ownership of the shares of joint shareholders in the event of the death of one the shareholders will automatically vest (by operation of law) on the survivor – S.179

Commented [MOU58]: PROTECTION OF BENEFICIARIES
A beneficiary of shares by transmission may have his interest protected by filling an affidavit of interest on the company pursuant to S.180 (Applicable where there is a rival interest)

Commented [MOU59]:
This is done through a **letter of request**. It is an instruction to the company for the purpose of transferring the shares to himself or somebody

The Procedure for Transmission of Shares: S. 179(2) & (3)

1. The personal representative are to obtain probate /Letters of Administration
2. Write a letter notifying the company of the **intention to either be a member of the company or to transfer same** **attached with the following docs**: 2010
   a. A copy of the **Death Certificate of the deceased** shareholder
   b. Copy of the Probate/Letters of Administration
   c. Original Shares Certificate owned by the deceased
   d. An instrument of transfer if he elects to transfer the shares to another
3. A new certificate will be issued to the legal representative of the deceased or to any other such person to whom the shares were transferred **within 3 months**
4. The company will enter the name of the person in the register of members

POSER

With the aid of relevant authorities, write a reply on points of law to the contention that shares of a deceased joint shareholder are registered in favor of the legal representatives of the deceased shareholder by transmission. **2009 No 4(a)(iv)**

The objection is misconceived in view of the fact that the ownership of the shares of joint shareholders in the event of the death of one the shareholders will automatically vest (by operation of law) on the survivor. **Section 179 of CAMA.**

SHARE CERTIFICATE - MCQ

Share certificate is prima facie evidence of shareholding and membership.

Every company must within 2 months after the allotment of any share and

In case of transfer within 3 months after the lodging of share transfer, complete and have ready for delivery the certificate of all the shares allotted or transferred. **S. 171**

DEBENTURES

This is a mortgage on the company's properties and undertaking including uncalled capital. –**S. 191**

Unlike shares, debenture is an external source of capital of a company for a company's business or objects. **Union Bank of Nig. Ltd V Tropic Foods Ltd.**

Debentures are normally made by deed, but it may not always be a requirement of law ***Union Bank v. Tropics Foods Ltd***

DEBENTURE STOCK CERTIFICATE

The debenture or debenture stock certificate under the company's common seal **must within 60 days** after allotment or after registration of transfer of any debenture be delivered by the company to the registered holder – **section 192 .**

TYPES OF DEBENTURES (Dec 2020 Q 1e)

1. **PERPETUAL DEBENTURE**

   A perpetual debenture is **made irredeemable or redeemable only on the happening of a contingency** however remote or on the expiration of a period however long. **S.196**

2. **CONVERTIBLE DEBENTURE**

   These are debentures which are **issued upon the terms that in lieu of redemption or repayment, it may be converted into shares in the company** upon terms as stated in the debenture instrument; **section 197**

3. **SECURED DEBENTURE**

   Debentures may either be **secured by a charge over the company's property.** This is the best option for Banks giving loan to companies. **S. 198**

4. **NAKED DEBENTURE**

   Dentures may also be unsecured by any charge thus naked. **Section 198**

5. **REDEEMABLE DEBENTURE**

   A company limited by shares may issue debentures which are or at the option of the company are to be liable, to be redeemed; **Section 199 CAMA** redeemable on a fixed date (due date) can also be re-issued subject **to S. 200**

6. **BEARER DEBENTURE**

   This is debenture which is repayable to holder of the instrument.

7. **REGISTERED DEBENTURE**

   This debenture is repayable to only the Registered Holder of Instrument (i.e. the person whose name appears in Certificate and Register.

8. **Syndicate or loan debenture-** successive or series of debenture on the same property with no right of priority of one after the other they rank side by side but asset must cover borrowing – **Sect 208(2) CAMA.**

Effect of Ultra Vires Borrowing

Issuing debentures beyond borrowing limit may not invalidate it. **Sect 44(3)** as company may convey its property even if not pursuant to its authorized business,

FORM OF DEBENTURES

For a **loan from 1 person or a few persons**, a **simple debenture deed is used**, for a **loan from a large number of persons**, it is **done by issue of debenture stock** under a trust deed entered into between the company and trustee of the debenture holders.

A simple debenture is usually in the common form with conditions endorsed at the back. Offer of debentures by a public company to the public for subscription or purchase must be by debenture trust deed (section 208(1)).

TYPES OF SECURED DEBENTURES

Debenture may be secured by **Fixed** or **Floating** charges - **section 203 CAMA**

FIXED CHARGE

A fixed charge attaches to a particular piece of property when the charge is created. It is the preferred option for most Banks intending to grant loans to companies.

The **ADVANTAGE** is that:

1. The particular **asset charged is ear marked and kept available to satisfy the loan.**
2. The **company cannot dispose of the asset or create other charge ranking in priority to the present charge**.
3. It ranks in priority to floating charge

The **DISADVANTAGE**

1. the Debenture holder is **confined to the asset charged** in the fixed charge and **cannot proceed against other assets of the company**.
2. the **company will be restricted in its use of the charged property**, so it is not preferable for most companies.
3. Its **more rigorous and expensive to create**
4. If it involves land, governors consent must also be obtained

FLOATING CHARGE

A floating charge means an equitable charge over the **whole or a specified part** of the company's undertakings and assets including cash and uncalled capital of the company both present and future; **section 203 CAMA.**

It is preferred by Companies for the Following Reasons: (August 2019 Q 4e)

1. It can be **created even when the company has no fixed assets**
2. It is more **flexible and does not restrict the rights of the company over its assets**
3. It is only registrable with CAC and not at the land registry which makes **it cheaper**
4. **No governor's consent is required** since no interest is conveyed.

Crystallization of Floating Charge

A floating charge shall not preclude the company from dealing with such assets until

a. The security becomes enforceable and the holder appoints a receive or manager or enter into possession of such assets; or
b. The court appoints a receiver or manager of such assets on application of the holder.

c. The company goes into liquidation; **section 203(1) CAMA**

On the happening of any of the events stipulated above, the charge shall be deemed to crystallize and to become a fixed equitable charge on such of the company's assets as are subject to the charge.-**S. 203(2) CAMA**

REGISTRATION OF CHARGES (August 2018 Q 4c, Dec 2020 Q 4f)

the company **must within 90 days of the creation of the charge** deliver to CAC certain particulars for registration. - **Section 222 CAMA**

The registration is effected by filling - **Form CAC 9** which is used for the registration of charge(s).

Upon **registration** of the charge securing a debenture, **the CAC must issue a Certificate of Registration which serves as prima facie evidence of compliance with the requirements of registration**, **Section 222 (2) CAMA**

Effect of Failure to Register Charges with The CAC (August 2017 Q 2e, Dec 2020 Q 4f) - Section 221(2) CAMA, ***Capital Finance Co. Ltd v. Stokes***

The Debenture **becomes void against the creditors and liquidators of the company**, The obligation to pay the debt is, however, not discharged.

PROCEDURE ON THE CREATION OF CHARGES/DEBENTURES (Dec 2020 Q 1f)

1. Convene a Board meeting and pass a Resolution authorizing the loan.
2. Preparation, execution and stamping of the loan documents;
3. Obtain Governor's consent, (if necessary)
4. File documents at Lands Registry
5. File documents for registration with the **CAC** viz **Form CAC 9 - Particulars of Charges**

Commented [MOU60]:
1.Deed of mortgage (charged by way of legal mortgage or debenture);

2.Power of Attorney

3.Debenture Trust Deed

6. **Leave Copies of documents for inspection at the company's registered office** i.e records of instruments
7. Particulars entered in register of charges
8. Obtain Certificate of registration of charges from CAC.
9. On satisfaction of the charge/debenture, file statement of satisfaction in whole or part of the charge in **Form CAC 10**
10. Notify CAC of appointment of receiver when there is default.

REMEDIES OF DEBENTURE HOLDERS (Mostly Banks)

The following remedies are available for the default in repayment of the loan: **Section 233**

1. **Action in Court to recover the principal and interest**
2. **Petition for winding-up** of the company on the ground of its inability to pay its debt
3. Debenture holder's action to enforce security (sell property).
4. Power of sale if it is a debenture secured on a fixed asset (must be in the instrument)
5. Foreclosure
6. Valuation of security and providing for balance upon winding up.
7. Appointment of receiver or manager over the company; ***Nashtex Intl v. Habib Nig. Bank***

SATISFACTION OF CHARGE

If the company repays the amount of the debenture, it has to file a memorandum of satisfaction of the charge. This is done using **Form CAC 10 S. 229.**

RECORDS KEPT BY THE COMPANY UPON ISSUE OF DEBENTURE

1. Register of Charges – Section 216 of CAMA.
2. Record of instrument creating charges – Section 217 of CAMA
3. Register of debenture holders – Section 218 of CAMA
4. Copies of instruments creating charges – Section 215 of CAMA.

CHAPTER ELEVEN

COMPANY SECURITIES II

CAPITAL MARKET PRACTICE AND FLOATATION OF SECURITIES

(This Topic formed majority of the COMPULSORY Question 1 & 4 in)

PREAMBLE-Capital floatation is simply the method by which a company can offer its securities to the public to raise money.

REGULATORY AUTHORITIES

1. Securities and Exchange Commission is the main regulatory authority on public offer of companies' securities.
2. Nigerian Exchange Limited (formerly known as NSE)
3. Corporate Affairs Commission
4. Federal Competition and Consumer Protection Commission
5. Federal High Court of Nigeria

Applicable Laws

1. Investment and Securities Act (ISA) 2007
2. Securities and Exchange Commission (Consolidated Rules) 2013
3. Companies and Allied Matters Act
4. Federal Competition and Consumer Protection Act
5. Federal High Court ACT

6. Ngx listing Rules

FINANCIAL MARKET

This refers to the avenue by which companies and the government raise funds. The sources of funds are two:

a. The Money market
b. The Capital market.

MONEY MARKET

Money market is the forum where you can access funds from Banks and other financial institutions through negotiable instruments and bills. It is used to access short term funds. Collaterals are usually required.

CAPITAL MARKET

Capital market encompasses **all the arrangements that facilitate the buying and selling** of shares/securities. It is a forum where companies and governments may raise funds from the general public by trading securities on the Stock Exchange. Platform upon which medium to long term financing is obtained in the form of securities

Advantages of Raising Money from the Capital Market other than Borrowing from Banks (Dec 2020 Q 4e)

1. There is **no need for collateral/security**
2. **No interest is paid** on the funds raised
3. There **is no limit to the amount of money that can be accessed**
4. **No duration for repayment** of the funds
5. It is **cheaper than obtaining loans**.

LEVELS OF THE NIGERIAN CAPITAL MARKET

The Nigerian capital market exists at two levels;

1. Primary Market and
2. Secondary Market.

THE PRIMARY MARKET-Rule 405 SEC Rules 2013

- This is where companies can access funds for their shares which have been newly listed or issued to the public.
- It is otherwise known as the **new issues market; since** it provides avenue for those wishing to raise funds from the market by selling their securities to the public.
- Sale of securities as a fresh issue (not first issue)

Forms of Primary Market

1. Initial Public Offer (IPO)
2. Public offer

THE SECONDARY MARKET

The secondary market provides investors the opportunity to buy or sell securities that were earlier issued in the primary market. **Thus, this is a sale of shares by the shareholder**.

Transfer of interest in securities between individuals other than the company which issued them.

An unorganized secondary market has no physical trading location but transactions are conducted mainly through telephone calls and the computer. It is otherwise referred to as an **Over-the-Counter Market (OTC)**. It trades in unquoted securities.

NB-Funds raised in the secondary market do not go to the company but the proceeds go to the shareholder/investor himself.

WHO CAN OFFER SECURITIES TO THE PUBLIC?

Only public companies (PLC) can offer its securities to the public, but only quoted public companies and government issuing Bonds can be listed at the Stock Exchange.

Private companies (LTD) and unquoted PLC can offer their securities through private placement but which must be registered with SEC.

CAPITAL MARKET OPERATORS AND CONSULTANTS

Section 315 capital market operator" means any persons (individual or corporate), duly registered by the Commission (SEC) to perform specific functions in the capital market

These are key institutions and individuals whose intermediary activities operate the capital market. They are professional corporate bodies and individuals registered with SEC.

Capital Market Operators include: **Rule 45-177 SEC Rules 2013**

1. **ISSUING HOUSES** – A financial institution that **engages in finding capital for established companies** or for private firms **wishing to convert to public companies, by issuing shares on their behalf.**

2. CUST**ODIANS** – A person who has custody as a bailee of securities or certificate issued in the investor's name which appears as the beneficial owner of the securities in the issuers register.

3. SECUR**ITIES** DEA**LERS** – A firm who is a member of a securities exchange **engaged in the business of effecting transactions in securities for his own account or on the account of others**

4. STO**CK** BR**OKERS** – A member of the **Chartered Institute of Stockbrokers** registered as a market operator **who deals in the exchange of securities.**

5. TRU**STEES** – A person registered by the SEC to act and be vested with a financial property of which trust has been created for.

6. **UNDERWRITERS** – A person registered by the SEC who has temporarily purchased securities from an issuer with a view to offering and selling the securities for the issuer.

7. **PORTFOLIO MANAGERS** – A professional responsible for making investment decisions and carrying out investment

CAPITAL MARKET CONSULTANTS

Are professionals who render certain experts service in the capital markets and their opinions impact on capital market**.**

They include**: Rule 178-181 SEC Rules2013.**

1. **Solicitors,**
2. **Accountants,**
3. **Investment Advisers,**
4. **Valuers**
5. **Rating Agencies, and**

6. **Engineers**

CAPITAL MARKET SOLICITORS

One of the conditions for a legal practitioner to be appointed as a Capital market solicitor is **ACCREDITATION** with **SEC (Dec 2020 Q 4a)**

Roles/Duties of Solicitors In Capital Market (August 2017 Q 5f, Dec 2020 Q4b), March 2021

RULE 180 SEC RULES 2013

1. Advise on the legal structure of the investments, and the legal risks involved.
2. Advise on compliance with the requirements of CAMA, **the listing rules of the stock exchange.**
3. **Ensuring that shares are registered with SEC.**
4. **Drafting and registration of prospectus and ensuring that untrue statements are not contained therein**.
5. **File necessary applications in court in support of transactions**.
6. **Make all statutory filings** and provide confirmations (legal opinion) as to the enforceability and effectiveness of transaction documents;

REGISTRATION OF SECURITIES

All securities, bonds and collective investment Schemes must be approved first and registered by SEC; **S. 54 and 67 of ISA, R. 279&280 SEC RULES 2013-**

AIM-The aim of the registration/approval is to approve the price for the securities.

METHODS OF OFFER OF SECURITIES TO THE PUBLIC-Rule 279(1) (August 2018 Q 6c, Dec 2020 Q 1c), MARCH 2021

(Mostly asked to list it and not explain)

1. Initial public offer (offer for subscription)
2. Direct offer to the public

3. Offer by introduction
4. Offer for sale
5. Private placement by public companies and other entities(private placement)
6. Rights issue
7. Bonus issue
8. Debt equity conversion
9. Sukuk
10. Debenture/loan stock
11. Bonds
12. Offer by tender
13. Offer by subscription

1. DIRECT OFFER TO THE PUBLIC

This is where the company offers its shares directly to the public through an **Issuing House** by means of a **prospectus**.

NOTE-The risk of failure of the issue is borne by the company and not the issuing house. Thus, to protect itself, the company usually arranges for the issue to be **underwritten** at an agreed commission.

2. OFFER FOR SALE

This is where the company sells **the whole shares or debentures to** an Issuing House and the Issuing House then offers the shares to the public at a higher price.

The issuing house bears the risk of failure of the issue, thus undertakes the responsibility of under writing the issue.

Difference Between Direct Offer and Offer For Sale

i. In a direct offer for sale, the Issuing house gets commission while in offer for sale, the issuing house gets **profits**.

ii. In a direct offer for sale, the company undertakes the responsibility for underwriting the shares; whereas in an offer for sale, the issuing house undertakes the responsibility of underwriting the shares.

3. PLACING

The shares of a company are allotted to an issuing house who later sells the shares to a **specialized client or institutional investors or pension funds.** The company pays brokerage (commission) to the issuing house

NOTE:

The risk of failure is borne by the issuing house. Thus it sees to the underwriting of the shares.

4. PLACEMENT (Private Placements)-Rule 340 SEC Rules 2013

This is usually called private placement. This is a method of offering shares available to a public company (listed or unlisted) or by a private company upon application by members subject to its Articles and SEC approval.

NB- A private company cannot allow private placements to more than 50 persons.

5. RIGHTS ISSUE-R.324-338 SEC Rules 2013.

An **invitation to existing shareholders** to subscribe to new securities being issued by the company, at a **special price** and **in proportion to their existing holdings**. Rights issue is meant to preserve the leverage or shareholding equilibrium.

Disadvantages of Rights Issue

1. Shares are sold at a lower price than it would have been sold in the market.
2. There could be the **problem of the shareholders not having enough money to purchase the rights issue.**
3. The precarious nature of the capital market or the problems associated with the management of the companies may make a shareholder reluctant to purchase new shares in the company.

6. **Bonus issue**: **The proportionate issuance of new shares to the existing shareholders of the company at no cost to the shareholders** by the capitalization of accumulated reserves from the profits earned in the previous year then no need to issue prospectus.

7. **Offer by Tender**

   Applications are invited from the public to tender for shares. Allotments are made to the highest bidder.

8. **Debt-equity conversion**: This is a process that enables the conversion of debt instruments into equity, based on pre-determined agreement or conditions by the parties involved.

9. **Sukuk**: Investment certificates issued as evidence of undivided ownership of tangible assets, usufructs and services, or some investment activity, based on sharia principles, approved by SEC- See Rule 569 SEC Rules, 2013.

10. **Debenture loan stock**: A debenture is a medium or long-term debt instruments used by companies to borrow money.

11. **State and local government stock**: FG, State & LG Bonds are tradable security issued by the FG, state or LG to raise funds for any specific project authorized by the issuing authority. See Section 222-223 ISA. They can issue registered bonds or promissory notes cumulative loan outstanding shall not be more than 50% of its revenue for the preceding year.

Electronic Offer and Transfer of Securities S. 55(1) ISA & Rule 345 SEC

A company can opt for the electronic mode of offer and transfer of securities subject to other rules and regulations.

N.B: Even where this method is adopted, the company shall issue a share certificate to any shareholder who elects to have same.

PROPECTUS

Prospectus" **means any written or electronic information, notice, advertisement** or other forms of invitation **offering to the public for subscription or purchase, any shares, debentures or other approved securities of a company and other issues or scheme**; - **315 ISA**

FORMS OF PROSPECTUCS

1. Full prospectus: this document contains a detailed description of the prospectus
2. Abridged prospectus: **summarized version** of the prospectus
3. Deemed Prospectus: not tagged a prospectus but **contain the essential requirements of a prospectus**. **S 82 ISA**
4. Statement in lieu of prospectus :

This is a statement delivered to the commission in place of a prospectus in certain circumstances:

a) Where a public company that intends to allot shares to the public has not issued a prospectus; or
b) It has issued a prospectus but has not allotted the shares.

Procedure for Issuing Prospectus for Public offer of Shares: (Dec 2020 Q 1b)

1. **Prepare a draft Prospectus and the deliver same to the Issuing House**.
2. The **issuing house will submit the Prospectus to the Nigerian Exchange Limited and SEC for approval and registration of the shares**.
3. **Print the final copy of the prospectus as approved by SEC**.
4. **Obtain the opinion or consent of the experts who made the Reports contained in the Prospectus**.
5. **Submit to SEC the printed Prospectus duly signed by all the directors named in it for registration.**
6. **Publish the Prospectus inviting the public to invest in the securities**.

Liability For Non Registration of Securities

It is provided for in **S. 54 (6) ISA.** It attracts a fine of N1m or 3years imprisonment or both

Liability For Non Issuance of Prospectus:

For body corporate-N500, 000 and 100, 000.00 (individual), **S. 67(2) ISA**

Non Registration of Prospectus- Section 80(6) ISA

N25, 000.00 for company & N5000 for individuals for each day of default

WHO IS LIABLE? Section 85 (2) ISA - It is the directors, person consenting to be named, employee, issuing house and principal officers.

FLOATATION OF BONDS

Bonds are fixed income security issued as debt instrument with low interest yield. It is a loan instrument used to raise long term capital for infrastructural development.

TYPES OF BONDS

a) **Federal Government bonds:**
   Issued by the FGN via the debt management office and listed on NSE, the income is tax free

b) **State/Local Bonds:**
   Issued by SG/LG, no VAT is charged on the proceeds

c) **Corporate bonds**
   Issued by private or public companies. They **have a high interest rates than government bonds.** They can be converted to equity if certain provisions are met and, in such circumstance, such bonds are called convertible bonds

d) **Supranational Bonds:**
   Issued by institutions such as AfDB and the World Bank, they have high credit rating and are regarded as the safest bonds

PARTIES TO A BOND

- ISSUER(BORROWER)
- BONDHOLDER(LENDER)

A. CORPORATE BONDS-

This can be issued by any public company, foreign public companies and supranational bodies**-Rule 567 SEC Rules**

CONDITION FOR APPROVAL OF CORPORATE BONDS

The issuance of bonds by public companies and supranational bodies shall be subject to the following conditions:-**Rule 568**

WHO CAN ISSUE GOVERNMENT BOND (MCQ) - Section 222 ISA 2007

1. The Federal Government
2. Federal Government Agencies
3. State Government and its agencies
4. Local Governments and
5. **Any company which is wholly owned by the Federal, State, FCT and Local Government**

LAW REGULATING GOVERNMENT BONDS

1. Trustee Investment Act
2. Debt Management Office (Establishment) Act
3. ISA and SEC Rules 2013

Conditions/ Requirements for a Valid Issue of Government Bonds (August 2016 NO 4 a)

1. **There must be a law passed by the National Assembly,** State House of Assembly or Local Government **authorizing the issuance of bonds**.
2. The bond instrument **must bear crest of the government body and be signed by the minister, commissioner** or chairman **or other appropriate officer of the body raising the loan**. **S.241(1) ISA**
3. The total amount of out-standing loan and the bond of the issuer should not **exceed** more than half of its actual revenue for the preceding financial year- **S. 223(1)(a) ISA;R.565(2) SEC Rules 2013.**
4. The **bond issue must be registered with SEC** -**Rule 564;s.224(1) ISA**
5. **Redemption date shall not exceed 25 years from date of issuance of the bond**. **S.226 (2) ISA.**
6. **A separate sinking fund shall be established for each loan raised**. **S. 251**
7. **The bond holders must pay full purchase price before registration S. 231**
8. **Bond Certificates** must be issued to bondholders by the registrar **within 2 months** of the issue-**S. 232 of ISA**
9. A trustee (usually a company) is to be appointed to act on behalf of the bondholders –**S. 224(5); ISA.**

FLOATATION OF SECURITIES

Floatation is simply the process through which public companies make their securities available to members of the public.

For a company to offer shares or debentures to the public, it must be a public company.

NB: For a private company to be able to offer its share and debentures to the public, it must first seek re-registration from a private company to a public company, in line with **Section 56 of the CAMA.**

Registration of Securities

By the provision of Rule 279 SEC Rules the following shall register their securities or schemes with SEC:

1. Public quoted companies
2. Public unquoted companies
3. Government and its agencies
4. Investment Schemes

Failure to register such securities is a crime punishable by N1m fine, 3 years imprisonment or both. Section 54(6) ISA.

Procedure for Floatation

1. STEP 1: Internal compliance, board resolutions, Special resolution for conversion, consequential amendments etc.

2. STEP 2: Appointment of Professionals including; Solicitors, Underwriters, Valuers, reporting Accountants, Issuing House etc.

3. STEP 3: Team meeting, assigning responsibilities and time line.

4. STEP 4: **Documentation and payment of fees**- resolutions, audited accounts, underwriting contracts, vending contracts, accounts histories and projections, prospectus, etc.

5. STEP 5: Registration with SEC (by issuing house on behalf of company).

Commented [MOU61]:
PROCEDURE FOR FLOATATION OF BONDS
Application for approval and registration of the Bond by the Securities & Exchange Commission.

1.The application to SEC will be accompanied by the following documents;

2.Copy of the law or resolution authorizing the bond;

3.Copy of the rating report by an accredited rating agency registered by SEC; and

4.Irrevocable letter of authority issued by the State Accountant-General to the federal Accountant- General to deduct from source the state statutory allocation to redeem the bond.

5.Appointment of Corporate Trustee registered by SEC.

6.Appointment of Issuing House.

7.Appointment of Registrar that is registered with SEC.

8.Publication of the bond in the gazette or other official documents.

9.Registration of bond holders in the bond register.

10.Issuance of bond certificate to bond holders.

6. STEP 6: Obtain approvals and converge a meeting

7. STEP 7: Marketing and Distribution

8. STEP 8: Allotment, deal with oversubscription, allotment proposal filed with SEC, prepare range of analysis, e-allotment and issuance of certificate etc.

DOCUMENTS FOR FLOATATION BONDS (focus)

1. Resolutions,
2. Audited accounts,
3. **Underwriting contracts,**
4. **Vending contracts,**
5. Accounts histories
6. Projections
7. **prospectus**

COLLECTIVE INVESTMENTS SCHEMES (CIS)

A scheme in whatever form, including open-ended investment company, in pursuance of which members of the public are invited or permitted to invest money or other assets in a portfolio… defined under **Section 153 ISA and Nospecto Oil and Gas Ltd v. Olorunmide.**

REGULATION OF CIS

CIS is regulated by the **SEC - S. 160(1) ISA**, provides thus, "no person shall establish or operate a CIS or carry on the business of a CIS **UNLESS** such scheme is authorized by and registered with the commission".

Nobody shall administer a scheme unless the person is an incorporated company and registered with SEC as a fund or portfolio manager. S. 158 ISA

TYPES OF COLLECTIVE INVESTMENT SCHEMES – S. 154 of ISA; Rule 41 SEC Rules (Exam focus, most times list)

1. Unit Trust Scheme
2. Real estate Investment Scheme (REIS)
3. Investment Trust Scheme
4. Community Savings Scheme (ESUSU, ADAJO)
5. Open-Ended Investment Scheme **S. 154 of ISA; Rule 41 SEC Rules.**

CONTENTS OF THE TRUST DEED

1. Definition of terms
2. Provisions as to certificates
3. Remuneration of Trustee and Manager
4. The Trustee and the Manager
5. Accounts
6. Constitution of the Trust
7. Issue of Units
8. Realisation of Units
9. Distributions
10. Provisions as to Holders (of Units) Register of Holders Transfer and Transmission
11. Investment of Property held on the trust
12. Voting right on assets held on the trust
13. Interest upon deposited cash
14. Retirement of Trustee

15. Removal or retirement of Manager
16. Termination of the Trust
17. Notices
18. Reconstruction and Amalgamation
19. Meeting of Holders

ESSENTIAL ELEMENTS OF A COLLECTIVE INVESTMENT SCHEME- S.152 ISA

1. **The Fund**: The fund is pooled by all the investors
2. **Units:** The **pooled funds** are divided **into units** of the participatory interest.
3. **Unit Holder**: The unit holders are the participants in the scheme who are entitled to **a pro rata** share of interests or other income of the securities comprised in the units.

4. **Fund Manager:** The scheme is managed by Fund Manager who uses the proceeds of the sale of trust units to invest in other securities in accordance with the policies and objectives of the trust scheme.

5. **Trustee:** A Trustee registers and **hold investments in trust for the unit holders** and to ensure that **the terms of the trust are strictly observed by the Fund managers**. It also makes fund available to the fund manager.

6. **Trust Deed:** A trust deed is executed between **the trustees and the Fund manager** for regulating the operation of the scheme.

7. A unit trust scheme is usually administered as a limited liability company (private or public) which is approved and registered by SEC.

INVESTMENT TRUST SCHEME

It is regulated like the Unit Trust Scheme as both are similar but different in operation – See **Rule 41 SEC Rules.**

It is usually packaged as specialized investment Trust Scheme, whereby **unit holders define in advance, what type of securities their money would be invested** (unlike UTS) E.g. IBTC Ethical Fund.

Real Estate Investment Scheme

Real Estate Investment Scheme's may be constituted as a company or a trust, established for the purpose of acquiring immediate and long-term interest in real estate or property development to raise funds from the capital market through the issuance of securities with the following features:

1. An income certificate, giving the investor a right to a share of the income of any property or property development.
2. An ordinary share (if constituted as a company) in the body corporate, giving the investor voting right in the management of the body corporate.

COMMUNITY SAVINGS SCHEME

It is the oldest form of CIS in various communities.

Popular among low level workers and voluntary organizations in Nigeria.

Required to be registered at the local government, where they operate- Rule **41 SEC Rules**

They are required to maintain a register of all their members.

Known variously as ***esusu, adashe, ajo*** among others.

POSER

Advice your State Govt. on how to set up a Community Savings Scheme for its rural dwellers under the ISA. **May 2011 No 2b(iii)**

- Register the Community saving schemes with the SEC – Rule 41 SEC Rules
- Establish the Community saving schemes within the LGA or Community where the Participants reside
- Obtain and complete a registration form to be submitted to the LGA

PROCEDURE FOR CREATION OF CIS

1) The Manager must:

   (a) Obtain Incorporation under CAMA

   (b) Register with SEC

   (c) Have the capital and reserve fund as may be prescribed by SEC – Section 160(3)(b) ISA.
2) **Preparation of Trust deed** and/or Custodial Agreement – S. 160(3)(d) ISA.
3) Registration of units or securities with SEC – mandatory for any dealing in units or securities – Section 161 ISA
4) **Approval of prospectus** and other offer documents of the scheme. NB: Liability in case of untrue statements in the publication.
5) **Determination of the Market price of unit** or security – Section 170 ISA.
6) **Investment of a collective scheme by the Manager** in accordance with the provisions of the trust deed. Section 171 ISA.
7) The Manager may invest the fund and assets of a scheme in units of any investment fund provided it is within the approved category of investments set out in Section 171(2) ISA.
8) Where the interest of the scheme or that of its beneficiary demands, SEC may impose additional restrictions on investments by the manager.
9) The manager shall have due regard to the risk rating of instruments that has been undertaken by a rating company registered under the Act – Section 171 ISA.

DIFFERENCES BETWEEN A COMPANY SHARES AND CIS (May 2012)

Commented [MOU62]: Youre looing at:
1.Management
2.BINDING DOC
3.MEMBERS
4.Payments

1. **Members of a company are called shareholders** while the **participants in CIS are called unit holders.**
2. MEMOART binds shareholders **while trust deed or custodial agreement binds CIS**
3. The Board of Directors manages a company while **the CIS is managed by the Fund managers,**
4. Shareholders are entitled to dividends whereas **unit holders are entitled to profit pro rata.**
5. **A shareholder has individual rights in the Company** but **Unit holders have collective interest as their money loses its individuality**
6. **A shareholder can share in the residual assets of a company while a CIS holder cannot**

CHAPTER TWELVE
CORPORATE RESTRUCTURING, I
INTERNAL RESTRUCTURING

Corporate restructuring is the various ways in which a company can resolve some of its corporate financial problems or change the nature of face of its business or corporate existence.

Internal restructuring option is simply the company looking inward for a solution to the challenge of the corporation; however, under the **CAMA** it permits for solutions that may involve two or more companies in an arrangement in a transaction that may involve transfer of assets and interests from one company to another. Section 711 of Companies and Allied Matters Act.

Checklist of Regulatory Bodies Involved in Corporate Restructuring

1. Corporate Affairs Commission
2. Securities and Exchange Commission
3. Federal High Court
4. Central Bank of Nigeria
5. Nigeria Deposit Insurance Corporation
6. Nigerian Investment Promotion Commission
7. Nigerian Exchange Limited (formerly known as NSE)
8. Federal Competition and Consumer Protection Commission

RATIONALE FOR INTERNAL RESTRUCTURING

a) To survive economic hardship/financial trauma without losing corporate identity

b) To eliminate superfluous shares/securities no longer represented by a company's assets through negotiation with company's creditors to accept money's worth.

c) To reduce likelihood of fraud.

METHODS OF INTERNAL RESTRUCTURING – May 2011

The options available to a company to salvage their situation and keep the company afloat as a going concern are:

1. **Management Buy-out Rule 449 SEC Rules 2013**
2. **Arrangement and compromise**. **- S. 715 CAMA**
3. **Arrangement on sale-S. 714 CAMA**
4. Increase and reduction [in share capital) by the company- **S. 127 and 131**
5. **Conversion and re-registration** of the company in order to take advantage of the capital market. **- S. 56 & 63 CAMA**
6. Share consolidation and reconstruction- **S. 125 CAMA**

corporate survival strategies available to a company within **Sections 710 to 716** CAMA are: FOCUS

1. **Transfer of Company through compromise, arrangement or reconstruction between two or more companies or the merger of any two or more companies** – **S.711**
2. **Scheme or contract**, not being a take-over bid under the Investment and Securities Act, **involving the transfer of shares or any class of shares in a company** (in this section referred to as "the transfer of company") to another company – **s. 712**

3. Transfer of 9/10th shares of a Company's shares in pursuance of a scheme or contract to another Company and the acquisition of the outstanding 1/10th dissentients shares by the transferee Company – S. **713.**
4. Arrangement on Sale under Section **714**
5. Arrangement and Compromise under Section **715 - 716 CAMA.**

Determinants of Best Internal Restructuring Options to Adopt:

1. Determining indebtedness of creditors and preference shareholders and **the company does not want to be wound up** - **Arrangement /Compromise.**
2. **Solvent company selling whole or part of assets** (voluntary winding up) - **Arrangement on Sale**
3. Floated shares - **reduction of share capital** (issued shares)
4. Directors/employees intervention-**Buyout of** controlling shares
5. Increase of share capital (raising money at capital market to settle debts)
6. Share reconstruction-**S.125** -this will enable them raise value of shares and raise more capital if it wants to target plenty participants
7. If shares **are unissued-cancellation** of **S. 125 CAMA**

ARRANGEMENT AND COMPROMISE-Section 715 CAMA

Section 170 CAMA defines Arrangement

Means **any change** in the **rights and liabilities** of members, debenture holders or creditors of a company **in regulation of a company**, other than a charge effected under any other provision of this act or by the unanimous agreement of all parties affected.

Compromise an arrangement by a company with the creditors and/or the shareholders **to accept less than what they are ordinarily entitled to as full satisfaction of their obligation**.

It may require the company to negotiate with the creditors and request that they **relinquish their security or to permit the creation of a prior or pari pasu charge in favor of other creditors**.

It is also possible under a compromise for a company **to persuade its creditors to accept shares or part shares and part cash in satisfaction of their debt**. Another **alternative** could be convincing share-holders or a class of them to vary their right

FORMS OF ARRANGEMENT OR COMPROMISE

A company can enter into an agreement with its members and creditors under the following schemes:

1. **Arrangement of preferential shareholders for the cancellation of the dividend** arrears, reduction or the rate of dividends or **conversion of preference shares to ordinary shares.**

2. **Ordinary Shareholders to surrender part of their holdings or shares to the preferential shareholders who agree to accept the ordinary shares in lieu of dividend in arrears.**

3. **Debenture holders taking up shares** in place of debentures **(NB: not convertible debentures)**
4. Creditors/Debenture holders **agreeing to a lower rate of interest**.

5. **Creditors accepting longer periods of repayment** (by implication extending legal due date).
6. Reconstruction of shares under a share reconstruction scheme. E.g. from Share Capital of N10,000,000 of 10,000,000 units at N1 each to N5,000,000 of 10,000,000 units at 50 kobo each.

PROCEDURE FOR ARRANGEMENT AND COMPROMISE: (2009) S. 715

1. Preparation of Scheme of Arrangement or Compromise. (Liquidator prepares it if the company is in liquidation.)

2. **Apply to court in summary way, for a court ordered meeting of the company** or creditors be summoned and held as the court may direct.

3. Pursuant to court order a notice of meeting is sent accompanied with a statement explaining the effect of the arrangement, and in particular state any material interest of the directors of the company and whether it would affect the directors differently from other person

4. At the meeting, **the number of votes required to approved the scheme are majority representing not less than ¾ in value of the shares**

5. The scheme is referred to SEC by the court. **The SEC shall appoint one or more inspectors to investigate the fairness of the scheme and report to the court.**

6. **Upon sanctioning of the schemes as fair by the court, it becomes binding on all concerned parties**, creditors, members or class thereof and liquidators and contributories in case of a company being wound up.

7. **The CTC of the scheme sanctioned by the court shall be delivered to the CAC** and **the order is not to be effective until the CTC is delivered to CAC for registration.**

8. A copy of the order sanctioning the scheme shall be annexed in every copy of the memorandum of the company issued after order is made.

Documents That Would Be Prepared Under a Scheme Of Arrangement (2009)

1. The **scheme** of arrangement or compromise
2. **Resolution** of ¾ of the creditors or members as the case may be sanctioning the scheme of arrangement or compromise
3. An **Order of Court convening the meeting**
4. The **notice of meeting**
5. The **report** of SEC investigation on the fairness or otherwise of the scheme
6. **Order of Court sanctioning the scheme**

Commented [MOU63]:
1.Scheme of Arrangement;
2.Application to the court;
3.Court order convening the meeting of creditors;
4.Notice of meeting;
5.Special resolution of the creditors sanctioning the scheme of arrangement;
6.SEC Report on the fairness or otherwise of the scheme; and
7.Court order sanctioning the scheme of arrangement.

Three laws that may regulate the proposed scheme are:
1.Investment and Securities Act;
2.Companies and Allied Matters Act; and
3.Federal High Court Act.

HEADING OF THE APPLICATION APPROVING A SCHEME OF ARRANGEMENT and COMPRISE

IN THE FEDERAL HIGH COURT OF NIGERIA.

IN THE..... JUDICIAL DIVISION.

HOLDEN AT.....

Suit no FHC/...../....2022.

IN THE MATTER OF THE COMPANIES & ALLIED MATTERS ACT 2020

AND

IN THE MATTER OF APPLICATION UNDER S 715 THEREOF.

IN (**name of company)** (RC....) AND ITS CREDITORS.

NOTICE IS HEREBY GIVEN....

ARRANGEMENT OR COMPROMISE BETWEEN TWO OR MORE COMPANIES

Section 711 (1) CAMA provides that: Two or more companies may agree to a scheme of arrangement, compromise or reconstruction among themselves.

Commented [MOU64]: "where under a scheme proposed for a compromise, arrangement or reconstruction between two or more companies, or the merger of any two or more companies- the whole or any part of the undertaking or property of any company concerned in the scheme (in this section referred to as transfer of company) is to be transferred to another company…" (In simpler words, This arrangement involves the transfer of all or some of the part of a company).

Note: That this section used the word "merger", therefore such *ARRANGEMENT* may be part of the process in a merger scheme; it may also be a buying off by the transferee company of the other company (transfer of company).

Summarized Procedure for Arrangement between Two or More Companies

1. **Any of the companies involved in the scheme may apply to the court for a court ordered meeting of each of the companies involved in the scheme**.
2. Special resolution of ¾ (75%) majority to be passed by each company approving the scheme.
3. Application by one or more of the companies to Court to sanction the scheme and the scheme becomes binding.

Section 711(1) and (2) CAMA.

Commented [MOU65]: the merger becomes binding on the companies even before the court sanction is filed at the CAC. The court sanction must, however, be filed at the CAC within 7 days.

Order a Court May Make Upon Sanctioning an Arrangement Scheme: **S.711** (3) of CAMA:

a. Transfer of the whole or the part of the properties or liabilities of the transferor company to the transferee.
b. Continuation of Legal proceeding by the transferor company
c. **Dissolution without winding up of the transferor company**
d. An order as to provisions for dissentient members.
e. Incidental or consequential orders relating to the scheme.

Buying off A company not Under a Take Over Bid - Section 712

Where a scheme or contract, not being a take-over bid under the Investment and Securities Act involving the transfer of shares or any class of shares in the company (in this section referred to as "transfer of company")

Summary of the Provision of Section 712 CAMA

The provisions of Section 712 have to do with an offer by one company to buy off another company and the summary of the procedure as follows:

1. There is an **offer made to the transferor by the transferee**.
2. Approval of the Scheme or contract **by 9/10 of the members of the transferor company within 4 months of offer.**
3. **At the end of the 4 months period, 2 months' notice to dissentient members (if any) of intention to acquire their shares.**
4. One month period for the dissentient members **to apply to Court to vary the terms of the scheme or contract.**
5. At the expiration of the 2 month notice …

6. Transferor pays the transferee for the shares and the money is paid into a separate account to be kept in trust for the shareholder.

NB: A dissentient shareholder is one who has failed or refused to transfer his shares to a transferee under a scheme or contract.

Notes on Section 712 CAMA

1. There is an offer by the transferee.
2. There is a period of 4 months for approval by a minimum of 9/10 of shareholders.
3. There is a provision for dissentient holders.
4. There is notice to dissentient holders.
5. Dissentient holders may make application to court to vary.

ARRANGEMENT ON SALE S.714 CAMA

This is **a process of voluntary winding up of a company and liquidators appointed are authorized to sell the whole or part of its undertaking or assets to another corporate body and the proceeds are distributed in species amongst the members of the companies in accordance with their rights in liquidation.**

Within one year from the date special resolution for members voluntary winding up; if there is an order under **Section 355 of CAMA** (minority action for unfairly prejudicial and oppressive conduct) or Creditors voluntary winding up **any distribution not sanctioned by the court will not be valid**

WHEN RECOMMENDED:

Arrangement on Sale is one of the options that could be **adopted for the internal restructuring for A Company Whose Assets Outweighs Its Liabilities**

PROCEDURE FOR ARRANGEMENT ON SALE:

1. Board resolution adopting draft scheme of arrangement on sale
2. Notice of EGM will be issued to members of the company
3. Members of the company will pass a **Special Resolution** authorizing a members voluntary winding up and to appoint a liquidator to sell the assets to another company in consideration for cash or shares in the company
4. A dissenting member can write the liquidator **within 30 days of the** passing of the Resolution asking him to either:
   - **a)** Abstain from carrying out the Resolution or
   - **b)** Purchase his own shares at a price to be determined by-
     - **i. An agreement if it is a private company with no alien** or
     - **ii. SEC if a PLC or a private company with alien participation**
5. **If ALL assets are sold, the proceeds of the sale will be distributed amongst members in order of priority of a company in liquidation**

6. The liquidator will convene a final dissolution meeting where the accounts of the winding up exercise and his report would be considered by the members

7. The arrangement will be valid if after 1 year there is no objection under
   - **a.** Unfairly prejudicial and oppressive conduct or - 353
   - **b.** An order of the court for a creditor winding up

MANAGEMENT BUY OUT - S. 118 of ISA, R. 449 SEC RULES 2013

Management Buy Out is the acquisition of all or controlling shares of a company or its subsidiaries by the management of that company. This may or may not involve third party financing in the process; in other word another entity may be involved in the Buy Out.

PROCEDURE FOR MANAGEMENT BUY-OUT: R. 449 SEC RULES 2013

An application is made to the SEC for the approval of a management buy-out completed by the management team, attached with:

a. A **Resolution of the shareholders** approving the management buy-out
b. Resolution of the **management team authorizing the management buyout**
c. A **copy of the Certificate of Incorporation of the company**
d. **A copy of the MEMOART of the company**
e. **Two copies of the prospectus containing a company profile**
f. **Sale agreement between the company and the management team containing the items** in **R. 449(b) (vi)(a-h) SEC Rules.**

The Sale agreement or contract between the management and the company should contain the following terms amongst others:

a. Terms and conditions of the sale
b. Indemnity against contingent liabilities by the seller to third parties and pay tax not provided for in the account.
c. If the employees of the target company operate a pension scheme, the agreement should have a clause on the continuation of the scheme
d. Sale and Purchase of Assets
e. Contracts and Creditors

f. Employees liabilities and obligations under subsisting contracts
g. Debtors, it should contain a clause on assignment of debts or that the seller bears responsibility.
h. Name under which business will be continued.

Checklist of Documents involved in Corporate Restructuring - focus

1. Notice of Extraordinary General Meeting or Annual General Meeting and Court Ordered meeting.
2. **Resolution for winding up of the company**.
3. **Resolution for appointment of liquidator**
4. **Court processes for Court ordered meeting**
5. **Prospectus for share reconstruction** where applicable
6. Resolution for share reconstruction
7. Letter notifying SEC of the reconstruction/application to SEC for approval of management Buy Out.
8. **Scheme of Arrangement.**

CHAPTER THIRTEEN

EXTERNAL OPTIONS IN CORPORATE RESTRUCTURING

External restructuring option involves the company and other third parties**.**

Legal Framework/Applicable Laws For Corporate Restructuring

The main laws and Rules guiding Corporate Restructuring are: **(August 2019 Q 5a, January 2020 Q 4a)**

1. Federal Competition and Consumer Protection Commission Act
2. Companies and Allied Matters Act
3. Investment and Securities Act 2007
4. Federal High Court Act.
5. Securities and Exchange Commission Rules 2013
6. Federal High Court Rules
7. Companies' income tax Act (Amendment)

SECTOR SPECIFIC ACT – Depending on the scenario

1. Central Bank Act
2. Nigerian Communications Commission Act
3. National Insurance Commission Act

Regulations

1. FCCP notice of threshold for merger notification 2019
2. Merger Review Guidelines
3. Merger review regulation (as amended) **2021**
4. Securities and Exchange Commission Rules **2013**

The Regulatory Bodies/Institutions in Corporate Restructuring and Their Functions

The following regulatory bodies are involved in Corporate Restructuring; **(August 2019 Q 5b, January 2020 Q 4a March 2021)**

1. **Federal Competition and Consumer Protection Commission (FCCPC)**

   Key Role of FCCPC includes:

   a. It is the apex regulatory body in merger.

   b. Grants pre-merger consent, clears scheme document and approves the merger.

2. **Securities And Exchange Commission (SEC)**

   Key Role of SEC includes:

   a. It is the apex regulatory body of capital market operations.

   b. Grants authority to proceed in a takeover bid.

3. **Central Bank of Nigeria (CBN)**

   CBN gets involved in merger and acquisition, where banking institutions are involved in the merger scheme. **The prior consent of the CBN Governor must be sought and obtained before any such agreement**. **-S. 7 BOFIA**

   Where there is foreign merger involved i.e importation of capital

4. **Federal High Court**

   a. **Orders separate shareholders' meetings of merging companies**.

   b. Deals with objections to shareholders' meeting or to merger.

   c. Sanctions merger – the merger becomes effective from the date the order is given.

5. **<u>Nigerian Exchange Limited (Formerly known as NSE)</u>**
   a. It is a self-regulatory organization.
   b. It regulates listed public companies.
   c. It regulates secondary market transactions.
   d. Must be notified by listed companies of intention to merge.
   e. Admits "new shares" to Daily Official List, de-lists "Scheme Shares" of dissolved companies.

6. **<u>Corporate Affairs Commission</u>**
   a. **Filing and certification of corporate resolutions** and documents to be filed with SEC.
   b. Filing of sanction.
   c. De-registration of dissolved companies.
7. **Court of Appeal**

SECTOR SPECIFIC REGULATORY BODIES

1. **Nigerian Insurance Commission**
2. **Nigerian Communication Commission**
3. **NERC**
4. **Nigerian Deposit Insurance Corporation**
5. **Asset Management Corporation of Nigeria**

REGISTERED MARKET OPERATORS INVOLVED IN MERGER TRANSACTIONS

1. Financial Advisers/Issuing Houses.
2. Solicitors.
3. Auditors.

4. Reporting Accountants.
5. Registrars.
6. Stockbrokers.

EXTERNAL OPTIONS IN CORPORATE RESTRUCTURING

1. Purchase and Assumption
2. Cherry Picking
3. Acquisition
4. Mergers and Amalgamation
5. Take Over
6. Management Buy in

PURCHASE AND ASSUMPTION:

It allows **other company**/investors to purchase the **liabilities of the failing company** and assume **ownership of its assets**, **usually at auction price.**

IT IS SUITABLE where the company has become MORIBOUND (August 2017 Q 6

PROCEDURE FOR PURCHASE AND ASSUMPTION

1. **Board and GM resolution approving the proposed arrangement and preparation of deed of purchase and assumption**.
2. **Upon successful purchase, the assumed company takes up the status of the purchasing company through a judicial assent**.
3. **The transaction is perfected**.(signing of deed
4. **The perfection documents are filed along with the court process for judicial sanction at the FHC.**
5. **The assumed company is dissolved through a judicial sale of its assets and liabilities to the purchasing company**

Commented [MOU66]:
Cherry Picking, **the investor will** not take up all the liabilities of the failing company, but **it will inspect the books of account, business operation and activities of the failing company in other to pick and choose those aspects of the failing business that it can save by integrating it into its own business**. It is also aimed at reducing the loss of investment of a company.

Commented [MOU67]:
Is an external restructuring option in which an **outside manager or management team purchases controlling shares of a company** and gives the outside management team ownership stake in the acquired company.
After the purchase, the outside management team replaces the existing management team of the acquired company.

Management-Buy-In occurs when a company appears to be undervalued or has poor management team.

Commented [MOU68]:
In respect of banks, it is an option in which a healthy bank or thrift purchases assets and assumes liabilities of the unhealthy bank or thrift

It involves:
1.Legal due diligence;
2.purchase of the assets of the moribund company;
3.assumption of liabilities of the moribund companies;
4.winding up and dissolution of the moribund company; and
5.settlement of the investors, depositors and creditors of the moribund company.

REGULATORY BODIES
1.The Central Bank of Nigeria,
2.Nigeria Deposit Insurance Corporation,
3.Asset Management Corporation of Nigeria and
4.Securities and Exchange Commission.

ACQUISITION

Acquisition arises where a company acquires less than 30% of the total shares of another company. **Rule 421 SEC Rules.**

Commented [MOU69]: SEC requires the **acquirer to file an expression of interest/letter of intent**. The filing shall be done by a registered capital market operator

POST ACQUISITION REQUIREMENTS BY SEC

1. Executed share/asset purchase agreement
2. Evidence of settlement of purchase agreement
3. Evidence of settlement of severance benefits of employees who may be affected by the restructuring exercise. Rule 436
4. Post-acquisition inspection by SEC, 3 months after the approval and consummation of the exercise

TAKE OVER-S.131-147 ISA

Its a situation where a person or group of persons **acquire(s) or wish to acquire a minimum of 30% shares in a public company** with the **intention** of taking over the control of that company. **S. 117 of ISA & Rule 445 of SEC Rules.**

WHEN WOULD AN ACQUISITION AMOUNT TO A TAKEOVERR

For acquisition to amount to take over the share acquired **must be within 30% - 50% of** the voting rights of the target company. **S. 131(b) ISA**

If the bid is targeted at acquiring more than 51% of the issued shares of another company it then becomes a merger.

COMPANIES THAT CAN NOT BE TAKEN OVER (September 2015 Q 4a)

1. **A company with less than 20 shareholders** representing **60% of** the members of the target company**-R. 445(3) SEC Rules**
2. Shares of a **private company - S. 445(3) SEC Rules and S. 133(4)**

CONTENTS OF A TAKE OVER BID-Rule 446 SEC Rules 2013

a. The full names and addresses of the offeror. If a corporate body, the name and current head office address of the company and the date on which the directors of the company gave their approval.
b. The bid must specify the maximum number and shares proposed to be acquired during the period specified in the bid.
c. The terms on which the shares are to be acquired valuation method adopted in arriving at the price offered for the shares

Commented [MOU70]:
DOCUMENTMENTS TO ACCOMPANY A TAKE-OVER BID FOR REGISTRATION WITH SEC:

1.Application letter;

2.2 copies of information memorandum (where applicable);

3.Letter of "NO OBJECTION" from relevant regulatory body;

4.A copy each of the shareholders and board resolutions of the offeree (acquiring company) certified by the company secretary approving the take-over (where applicable);

5. Copy of the certificate of incorporation of the offeror certified by the company secretary;

6.Copies of the memorandum and articles of association of the offeror certified by Corporate Affairs Commission;

7.Letter from the offeror appointing its financial adviser;

8.Decision of the appeal against Securities and Exchange Commission's refusal to register the bid filed within 30 days of such refusal to Investments and Securities Tribunal.

MERGER

Merger occurs when one or more undertakings directly or indirectly acquire or establish direct or indirect control over the whole or part of the business of another undertaking. Section 92 FCCPA

Commented [MOU71]:
An undertaking has control over another undertaking if:

a.It owns more than 1⁄2 of the issued capital or assets of the other undertaking;

b.It has majority votes that will be cast in the general meeting of the other undertaking;

c.It appoints or veto the appointment of the majority of the directors of the other undertaking;

d.It is the holding company and the other undertaking is its subsidiary;

e.It can influence the policies of the other undertaking;

REASONS FOR MERGER AND ACQUISITION

1. Risk Diversification.
2. Economies of Scale
3. Stock Exchange Quotation
4. Technological Drive
6. Management Expertise
7. Desire for growth and increased market share.
8. Survival of regulatory requirement for consolidation

Classification of Mergers/Economic Form-Rule 227 SEC Rules 2013 (January 2020 Q 4c)

Mergers and acquisitions are broadly classified into three types: **S. 2 FCCPC Merger Review Regulations**

a. **Horizontal Merger**:

involves the **combination or fusion** of **enterprises in the same line of business** i.e. Merger of competitors.

b. **Vertical**:

involves the **combination or fusion of companies** in the same market **but operates at different levels**, they are complimentary known as **symbiotic relationship**

c. Conglomerate:

involves the **fusion of two business concerns in completely unrelated line of operations**. This merger is just with the objective to diversify and expand the control of the market

MERGER THRESHOLDS/CATEGORIES OF MERGER (Exam Focus April 2017, Jan, 2020 Q 4c March 2021

There are two to wit : **Section 92 (4) FCCPA**

a. **Large Merger:** a merger or proposed merger with **a value at or above N1 billion**

b. **Small Merger**: **below N1 billion (combined turnover) or N500 million and above of the turnover of the target undertaking.**

NOTE the following:

1. There is no more Intermediate Merger

Commented [MOU72]: When asked for the legal category of a large merger
The Legal Category of the merger between COMP A and COMP B is a Large Merger because the combined assets and turnover of the two companies are ₦2.5 Billion (Two Billion, Five Hundred Million Naira) only which is above the 1 billion threshold for a large merger

2. The FCCPCA did not stipulate the Merger thresholds but provides that FCCPC is to fix the thresholds for the purpose of determining the categories of merger, **S. 93 FCCPC Act**

The Legal position as regards notifications of mergers - focus

A merger becomes notifiable before implementation if in the financial year preceding the merger:

LARGE MERGERS:

1. The combined annual turnover of the **acquiring Company equals or exceeds 1Billion naira.**
2. The annual turnover of the **target** company **equals or exceeds#500m**.

Small mergers are not notifiable **UNLESS**

a. the parties voluntarily choose to notify FCCPC
b. where the regulator feels that the merger may substantially prevent or lessen competition in accordance **with section 95(1) of FCCPA.**

SMALL MERGER (Threshold below 1 billion Naira)

Parties to a small merger are not required to notify the **FCCPC** and may implement the merger without approval **UNLESS** the FCCPC expressly requires notification. **S. 93 FCCPCA**

THE PROCEDURE FOR SMALL MERGER; Section 95(1-8) FCCPC Act

1. Parties **notify FCCPC (if required by the commission) or voluntarily otherwise** pre-merger notice is not compulsory**.**

Commented [MOU73]:
ENUGU CAMPUS

1.A party to a small merger may voluntarily notify the FCCPC of the merger at any time.

2.Within 6 months of implementation of the merger, the Commission may require that the merging parties should notify it of the merger where the Commission is of the opinion that the merger will lessen or prevent competition.

3.The notification of the merger shall be published within five business days after the receipt by the Commission.

4.The parties to a small merger shall not implement the merger unless approved with or without condition by the Commission.

5.Any action undertaken by any party unless the merger is approved is in violation of the provisions of the FCCPC Act and therefore void.

6.Within 20 business days after the parties to a small merger have fulfilled all notification requirements, the commission may extend the period in which it has to consider the proposed merger to 40 business days and issue an extension notice to all parties to the merger.

7.After consideration of the merger proposal the commission will,
a.issue a report in the prescribed form approving the merger or
b.approving the merger subject to conditions
c.prohibit the implementation of the merger if it has not been implemented or declaring the merger to be prohibited

8.If at the expiration of the 20 business days the Commission did not issue an extension notice or at the end of the extension period of 40 business days the Commission did not issue the report in the prescribed form, the merger shall be deemed to have been approved.

9.FCCPC shall:
a.publish a notice of its decision in the Federal Government Gazette;

b.Issue written reasons for the decision if it prohibits or conditionally approves the merger, or requested to do so by a party to the merger.

2. **Within 20 business days** of such notification, **FCCPC may;**
   a. Extend the period in which to consider the merger by a single period **not exceeding 40 business days** and in that case it must issue an extension Certificate to the parties or
   b. After considering the merger in terms shall notify the parties in a prescribed form of its **approval**, **conditional approval** or **prohibition** of the merger.

3. **Upon the expiration of the 20 working days** or the expiration of the extension, if FCCPC has not notified the parties of its decision, the merger shall be deemed to have been approved.

4. FCCPC shall:
   a. publish a notice of its decision in the Federal Government Gazette; and
   b. Issue written reasons for the decision if it **prohibits** or **conditionally** approves the merger, or requested to do so by a party to the merger.

5. If the merger is approved the parties shall apply to the court for the merger to be sanctioned and when so sanctioned, it becomes binding on the companies.

PROCEDURE FOR LARGE (threshold above 1 billion Naira); Section 96 FCCPC Act

The procedure for Large Merger is summarized in the 3 stages below:

1. Pre-merger notification to FCCPC
2. FCCPC Formal approval of the Merger

3. Post-merger notification of compliance to the FCCPC**; (January 2020 Q 4d)**

PROCEDURE FOR LARGE MERGER section 96-97 FCCPC Act

1. A party to a large merger shall notify the FCCPC of the merger in the prescribed manner and form.

2. The notification of the merger shall be published within **five** (5) business days after receipt by the FCCPC.

3. The merging companies shall each provide a copy of the notice of merger to:
   a) any registered trade union that represents the employees in the acquiring and target undertakings respectively; or
   b) **The employees or representatives of the employees** of the acquiring and target undertakings, **if there are no such registered trade unions**.

4. Within **60 business days** after the parties to a large merger have fulfilled all notification requirements, the FCCPC may:
   a) Extend the period in which it has to consider the proposed merger to **120 business** days and Issue an extension notice to all parties to the merger; or
   b) after having considered the merger in accordance with the provisions of the Act, issue a report in the prescribed form -
      i. Approving the merger,
      ii. Approving the merger subject to conditions, or
      iii. Prohibiting implementation of the merger.

Commented [MOU74]:
The procedure for the consummation of a larger merger is as follows; Kano X Enugu campus

1.A party to a large merger shall notify the Commission of the merger in a prescribed form and manner.

2.The notification shall be published within 5 days after receipt by the FCCPC.

3.The parties to a large merger shall not implement the merger unless approved with or without conditions by the Commission.

4.Within 60 business days after the parties to a large merger have fulfilled all notification requirements, the Commission may extend the period of consideration of the merger by another 120 business days and issue an extension notice.

5.After a thorough consideration of the merger, the FCCPC is duty bound to issue a report
a. Approving the merger
b. Approving the merger subject to conditions or
c.prohibit the implementation of the merger.

6.FCCPC shall:

a.Give to the parties applying for approval of a large merger its decision and cause a notice of the decision to be published in at least 2 national newspapers; and

b.Issue written reasons for its decision where-
i.It prohibits or conditionally approves the merger, or
ii.It is requested to do so by a party to the merger.

5. Where upon the expiry of the **60-business** day period, the FCCPC has not issued an extension notice or, upon the expiry of an extension period, the Commission has not issued a report, the merger shall be regarded as having been approved.

6. FCCPC shall-
   a) Give to the parties applying for approval of a large merger its decision and cause a notice of the decision to be published in at least two national newspapers; and
   b) Issue written reasons for its decision where-
      i. It prohibits or conditionally approves the merger, or
      ii. It is requested to do so by a party to the merger.

NOTE THAT: The parties to a large merger shall not implement the merger unless it is approved, with or without conditions, by the Commission in accordance with the provisions of this Act.

Such a party that violates the above provision **is liable on conviction to a fine not exceeding 10% of turnover of the undertaking in the business year preceding the date of the commission of the offence or to such other percentage as the court may determine having regard to the circumstances of the case**.

REVOCATION OF MERGER – S. 99 FCCPA (focus)

The FCCPC may revoke its own decision to approve or conditionally approve a small or large merger if-

1. The **approval was based on incorrect information** for which a party to the merger is responsible;

2. The **approval was obtained by deceit;**
3. The **parties fail to implement the merger within 12 months after the approval was granted; or**
4. **Breach of an obligation attached to the decision** of the Commission approving the merger by the merging parties

DUE DILIGENCE IN EXTERNAL RESTRUCTURING

Types of Due Diligence Exercises to be carried before merger are: **(usually asked in exam)**

1. **LEGAL DUE DILIGENCE**

This covers analysis of several issues such as:

i. Ownership of the Business
ii. Business Profile
iii. Employees
iv. Intellectual Property and Technology Issues
v. Litigation Analysis:
vi. Corporate Searches
vii. All statutory books of the company

2. **FINANCIAL DUE DILIGENCE**

This will cover the following:

i. **Accounting records of the company.**
ii. Ability to raise short term and long-term capital.
iii. Tax liabilities of the company and tax implications of the proposed deal.
iv. Value of assets and liabilities to be acquired.
v. **Product development and competitors.**

Commented [MOU75]:
areas to conduct due diligence when they don't specify which (just fuse both legal and financial):
1.Ownership of the business;
2.Business profile;
3.Employees;
4.Intellectual property and technology issues;
5.Litigation analysis;
6.Conduct searches at CAC, Land Registry, SEC, FIRS, Standards Organization of Nigeria and Nigerian Stock Exchange;
7.Due incorporation of the company;
8.Contents of memorandum and articles of association;
9.The company's minimum issued share capital;
10.Company resolutions and the minutes of its meetings;
11.Keeping of statutory books and records;
12.Filing of returns;
13.Corporate properties of the company and encumbrances thereat;
14.Any pending litigation involving the company;
15.Any labor issues with employees;
16.Any contingent liabilities of the company;
17. Its business profile;
18.Accounting records;
19.Tax liabilities of the company;
20.Product development and competitors; and
21.Capital investments, profitability, margin/price earnings ratio and review of forecast of trading results.

vi. Capital investments, profitability, margin/price, earning ratio, review of forecast of trading results.

vii. Comparison of the company's historic trading result and current trading position, contrasted with its budgets.

DOCUMENTS IN PACKAGING MERGER TRANSACTION (focus)

1. **Exclusivity Agreement**:

   this is executed where the target company agrees not to sell its assets or shares to anyone else during a period of time set by the parties. This document is relevant in the purchase of **public companies.**

2. **Memorandum of Understanding:**

   this document is necessary when parties reach an agreement about the terms of transaction but before drafting the binding agreement.

3. **Confidentiality Agreement:**

   this is a document that is primarily binding and it constitutes the parties agreement in respect of the way information and document will be handled. It also constitutes issues about disclosure and disposition after the deal proceeds.

4. **The Scheme of Merger:**

   this document provides a mechanism for adjusting the exchange ratio in the event that at post-merger, any of the representations made by a party is untrue and materially affects the agreed valuation and exchange ratio.

Principal provisions you will include in a merger agreement. August 2011

1. Parties to the merger
2. Basic terms of the agreement
3. Representation and warranties
4. Employees' matters
5. Financial statements
6. Covenants and undertakings

THE ROLE OF PROFESSIONALS IN CORPORATE RESTRUCTURING

1. **SOLICITORS TO THE MERGER – August 2011**

   a) Review legal documentation and provide a legal opinion on actual and/ or threatened litigation.

   b) Conducting due diligence

   c) Drafting the merger agreement

   d) Ensure the passing of all necessary resolutions required to effect the merger;

   e) Obtain court hearing date for the proposed merger.

   f) Obtain court order sanctioning the scheme.

   g) Conduct the order of proceedings at the court ordered meetings.

   h) Assist with obtaining shareholders support for the passing of necessary resolutions at the court ordered meetings.

2. **THE AUDITOR:**

   a) Provide historical financial information on the entities involved.

   b) Assist merging entities with the preparation of financial forecasts.

3. COMPANY SECRETARY/LEGAL ADVISER:

a. Ensures that all relevant resolutions are passed and drafted and signed.

b. Organize board meetings for requisite proposals.

c. They coordinate meetings with various classes of shareholders and third parties.

d. Ensure that quorums are formed at the various meetings; court ordered meetings or convened by the company.

CHAPTER FOURTEEN

COMPANY PROCEEDINGS AND INVESTMENT DISPUTE RESOLUTION

JURIDICTION IN COMPANY PROCEEDINGS (January 2020 Q 6a)

a. **The Federal High Court**: It has exclusive jurisdiction on company proceedings and administration of the CAMA **Section 251(1)(e) CFRN.** The most appropriate or default mode of commencing the action is by **Originating Motion**

b. **The Investment and Securities Tribunal (IST)** has exclusive jurisdiction over all **investment disputes arising from capital market operations, shares and stock or operating licenses**. This is mostly commenced by **Originating Applications.**

c. **State High Court:** Has jurisdiction over all commercial disputes arising from **contracts** between a company and another company or individuals. The best mode for commencing such action is by **Writ of Summons**.

d. **National Industrial Court:** it has jurisdiction over all disputes between the company and its employees. The best mode to adopt depends on the cause of action, if it is contentious then use **Writ of Summons**.

checklist of a least three items each on the jurisdiction of the FHC and the IST. 2009 No 4(b)

Federal High Court:

1. **Operation of the provisions of CAMA**
2. **Interpretation of CAMA**
3. **Winding up of companies**
4. Internal affairs relating to running and management of the company
5. Matters relating to appointment and removal of the Directors

Investments and Securities Tribunal:

1. Investment **disputes between capital market operators**;
2. Investment **disputes between capital market operators and their clients**;
3. Investment **disputes between an investor and a securities exchange or capital trade point or clearing and settlement agency;**
4. Investment disputes between capital market operators and self regulatory organizations

LAWS/RULES GOVERNING COMPANY PROCEEDINGS IN NIGERIA

1. Companies Proceedings Rules 1992;
2. The Companies Winding Up Rules;
3. Federal High Court (Civil Procedure) Rules, 2018;
4. Federal High Court Act;
5. Investments and Securities Act (ISA), 2007
6. Companies and Allied Matters Act (CAMA)
7. Securities and Exchange Commission Rules, 2013; and
8. Investments and Securities Tribunal Procedure Rules, 2003
9. Arbitration and Mediation Act

Modes of Commencement of Corporate Litigation: See Rule 2(1) and rule 19 Companies Proceedings Rules

1. Originating Summons
2. Originating motion
3. Petition
4. Originating Application (**Investment and Securities Tribunal only)**

ORIGINATING SUMMONS

The **default mode of** commencement of action in corporate litigation is by originating summons; ***UNIPETROL (NIG) PLC v. AGIP (NIG) PLC*****.** Summons is "commanding" in nature.

It involves interpretation clarification or declaration of legal/documentary prescriptions. An application is to be made by **originating summons.**

Examples of proceedings requiring Originating summons are:

1) Application for an **extension of time within which to register a charge** under **section 230 CAMA**
2) **Production of documents** and evidence of inspection under **section 360(6)**.
3) Application to Court for Administration Order under **Section 450 CAMA**
4) Commencing a derivative action under **346(1) CAMA**

ORIGINATING MOTION – FORM 2

This is "**praying"** in nature. It contains **mixture of both law and disputed facts**.

In corporate litigation, originating motion is mostly used where there is need to **remedy an error or omission** or **benefit from set rules.**

Its aim is to bring an original application in the circumstances specified by statute.

Applications To Be Made By Originating Motions (FOCUS)

Under **Rule 3(a-g) of the Rules,** the following applications under the Act (Companies and Allied Matters Act) shall be made by originating motion.

a. Application for an **order declaring that the affairs of a company ought to be investigated by an inspector appointed by the C**AC under **section 358**

b. **Rectification of Company's Register of Members** under **S. 115(1)** (**focus**)

c. Application for an **order directing that any shares or debentures of a company shall cease to be subject to restrictions** imposed under **section 372(3)**

d. Application for an **order declaring dissolution of a company which has not been wound up to have been void** under **section 691(1**)

e. Application **for relief from consequences of breaching the requirements of a private company** under **Sec 23(2)**

f. Extension of time to file documents at CAC **section 51(9), 154 (3) or 355(5)**

g. Inquiry into refusal to produce document or respond to summons **section 362(3) and (4)**

PETITION – FORM 3

The nature of petition is "**complaining/requesting"** this is brought in the cases which are specifically provided in the Rules.

Applications To Be Made By Petition (FOCUS)

Under **Rule 4** Companies Proceedings Rules, the following applications under the Act (Companies and Allied Matters Act) shall be made by originating petition –

1) **An order for cancellation of a company's amended objects. S. 51(1) and (2)**

2) **Cancellation of alteration of condition in MEMO - section 52(1)**

3) **Cancellation of a special resolution to re-register PLC as LTD S. 64(1)**

4) **Confirmation of reduction of share capital - Section 132(1)**

5) **Cancellation of variation of right attached to class of share - S. 167(1)**

6) Application for **Relief on ground of unfairly prejudicial and oppressive conduct S. 354(1) CAMA**

7) **Application to confirm a reduction of the share premium account of a company** under **section 145(3) CAMA**

8) Application to **confirm a reduction of the capital redemption reserve fund** of a company under **section 182 (4) CAMA**

9) **Application for an order restoring the name of a company to the register** where the application is made with an application for the winding up of the company **under section 692(6) CAMA**

10) Application for relief from liability of an officer of a company or a person employed by a company as auditor **Under section 738 CAMA**

Matters relating to Company documents (Evidential issues)/requirements

a. Common seal- **S. 98 CAMA**
b. Official seal- **S. 99 CAMA**
c. Authentication of documents- **Section 101 CAMA, See *SPDC (Nig) Ltd v Allaputa***

N.B

Effect of Defect in Commencing with Proper Originating Process

It'll be treated as a mere irregularity ***Agip (Nig.) Ltd v Agip Petrol Int'l*** , S. **18 Companies proceedings rules**

TITLING/HEADING OF CORPORATE SUIT

IN THE FEDERAL HIGH COURT OF NIGERIA
IN THE …….. JUDICIAL DIVISION
HOLDEN AT …..

SUIT NO…….

Commented [MOU76]: FORM 1

IN THE MATTER OF (NAME OF COMPANY Ltd/Plc)

IN THE MATTER OF THE COMPANIES AND ALLIED MATTERS ACT 2020

BETWEEN:

XYZ LIMITED……APPLICANT

AND

CORPORATE AFFAIRS COMMISSION……RESPONDENT

Including all affidavits, notice and all processes in the proceedings

SERVICE OF ORIGINATNG PROCESSES ON COMPANIES - MCQ

Proper Service - Section 104 CAMA

a) By serving a Director, Secretary or other principal officer of the company
b) By leaving it at the registered office of the company

MTN (Nig.) Communications Ltd v Bolingo Hotel & Towers Ltd .

N.B

Ors 7 Rule 8 **Abuja** Civil Procedure rules provides that **service should be at the head office** or any other place of business of the organisation within the jurisdiction of the Court.

Commented [MOU77]: A court process shall be served on a company in the manner provided by the rules of court and any other document may be served on a company by leaving it at, or sending it by post to, the registered office or head office of the company

ADVANTAGES OF ADR IN COMPANY DISPUTES

a. Alternative Dispute Resolution (ADR) is generally faster and less expensive.
b. It is based on more direct participation by the disputants, rather than being run by lawyers, judges, and the state.
c. This type of involvement is believed to increase people's satisfaction with the outcomes, as well as their compliance with the agreements reached.
d. Most ADR processes are based on an integrative approach.
e. They are more cooperative and less competitive than adversarial court-based methods like litigation. For this reason, Alternative Dispute Resolution (ADR) tends to generate less escalation and ill-will between parties.

ETHICAL ISSUES INVOLVED IN COMPANY PROCEEDINGS

1. Duty not to forge documents in relation to the proceedings involving companies in consonance with Rule 1 RPC 2007

2. Duty to ensure that the right originating process is applied to client's action R16 RPC
3. Duty of confidentiality
4. Duty to appear in litigation on behalf of client corporate or individual.
5. Duty not to aid unauthorized practice of law.

INVESTMENT DISPUTES

Investment dispute includes disputes arising out of the operation and application of ISA and regulations made therefrom such as:

a. Capital market operators
b. capital market operators and their clients
c. capital market operators and self-regulatory organisations
d. an investor and a securities exchange or capital trade point or clearing and settlement house.
e. the SEC and self-regulatory organisations
f. capital market operator and the SEC.
g. an issuer of securities and the SEC
h. arising from the administration, operation and management of collection investment schemes.

The Investments and Securities Tribunal (**IST**) was established under **S. 274 ISA.** The IST is a tribunal established to give expeditious hearing of capital market issues.

NOTE the following about IST (See Dec. 2020 MCQ Q 1-10)

1. The IST is **deemed to be a civil court** (**it has no criminal jurisdiction**).
2. The **members of the IST are appointed by the Minister of Finance**
3. The IST **Rules** is made **by the Chief Judge of the Federal High Court**.

4. The IST is composed of **10 members** appointed by the minister of finance headed by a Chairman whose a legal practitioner of not less than 15 years PQE. – **S. 275**
5. When hearing cases, it sits with **3 members** presided over by a legal practitioner. **S. 275 & 276 (Quorum)**
6. It has **appellate jurisdictions over the decisions of the Administrative Proceedings Committee of SEC**

7. Proceedings of the tribunal may be held in camera as and when deemed appropriate in the interest of the public. **S. 290 (3) & (4) of IST**

8. The onus of proof shall be on the applicant or appellant as the case may be
9. The judgement may be:
    a) Fines
    b) Suspensions, withdrawal of registration or licenses
    c) Specific performance
    d) Restitution

Commented [MOU78]: COMPOSITION OF THE TRIBUNAL:

The tribunal shall consist of 10 persons to be appointed by the minister as follows;

a.A full time Chairman a legal practitioner of not less than 15 years PQE. – S. 275;

b.4 other members of which 3 must be legal practitioners; and

c.5 other part time members.

ENFORCEMENT OF AWARD OR JUDGMENT OF THE TRIBUNAL – S. 293 (3) ISA

Shall be **enforced as if it were a judgment of the of the Federal High Court**, upon registration of a copy of such award or judgment with the Chief Registrar of the Federal High Court by the Tribunal

AIMS AND OBJECTIVES OF THE IST

1. Expedient and affordable dispute resolution mechanism
2. Protect the integrity of the capital market and stable economy

3. Avoids delays and technicalities.
4. Efficient resolution of investments and capital market disputes with fairness, flexibility and transparency"

JURISDICTION OF THE IST (MCQ Dec 2020 No. 3)

1. The jurisdiction of the Investment and Securities Tribunal is enumerated in **Section 284/294** of the **Investments and Securities Act**.
2. It has exclusive **original jurisdiction over disputes arising from the administration, management and operation of collective investment schemes.**
3. The IST is also empowered to **adjudicate on pensions disputes in Nigeria- S. 93 Pension Reform Acts.**
4. It has appellate jurisdiction over APC of SEC disputes
5. A person aggrieved by any action or decision of SEC, may institute an action in the tribunal or **appeal against its decision within 30 days**, **provided** the person shall give SEC **14 days' notice** in writing of his intentions to institute an action or appeal against its decision – **S 289 of ISA.**
6. **IST has no criminal jurisdiction**. **S. 304** provides that, **where in the course of its investigation, the Commission discovers evidence of possible criminality, the Commission shall be obliged to pass such information to the appropriate criminal prosecuting authorities,** such as, the office of the AGF/AGS and the EFCC.

MODE OF COMMENCEMENT OF ACTION (MCQ)

The mode of commencing action in IST is by an ORIGINATING APPLICATION.

TIME FRAME FOR CONCLUDING ACTIONS

Thus, it is required to **conclude any proceedings before it within 90 days of commencement of the action**. (**MCQ**)

TIME LIMIT FOR FILING APPEALS (MCQ)

Appeal against the decision of the IST lies to the **Court of Appeal within 30 days from the date of making of the order - S. 289(2); S. 304 ISA**

APPEAL OF IST DECISIONS

Any appeal against its judgment **lies directly to the Court of Appeal on points of law only (Dec 2020 MCQ Q 10**).

It can equally go further to the **Supreme Court; S.295 and 297 ISA respectively.**

NOTE that the decision of **IST** is called **an 'Award'** and it is treated as if decision of the FHC **and** the Federal High Court has Jurisdiction to enforce an award made by the **IST.**

ADMINISTRATIVE PROCEEDINGS COMMITTEE OF CAMA

Establishment –Section 851 CAMA

Objectives/Functions

a. Provide the opportunity of being heard for persons alleged to have contravened the provisions of the Act and its Regulation.
b. **Resolve disputes or grievances arising from the operations** of CAMA
c. **Impose administrative penalties for contravention**

COMPOSITION OF APC – S. 851 (1) – (3)

a. the Registrar-General who shall be the Chairman

Commented [MOU79]:
PROCEEDINGS OF THE MEETING OF THE ADMINISTRATIVE PROCEEDINGS COMMITTEE

1.The chairman presides over the meetings of the Committee and at any meeting the chairman is absent, the members present will appoint one of their members to preside over the meeting.

2.The quorum at the sitting of the Committee is 4 members present.

3.Issues are determined by the Committee by simple majority of the members present and where there is a tie, the chairman or the member presiding is entitled to a casting vote (second vote).

4.The Committee regulates its proceedings subject to the provisions of S.851 of CAMA.

b. **5 representatives from the operational departments of the Commission, not below the grade level of a director**, **1 of whom shall be from the Compliance Department of the CAC**
c. a representative of the Federal Ministry of Industry, Trade and Investment not below the grade level of a director.
d. **A secretary** who shall be an **officer of CAC and a legal practitioner of at least 10 years PQE**
e. Such number of persons as the APC may appoint at any of its meetings, as observers, representatives of relevant associations or associations of shareholders registrars or trustees

PERSONS THAT THE COMMITTEE MAY CO- OPT AT ITS MEETINGS

a. Representatives of association of shareholders;
b. Representatives of association of registrars; and
c. Representatives of association of trustees – 851(2) of CAMA

NB:

Members so co-opted do not count in determining the quorum and do not vote at such meetings.

QUORUM - 857(6)

4 members present while the **determination of issue shall be by simple majority** of members present and **where there is equality of votes, the chairman or the member presiding shall be entitled to a casting vote.**

PROCEEDINGS – Reg 45

The proceedings of the committee shall be guided by the Evidence Act

VENUE – Reg 44 CR 2021

The venue of the sittings of the Committee **UNLESS** otherwise indicated is the **head office of Corporate Affairs Commission.**

JURISDICTION – Reg 38 Companies regulation 2021

The APC may adjudicate on non-criminal disputes arising from the operations of the Act, and in particular relating to –

1. **names of companies**, limited liability partnership, limited partnerships, business names and incorporated trustees.
2. **shares in private companies**, and
3. **appointment or removal of directors**, partners or trustees.

SANCTIONS THAT THE ADMINISTRATIVE PROCEEDINGS COMMITTEE MAY IMPOSE - 851(10)

a. Imposition of **administrative penalties**;

b. **Suspension or revocation of registration**; or

c. **Recommendation for criminal prosecution if matters brought before it reveals any criminal act or conduct** -

CORPORATE INSOLVENCY

Corporate insolvency is inability of a company to pay its debts.

The principal law on corporate insolvency in Nigeria: The Companies and Allied Matters Act (CAMA)

Applicable Regulations

1) **Insolvency Regulations, 2022**
2) **Companies Regulations, 2021**

Qualifications of Insolvency Practitioner - S. 705 (1)

1) Possession of Degree in **law** or **accountancy** or such other relevant discipline from any recognised university or polytechnic
2) Minimum of 5 years post qualification in matters relating to insolvency
3) Must be persons authorised to act as insolvency practitioners by virtue of membership certificate issued by BRIPAN; or as members of other professional bodies permitted to undertake the practice of insolvency
4) Must hold an authorization granted by CAC

ACCREDITATION OF INSOLVENCY PRACTITIONERS - Section 705, Reg 24

Members of the following professional bodies may apply to the CAC for accreditation as insolvency practitioners –

1. Business Rescue and Insolvency Practitioners Association of Nigeria **(BRIPAN)**
2. Nigerian Bar Association;
3. Institute of Chartered Accountants of Nigeria;
4. Association of National Accountants of Nigeria; and
5. Institute of Chartered Secretaries and Administrators of Nigeria.

Requirements for accreditation shall include the following – Reg 24 (2)

a. Duly completed **Form CAC - MISC 02**
b. Payment of prescribed application fee;
c. Evidence of membership of relevant professional body;
d. Evidence of practice as insolvency practitioner **for not less than 5 years immediately preceding the date of application**
e. Evidence of eligibility to practice for the current year; and
f. Evidence of completion of accredited course of continuous learning administered by the relevant professional body in the preceding year (in the case of renewal accreditation).

Company Voluntary Arrangements - FOCUS

Company Voluntary Arrangements (CVA) are usually employed when a company is unable to pay its debts

The company directors may make a proposal to its creditors for a composition in satisfaction of its debts or a scheme of arrangement of its affairs (known as "Voluntary arrangement") – S. 434 (1) CAMA By this procedure, an insolvent company can have a legally binding voluntary agreement with its creditors

Procedure for CVA

1) Proposal of CVA (appropriate where the company is not in administration or liquidation)

- This is followed by the appointment of a Supervisor of the CVA where the nominee is not the liquidator or the administrator of the company

2) Presentation of report by the person nominated as CVA
3) Summoning of meetings (meetings of the company and of the creditors)

4) Decisions at meetings – This involves consideration of whether to approve the CVA, with or without modification
5) **Approval of the CVA**: As may be reached by both meetings (that is, the creditors' meetings and the company meeting) and decision of the court in that regard
6) Effect of approval
7) Challenge of decisions
8) Implementation of proposal

Commented [MOU80]:
NON-PERMITTED MODIFICATIONS – SEE S 347 (2) – (4) CAMA

a)Modification by which the **proposal ceases to be a CVA as defined** in **s. 434 CAMA**

b)Proposal or modification **which affects the rights of a secured creditor of the company to enforce his security, except with the concurrence of the creditor concerned**

c)Proposal or modification **under which any preferential debt of the company is to be paid otherwise than in priority**

d)**Denying a preferential creditor his entitlement to the same proportional payment as other preferential creditor** without obtaining his approval

Commented [MOU81]:
If the decision taken by the creditors' meeting differs from that taken by the company meeting, a member of the company may apply to court – S. 438 (3) & (4) CAMA

The court may make an order:
a)For the decision of the company meeting to have effect instead of the decision of the creditors' meeting; or

b)make such other order as it deems fit. – s. 438 (5) CAMA

The Shortcomings of Company Voluntary Arrangements

- **When creditors are summoned to a meeting, those not in favour of CVA may take steps to defeat the procedure, like:**

1) **re-possession of goods in the custody of the company, under a hire purchase agreement,**
2) **appointment of receiver under ss. 552 and 553 or**
3) **Presenting a winding up petition against the company for inability to pay its debt (s. 571 (d) CAMA if the conditions under s 572 CAMA are met)**

Administration of Companies

Administration is a statutory insolvency procedure with the primary purpose of **rescuing an insolvent company instead of the company going into liquidation**

Effect of Administration order

1) Dismissal of winding up order – s. 477 (1) CAMA
2) Vacation of office by receiver appointed by the holder of a floating charge or by the court - s. 478 (1) CAMA

3) No resolution may be passed or order made for winding up of the company except an order made on a petition presented on the grounds of public interest as may as may be prescribed by the CJ or under certain enactments – s. 479 (2) & (3) CAMA
4) No steps may be taken to enforce security over the company's property except with the consent of the administrator or the court – s. 480 (2) (a) CAMA
5) No repossessing of goods under hire purchase agreement except with the consent of the administrator or the court - s. 480 (2) (b) CAMA
6) No right of forfeiture by re-entry of landlord except with the consent of the administrator or the court - s. 480 (3) CAMA
7) No legal process except with the consent of the administrator or the court - s. 480 (4 CAMA)
8) Disclosure of administration and administrator – All businesses issued on behalf of the company must state the name of the administrator the name of the administrator; and that the affairs, business and property of the company are being managed by the administrator - s. 482 (1) CAMA

CHAPTER FIFTEEN

WINDING UP AND DISSOLUTION OF COMPANIES

Winding up is the process of liquidation of the assets of a company for the benefits of its creditors, members and employees in accordance with certain rules of priority.

RELEVANT LAWS

1. **Companies and Allied Matters Act**, 2020
2. **Winding Up Rules**, 2001
3. **Federal High Court Act and Civil Procedure Rules**
4. **Investments and Securities Act – empowers SEC, as may be appropriate to revoke the license of a market operator**
5. **Securities and Exchange Commission Consolidated Rule**, 2013
6. **Banks and Other Financial Institutions Act** – S. 2, where the bank can revoke a banking license
7. **Failed banks (recovery of debts) and financial malpractices in Banks Act** – S. 18, where a body corporate is convicted of an offence under the Act it may be wound up
8. **Nigerian Communication Commission Act** – S 14, empowers NCC to revoke operating license of a communications company
9. **National Insurance Commission Act**
10. **Companies Proceedings Rules**, 1992

REGULATORY BODIES/AGENCIES in Winding up-

1. **CAC –** It can present petition for winding up it is a custodian of company records-A company must file returns during winding up
2. **FHC:** Court with jurisdiction to entertain winding up petition.
3. **SEC – Capital market operators**

4. Nigerian Exchange Limited – regulates all listed authorities
5. Nigerian Insurance Commission
6. Nigerian Communication Commission
7. Central Bank of Nigeria
8. Administrative proceedings committee of SEC – regulates capital markets operators
9. Investment and securities tribunal
10. Nigerian deposit insurance corporation **– regulates banks**

TYPES/FORMS/MODES OF WINDING UP – MARCH 2021, Section 564

1. **Compulsorily Winding up by the court.**
2. **Voluntary winding up**:
   a. members or
   b. creditors
3. **Winding up subject to the supervision of the court**

Note: winding up begins when a petition is filed at the FHC or when the company passes resolution for winding up

COMMENCEMENT OF WINDING UP PROCEEDINGS

It depends on the type of winding up as follows:

a. If a **members voluntary winding up,** it is **deemed to commence at the date of passing the special resolution**. S. **622**
b. If it is **compulsory winding up by the court** it is **deemed commenced, on the date of the presentation of the Petition**. ***Mercantile Bank of Nigeria PLC v. Nwabude, S. 578(2).***

EFFECT OF COMMENCEMENT OF WINDING UP PROCEEDINGS

a. **No attachment of a company's property is allowed**
b. **No judgment debt can be claimed**
c. **No more carrying on of the business of the company**
d. **Its properties cannot be disposed off** nor can its shares be transferred unless such is sanctioned by the Court
e. **The directors' power to run the company ceases**
f. **No transfer of shares**
g. Stay of action or proceeding against the company unless with leave of court

EFFECT OF DISSOLUTION ORDER

a. Once a company is fully wound-up and dissolved, it loses its legal entity and ceases to exist(dies) in law
b. The incorporated name cannot be used any longer.

COMPULSORY WINDING UP BY THE COURT

The court with **jurisdiction** to wind up a company **is the Federal High Court**, within whose area the registered or the Head office of the company is situate **– S. 570.**

THE GROUNDS FOR WINDING UP BY THE COURT Section. 571
(August 2017 Q 1B, April 2018 Q. 6, August 2019 Q 5c)

1. Where the **company has by special resolution resolved** that company be wound up by court
2. **Default** is made **in delivering the statutory report** to the CAC or in holding the statutory meetings (Applicable only to public companies)

3. The **number of members has reduced below two** for companies that have more than one shareholder
4. The company is **unable to pay its debt** (**minimum debt threshold is 200,000**,) n.b service of statutory notice
5. The **court is of the opinion that it is just and equitable** that the company be wound up
6. The condition precedent to the operation of the company has ceased to exist

BCC Ltd v. Ado Ibrahim & Co. Ltd **and** **Unifam Industrial Ltd v. Oceanic Bank (Nig) Ltd**

Persons that can Petition for Compulsory Winding Up (April 2018 Q 6, August 2019 Q 5d, Dec 2020 Q 2c MARCH 2021) - Section. 573

1. The company itself
2. A creditor, including a contingent or prospective creditor of the company;
3. The official receiver;
4. A contributory;
5. A trustee in bankruptcy, personal representatives of creditor, contributory.
6. The CAC under **Section 366**
7. A receiver if authorized by the instrument under which he was appointed; or
8. By all or any of those parties, together or separately

PETITION FOR WINDING UP ON THE GROUND OF FAILURE TO DELIVER STATUTORY REPORT – FOCUS - S. 573 (2) (b).

For a petition brought on this ground to be valid, **two conditions must be fulfilled**:

1. The petition **must be brought by a shareholder** or a group of shareholders.
2. **It must be brought, before the expiration of 14 days, after the last day on which the meeting ought to have been held** –

NOTE: This ground of winding up only applies to public Companies.

WHAT AMOUNTS TO INABILITY TO PAY DEBTS; (2009 No.3) Section . 572 , Unifam Ind Ltd v Oceanic Bank

A company would be deemed to be unable to pay its **debts** if:

1) The creditor to whom the company is indebted in a sum **exceeding N200, 000** has by a notice in writing demanded for the debt to be paid. The company has for a **period of 3 weeks** thereafter neglected to pay, then the company is unable to pay its debts. - ***Ado Ibrahim & Co. Ltd v. B.C.C. Ltd.*** **essential ingredients** must co-exist. They are as follows:
   (a) There must be a **debt in existence**;
   (b) The **debt must be due**;
   (c) There must have been a **formal demand for the debt**; and
   (d) There must **be inability on the part of the company to pay the debt**.

2) Execution or other processes issued on a judgment or order of any court in favor of a creditor of the company is returned unsatisfied in whole or in part;

3) The **court is satisfied that the company is unable to pay its debts.**

EXCEPTIONS- Section. 572 CAMA

A company will not be deemed to be unable to pay its debt if:

1. The **debt to a creditor is not due**
2. **No evidence of due demand for payment was made**

Commented [MOU82]: SHORTER FORMANT
1.There is an unpaid uncontested debt that is due.

2.The company must be owing a debt N200k and above.

3.A STATUTORY NOTICE of the debt, signed by the creditor, must have been served on the company.

4.The company has, for a period of 3 weeks, neglected to pay the sum, which is now due.

5.Court is satisfied of the inability of the company to pay debt. Unifam Ind. Ltd. V. Oceanic Bank.

Commented [MOU83]:
Be very careful of the ingredients in the scenario make sure these conditions can be deduced from the facts before you choose this option AND THE SUM MUST ALWAYS BE 200K IF LESS THAN 200K THE COMPANY CANNOT BE ADJUDGED TO BE UNABLE TO PAY ITS DEBT

3. If there is a **bonafide dispute of the actual amount due on the debt**
4. There is no evidence that the company is insolvent.

NB

The demand is a statutory correspondence made under the hand of the creditor and **it must last for a period of three weeks before a winding up action can be brought**. **S. 572(a) CAMA.**

When the amount owed becomes contentious, a petition for winding up will be refused Tate Industries Plc. v Devcom M.B. Ltd,
in such cases, the matter will be referred to the SHC for the determination of the amount owed. (EXAM focus)
You can be asked to Draft the petition for winding up on behalf of a person claiming to be owed by a company.

WINDING UP ON JUST AND EQUITABLE GROUNDS S. 571(f) of CAMA, the following must exist:

1. The company is **formed for fraudulent purposes**;
2. The **company is a "bubble"** i.e. where a going concern does not have any business or assets;
3. **Unfairly prejudicial or discriminating acts against the minority or other members;**
4. If it is a small going concern (small company), ground employable in the dissolution of partnership is enough to dissolve the company.

A petitioner must show:

1. **That as a contributory, he has no other remedy apart from the winding up of the company.**

2. That **he is not acting unreasonably.**
3. That **there will be assets for distribution upon winding up.**
4. That the **petition is not opposed by the majority of the shareholders of the company – BCC Ltd v. Ado Ibrahim.**

PROCEDURE FOR COMPULSORY WINDING UP –

The procedure is summarized as follows:

1. **Filing of the Petition at the FHC for winding up with a verifying affidavit**
2. **Service of the Petition and verifying Affidavit on the Respondent with proof of Service**
3. **Obtain leave of court to advertise petition and advertise same**
4. **File Memorandum of Compliance.**
5. The **Respondent will then file a Notice of intention to appear**, Memorandum of Appearance and an affidavit in opposition to the petition.
6. The petitioner files a Reply to the Respondent's processes.
7. The court will appoint a Provisional Liquidator or if none was appointed, the official receiver shall become the provincial liquidator.
8. Filing and hearing of Summons for Security for Costs and list of Persons Appearing.
9. Hearing of Petition and making of winding-up order
10. Service of winding-up order on the Respondent.
11. Application for dissolution by the liquidator and the order of dissolution made by the court – S. 617

Commented [MOU84]:
PROCEDURAL STEPS IN COMPULSORY WINDING UP BY THE COURT (Exam Focus)

STEP 1: File a Petition at the Federal High Court
-The Petition shall be **Presented** (not Filed) at the Court registry.
-Thereafter, time and place are appointed for hearing. – **Rule 16 Companies Winding-Up Rules (CWR)**

STEP 2: File Affidavit Verifying the Petition
-Petition must be verified by affidavit (by the petitioners or in the case of a company, by a director, secretary or other principal officer).
-To be sworn and filed within 4 days after the petition is presented - **Rule 18 Companies Winding-Up Rules (CWR)**

STEP 3: Service of the Petition
-Petition must be served on the company - **Rule 17 Companies Winding-Up Rules (CWR)**

STEP 4: Advertisement of the Petition
-Court makes order to this effect; and
-Such petition must be advertised 15 days before hearing or else, it will be struck out - **Rule 19 Companies Winding-Up Rules (CWR)**

STEP 5: Filing of the Memorandum of Compliance
-Petitioner, on the next announced date, must satisfy the court that the petition had been duly advertised - **Rule 22 Companies Winding-Up Rules (CWR)**

STEP 6: Filing of Notice of Intention to Appear:
-Everybody wishing to appear on the hearing must notify the petitioner in this regard - **Rule 23(1) and (2) Companies Winding-Up Rules (CWR)**

STEP 7: Appointment of Provisional Liquidator:
-The Court appoints a Provisional Liquidator on such terms as it thinks fit - **Rule 21 Companies Winding-Up Rules (CWR)**
- Has the same power as the liquidator to preserve the assets of the company pending the determination of the winding up proceedings – Gen & Aviation Service Ltd v. Thalhal.

STEP 8: Filing of Affidavit In Opposition and Affidavit in Reply:
-To be filed by the respondent within 10 days of the service of the petition on him;
-Or by any other party within 15 days of the advertisement of the petition - **Rule 25 Companies Winding-Up Rules (CWR)**
-Reply to an affidavit in opposition, within 5 days of receipt from the petitioner.

STEP 9: Filing of Summon for Security for Costs

STEP 10: Filing of List of Persons Appearing

STEP 11: Hearing of Petition:
-Dismiss
-Adjourn the hearing conditionally or unconditionally
-Or make the interim order as it thinks fit

12. Delivery of the copy of the order to CAC within 14 days and CAC shall make a note of the minute of the dissolution of the company in its books. S 617(2)

NB: An aggrieved party may appeal to the court of appeal against any order made by the court in the course of winding up and dissolution of the company – s. 619

STEPS AFTER WINDING UP ORDER IS MADE

a) Service of Winding up order
b) Delivery of Statement of Affairs to the Official Receiver by the Director or Secretary of the Company – **Section 583 CAMA.**
c) Official Receivers Preliminary Report – **Section 584 (1) CAMA**

Dissolution of the Company

If the affairs of the company that has been fully wound up, the liquidator makes an application in that behalf, The court shall then order the dissolution of the company, and it shall be dissolved from the date of the order. Notice of dissolution to Corporate Affairs Commission **within 14 days of the dissolution order and the company is struck off the register. See Section 617 CAMA**

Power of the Court to Void a Dissolution

This may be done within two years of the dissolution of a company.

-On the application of:

1. The Liquidator or,
2. Any other interested person

Notice to CAC within 7 days of order voiding dissolution. See Section 691.

Documents to be Delivered to CAC During Winding Up by the Court (POSSIBLE EXAM QUESTION)

1. Special resolution for winding up by the court, pursuant to Section 571 (a) CAMA (where applicable) to be filed at CAC within 14 days of passing.
2. Certified True Copy (CTC) of court order for winding up.
3. Publication of notice of appointment of the liquidator in the gazette or two daily newspapers.
4. Liquidators notice of his appointment, to be filed within 14 days of his appointment.
5. Liquidators account of receipts and payments at least, twice a year, which shall be in duplicate and verified by statutory declaration.
6. Certified True Copy (CTC) of court orders for dissolution of company.
7. Updated Annual Return.
8. Original Certificate of Incorporation (Or CTC) for cancellation
9. Payment of Fees.

VOLUNTARY WINDING UP - S. 620 CAMA

Grounds for voluntary winding up

A company may be wound up voluntarily:

1. **When the period, if any fixed for the duration of the company by the articles expires,**
2. **When the articles provided that the company to be dissolved upon the happening of an event and the event occurs**
3. When the **company in a general meeting has passed a resolution requiring the company to wound up voluntarily**.
4. If the **company resolves by special resolution that company be wound up voluntarily.**

if a company passes a resolution for voluntary winding-up it must, **within 14 days after the passing of the resolutio**n:

1. give notice of the resolution by advertisement in the Federal Government Gazette or
2. two daily newspapers and
3. to the Commission.

POSER:

What type of resolution will be passed for Members' voluntary winding up and list the circumstances when Ordinary Resolution can be passed for voluntary winding up of a Company? **2010 No 4(f)**

The type of resolution to be passed is a special resolution, but in some circumstances, it may also be by an ordinary resolution.

Ordinary resolution may be passed for voluntary winding up in the following circumstances:

- When the period, if any fixed for duration of the company by the Articles of Association
- The event, if any occurs on occurrence of which the articles provided that the company is to be dissolved
- When the company has accomplished its purpose.

Draft a resolution for members' voluntary winding up. 2010 No 4(i)

TYPES OF VOLUNTARY WINDING-UP

Voluntary winding-up is of two types, namely –

1. Members voluntary winding-up; and
2. Creditors' voluntary winding-up. – Section 625(4)

MEMBERS VOLUNTARY WINDING-UP

This is where a statutory declaration of solvency shall be made by the directors to the effect **section 625(4).**

Procedure For Members' Voluntary Winding-Up (August 2019 Q 5e, Dec 2020 Q 2a) – Section . 620-630

1. **A company passes a special resolution to wind up voluntarily**
2. **Statutory declaration of solvency duly signed by majority of the directors embodying statement of the company's asset and liabilities, to be filed at CAC within 5 weeks of its making**
3. **Special resolution for voluntary winding up signed by a director and secretary or two directors, to be passed within 5 weeks of making of the statutory declaration of solvency, and filed with CAC within 14 days of its passage**
4. **Publication of Notice of Appointment of liquidator in Gazette or two daily newspapers**
5. **Resolution for appointment of liquidator**
6. **Notice of appointment of liquidator to be filed with CAC within 14 days of the appointment**
7. **Return of final meeting and account of liquidation as laid before and approved by the meeting, to be filed with CAC within 7 days after date of the final meeting.**
8. Original certificate of registration for cancellation -Section .**630 and 633(2)**

What is Declaration of Solvency and what are the conditions to be fulfilled in making a declaration of solvency**. 2010 No 4(h)**

is a statutory declaration **made by the Directors or Majority of the Directors of a Company to the effect that, they have made full inquiry into the affairs of**

the company and are of the opinion that the company will be able to pay its debts in full within a period not exceeding 12 months from the commencement of the winding up of the company. Section 625

The conditions to be fulfilled in making a declaration are as follows:

1. The declaration **must be made within five (5) weeks immediately preceding the date of the passing of the resolution** for voluntary winding-up
2. It **must be delivered to the CAC within 15 days for registration.**
3. Be **accompanied with a statement of the company's assets and liabilities as at the latest date before the making of the declaration – Sect. 625 (2)**.

CREDITORS' VOLUNTARY WINDING-UP

This occurs where the directors are not able to make a declaration of solvency at the CAC – **section 635, 636 and 637. (MCQ)** this type of voluntary winding up is not accompanied by a declaration of solvency by the Directors -Section 625(4).

Procedure For Creditors' Voluntary Winding-Up –

1. Resolution for the voluntary winding-up, to be filed with CAC within 14 days of passing
2. **The publication of notice of creditors meeting in the gazette and two daily newspapers**
3. **Appointment of a liquidator**
4. **Publication of notice of appointment of liquidators in the gazette or two newspapers**
5. Notice of appointment of liquidator to be filled with CAC within 14 days of the appointment

6. **Publication of notice of final meeting in the gazette** and **at least two newspaper circulating in the locality where the meeting is being called**
7. **Return of final meeting and account of liquidation as laid before and approved by the meeting**
8. Original certificate of registration for cancellation
9. Updated annual returns
10. Updated **S.733** filling where applicable
11. Payment of fees

POSER

write a reply on points of law to the contention that once a resolution for member's voluntary winding up is passed, that creditors can no longer be involved in the wining up process**. 2009 No 4(a)(vi)**

The objection is misconceived in view of the fact that if a resolution for members' voluntary winding up is passed and the company fails or refuses to file a declaration of solvency, it may be converted to a creditor's voluntary winding up wherein the creditors will be involved.

NOTE-

If separate persons are nominated as liquidators at the separate meetings, the person nominated by the **creditors** would be the liquidator**–S. 473 (1) CAMA**

MAJOR OFFICERS IN THE WINDING UP OF COMPANIES (Dec 2020 Q 2e)

1. Provisional Liquidator
2. Liquidator
3. Official Receiver

4. Receiver Manager
5. Special Manager

The Provisional Liquidator

He plays the role of the liquidator until the main liquidator is appointed. **His role ceases when the liquidator is appointed.** The provisional liquidator, in winding up, is usually the official receiver. In the case of Winding Up by the Court, the Provisional Liquidator may be appointed anytime after the presentation of the petition until the making of the winding up order -Section **585 (2) CAMA.**

LIQUIDATOR

is a person appointed by the company or court to wind up the affairs of the company and to distribute its assets among the creditors and contributories in accordance with the articles.

One or more persons may be appointed as liquidator, in the event where more than one person is appointed as liquidator by Court, the Court shall declare whether they must act jointly or any of them can perform the acts required under **Section 585 (4)**

Upon the **appointment of a liquidator, all the powers of the directors cease- Section. 585(9)**

Company appoints (in voluntary winding up) or the Court may appoint liquidator. A liquidator appointed other than the official Receiver is entitled to renumeration – **Section 585 (6) of CAMA.**

The liquidator must, within **fourteen (14) days** after his appointment publish in the gazette and in two (2) daily newspapers and deliver to the commission for registration a notice of his appointment –**section 654**

Commented [MOU85]:
A liquidator represents the interest of the creditors, especially the unsecured creditors. Thus, upon appointment all powers of directors cease.

POWERS OF A LIQUIDATOR IN WINDING UP BY THE COURT

The liquidator, in a winding-up by court, exercises some powers, but the powers must be sanctioned by the court or the committee of inspection – **section 588(1) & (2).** These powers include –

1. The power to **bring or defend any action in the name and on behalf of the company;** ***Agbaoye v. Chief Federal Land Officer***
2. The power to **carry on the business of the company as may be necessary for the purpose of the beneficial winding-up**;
3. The power to **appoint a legal practitioner or relevant professionals to assist him in the performance of his duties**;
4. The power to **pay all classes of creditors in full;**
5. The power to **make any compromise or arrangement with creditors** or persons claiming to be creditors; and
6. The power to compromise all calls, debts and liabilities capable of resulting in debts.
7. Make, draw or accept and endorse Bill of Exchange on behalf of the company
8. Sell the company property by public auction or private contract
9. Execute any deed on behalf of the company.

Disqualification For Appointment As Liquidator

The following are persons who are incompetent to be appointed or to act as liquidator in a winding-up by the court – **Section 676 (1)**

1. An infant.
2. An unsound mind.
3. A body corporate.
4. An un-discharged bankrupt.

Commented [MOU86]: NDIC can be appointed as a liquidator

5. A director of the company under liquidation.
6. Any person convicted of any offence involving:
    a) fraud,
    b) dishonesty,
    c) official corruption
    d) moral turpitude and
    e) of whom there is a subsisting order to restraint fraudulent persons

OFFICIAL RECEIVER Section. 582 CAMA

An official receiver is **the**

a. **Deputy Chief Registrar** to the Federal High Court or

b. any other officer designated for that purpose by the Chief Judge of the Federal High Court.

Duties of The Official Receiver

1. To receive the statement of the affairs of the company and to collate information about the company- E.g., Capital Assets – **Section 583 (1)**.
2. To conduct inquiry into the promotion, formation or failure of the company, if need be **- Section 583 (2)**
3. Submit a preliminary report of the company to the court (estimated assets and liabilities of the company, reasons for failure of the company and recommendation for further investigation) **Section 584 (1).**
4. He acts as a liquidator whenever there is no liquidator - **Section 585 (1)**
5. He may become the provisional liquidator in a compulsory winding up process, prior to the appointment of the liquidator – **Section 585(3)(b).**

The Special Manager

The Special Manager is appointed in cases of winding up of a company where the **official Receiver who becomes a Liquidator is of the opinion that because of the nature of business of the Company a Special Manager is needed**. The application may be made to the Court and the Special manager may have the power of a receiver or manager as may be entrusted to him by the Court**. Section 599 (1) of CAMA.**

2. RECEIVER

A receiver is appointed by **the secured creditors** under the power contained in the **debenture instrument**, executed by the company and the creditors. A receiver may also be appointed by the court on the application of any creditor or debenture holder of the company. **S. 551 CAMA**

A receiver need not get involved in **the management of the company**. He only has an eye in **the income and expenditure** of the company in order to realize assets and pay off the debt due to the creditors.

He has the power take possession of and protect the property, receive rents and profits and discharge all out-goings in respect thereof and realise the security for the benefit of those on whose behalf he is appointed – **S. 556**

QUALIFICATION OF RECEIVERS/MANAGERS

(a) an infant;

(b) any person found by a competent Court to be of unsound mind;

(c) a body corporate;

(d) an undischarged bankrupt, unless he is given leave to act as a receiver or manager of the property or undertaking of the company by the Court by which he was adjudged bankrupt;

(e) a director or auditor of the company; and

(f) any person convicted of any offence involving fraud, dishonesty,

N.B:

Where a receiver or manager of the property of a company has been appointed, the receiver or **manager shall within 14 days give notice** (CAC FORM 11) of his appointment to the Commission indicating the terms of and remuneration for the appointment. S. 555

RECEIVER MANAGER – S. 556(1)

A Receiver Manager is not only concerned to realize the assets of the company but takes over the management of the affairs of the company, to stabilize it to make profit and pay off the creditors and then handover the company to the members.

Powers of The Receiver/Manager – see PIP Ltd v Trade Bank(Nig), S. 556(2)

- **a.** Power to carry on the business of the company.
- **b.** Power to appoint other professionals to assist him.
- **c.** Power to sell and dispose of the property.
- **d.** Power to raise or borrow money and grant security due over the property of a company.

CHAPTER SIXTEEN

SALIENT SAMPLE DRAFTS IN CORPORATE LAW

As earlier noted, in Corporate Law, drafts make up at least 30-40% of your marks in the exam. Therefore, it is important to master some salient drafts for the purpose of your exams**. These drafts include:**

1. Memorandum and Articles of Association.
2. Letters of Exemption
3. Notice meetings
4. Resolutions of the company
5. Search Report
6. Letters (like letter of allotment, letters to CAC etc.)

NOTE: there other drafts contained here which may also come out but those highlighted above are the favourites.

SOME OF THE ABOVE DRAFTS WILL BE REPRODUCED BELOW TOPIC BY TOPIC

DRAFTS FROM INCORPORATION OF COMPANIES

1. Memorandum of Association

Memorandum of Association for Company Limited By Guaranty - **See CR 18TH SCHEDULE**

THE FEDERAL REPUBLIC OF NIGERIA

THE COMPANIES AND ALLIED MATTERS ACT 2020

COMPANY LIMITED BY GUARANTEE

MEMORANDUM OF ASSOCIATION

OF

NOVACANE LIMITED BY GUARANTEE

1. The name of the company is 'Novacane Association (Limited by Guarantee).
2. The registered office of the company will be situated in Lagos State Nigeria.
3. The objects for which the company is established are:
   a. The promotion of education and research in Lagos state
   b. To do all such things incidental to the attainment of the above object.

AND IT IS HEREBY DECLARED THAT:
The objects specified in each of the paragraphs of this clause shall be regarded as independent objects and accordingly shall in no way be limited or restricted (except the contrary is expressly stated) by reference to or inference from the terms of any other paragraph or the name of the Company, but may be carried out in as full and as ample a manner and construed in as wide a sense as if each of the said paragraphs defined the objects clause of a separate and distinct company.

4. The company is a private company.

5. The liability of the members is limited by guarantee

6. The income and property of the company shall be applied solely towards the promotion of its objects, and no portion of the income or property shall be paid or transferred directly or indirectly to the members of the company except as permitted by or under the Companies and Allied Matters Act.

7. Every member of the company undertakes to contribute to the assets of the company in the event of the company being wound-up where he is a member or within one year after he ceases to be a member, and the costs, charges and expenses of winding-up which shall not be less than N100,000.00

8. If upon the winding-up or dissolution of the company there shall remain after the satisfaction of all its debts and liabilities any property of the company, the same shall not be paid or distributed among the members of the company but shall be given or transferred among some other companies having similar objects of this company which shall be determined by the members prior to the dissolution of the company.

DATED THIS ……..DAY OF ……. 2022
WITNESS:
Name……..
Address……
Occupation……..
signature…….
date

Memorandum of Association For Limited Company **(2017 Q 4b, April 2019 Q 4d, August 2018 Q 4b) (very important for your exam) – 16th Schedule**

THE FEDERAL REPUBLIC OF NIGERIA
THE COMPANIES AND ALLIED MATTERS ACT 2020

PRIVATE COMPANY LIMITED BY SHARES

MEMORANDUM OF ASSOCIATION

OF

NOVACANE LIMITED

1. The name of the Company is 'NOVACANE LIMITED''.
2. The registered office of the company will be situate in Nigeria.
3. The businesses for which the company is established are as follows:
   a. To carry ……
   b. To carry out any incidental business to the above objects.

AND IT IS HEREBY DECLARED THAT:

The objects specified in each of the paragraphs of this clause shall be regarded as independent objects and accordingly shall in no way be limited or restricted (except the contrary is expressly stated) by reference to or inference from the terms of any other paragraph or the name of the Company, but may be carried out in as full and as ample a manner and construed in as wide a sense as if each of the said paragraphs defined the objects clause of a separate and distinct company.

4. The company is a private company
5. The liability of the members is limited by shares.
6. The issued share capital of the company is N1, 000, 000.00 divided into 100, 000, 000 ordinary shares of N1.00 each

I/we whose name(s) and address(es) is/are subscribed herein is/are desirous of being formed into a company in pursuance of the Memorandum of Association and I/we respectively agree to take the number of shares indicated opposite my/our name(s).

DATED THIS ……..DAY OF …….. 2022

WITNESS:

Name:

Occupation:

Address:

Signature:

Date:

2. **Articles of Association: due to the new CAC policy, this is now how to draft the Article of Association. SEE 20TH SCHEDULE CR 2021 (August 2017 Q 4c)**

Contents of Articles (abridged)

The Federal Republic of Nigeria

Companies and Allied Matters Act, 2020

Company Limited By shares

Articles Of Association of ……

1) Interpretation

2) Shares

3) Borrowing

4) Meeting of the company

5) Transfer of shares

6) Written resolutions (for pvt. companies)

7) Number of directors

8) Secretary

9) Common seal/ official seal

10) Accounts

11) Audits

12) Stock Exchange (if the company is listed in the Nigerian Stock Exchange)

13) Notices

14) Winding up

15) Indemnity

S/N* Names addresses and Description of subscribers* Nos of shares Taken by each subscribers* Signature

1.

2.

3.

Dated this 20th day of February 2021

Witness to the above signatures

Name: Wadata

Address: 2 Sokoto Street Yola

Occupation: Businessman

DRAFTS IN PARTNERSHIP

Partnership Agreement (**Dec 2020 Q 3c, May 2022 resit**) (highlights)

THIS PARTNERSHIP AGREEMENT made this……day of……..2020 BETWEEN Mr. Adeola Adebayo of No. 22 Kunleda Street, Ikeja, Lagos State (1st Partner) AND Mr. John Ogah of No 1. Cole Street, Surulere, Lagos State (2nd Partner)

IT IS AGREED AS FOLLOWS:

1. PLACE OF BUSINESS: The place of business of the partnership shall be No. 10 Ikota Street, Ilupeju, Lagos State
2. NATURE OF BUSINESS: Fish farming and Animal Husbandry.
3. CAPITAL CONTRIBUTION: The Partners shall raise the sum of N5, 000.000.00 (Five million Naira), in the ratio of 3:2.
4. PROFIT AND LOSS SHARING: The profit and loss sharing shall be in ***imparri passu*** with the capital contribution formula/ratio
5. BANKERS AND SIGNATORIES: The partners shall open and operate a joint Account with Zenith Bank PLC with both partners as joint signatories.
6. SALARIES: Each of the partners shall be entitled to a monthly salary of N20, 000.00 (Twenty Thousand Naira).
7. DISPUTE RESOLUTION: Any dispute arising from the affairs of the partnership shall be resolved by arbitration. The arbitrator shall be appointed jointly by the parties.

8. DURATION OF BUSINESS: The partnership shall carry on business for a period of 50 years form the date of commencement of the business.

IN WITNESS of which the parties executed this agreement in the manner below the day and year first above written

SIGNED by the within named:	SIGNED by the within named:
……	……
Mr. Adeola Adebayo	Mr. John Ogah
(1st Partner)	(2nd Partner)

IN THE PRESENCE OF:

NAME…….
ADDRESS…….
OCCUPATION……..
SIGNATURE…….

INTRODUCTORY PART OF A GENERAL PARTNERSHIP

THIS Partnership agreement dated———-between Isah Adam of————-(herein referred to as first partner, Ukeme Edo of ————————(herein referred to as second partner) and Ayo Oyo of ————————-(herein referred to as third). Jointly referred to as partners in this agreement.

DRAFTS IN FOREIGN PARTICIPATION

Letter of Exemption

1. **(you can use foreign Company's letter head or use a solicitors letterhead) (August 2017 Q 1A, April 2019 Q 2A)**

RT BRAZIL LIMITED
NO 5 DECAPRIO ROAD, RIO DE JAINEIRO, BRAZIL
rtbrazil@yahoo.com.+234-666-556-9990

OUR REF……. **YOUR REF**

January 10, 2022

The Minister of trade:
Federal Republic of Nigeria
Area 1, Garki Abuja

Dear Sir,

APPLICATION FOR EXEMPTION FROM REGISTRATION AS A NIGERIAN COMPANY PURSUANT TO SECTION 80(1) COMPANIES AND ALLIED MATTERS ACT, 2020

We the above-named foreign company having been invited to Nigeria by the Federal Government of Nigeria to execute a solar energy project hereby apply for exemption from incorporation as a Nigerian company.

Please find attached the necessary documents as stipulated by section 80(2) of the Companies and Allied Matters Act for your kind consideration.
Thank you
Yours faithfully,
…….
Ronaldinho Lebron

Company Secretary.

FOR: RT BRAZIL ENERGY INC

ENCL:

(you do not need to list these documents in exam unless you were asked to do so)

DRAFT OF RESOLUTIONS

Every decision of the company is by resolution which may be ordinary or special resolutions. **The format for all resolutions are the same, the difference is only on the reason for the resolution.** Below are some samples:

1. **Resolution For Appointment of Directors**

NOVACANE LIMITED
NO. 45 LAWSCHOOL DRIVE
ABAYOMI STREET VICTORIA ISLAND LAGOS
RC NO……..
Email: goldpalms@gmail.com

RESOLUTION FOR APPOINTMENT OF DIRECTORS PURSUANT TO SECTION 273 OF THE COMPANIES AND ALLIED MATTERS ACT 2020

At the 2nd **Annual General Meeting** of the above-named company **held on the 15 day of March 2020 at the Company's Board room**, it was proposed and duly resolved as follows:

1. That Mr. Kareem Lawrence be and is hereby appointed a director of the company as an additional director.

2. That Mr. Nwankwo Chizoba be and is hereby appointed a director of the company filling up the vacancy created by the resignation of Adewale Lanre as a director.

Dated the 15th day of March 2022

…… ……

Chairman/Director Secretary

2. Resolution of A Company for Removal Directors

GOLD PALMS LIMITED
NO. 45 LAWSCHOOL DRIVE
ABAYOMI STREET VICTORIA ISLAND LAGOS
RC NO……..

RESOLUTION FOR THE REMOVAL OF PURSUANT TO SECTION 288 OF THE COMPANIES AND ALLIED MATTERS ACT 2020

At the Annual General Meeting of the company held on the 10 day of June, 2022 at the company Conference Room, it was duly proposed and resolved as follows:

That Mr. Kareem Owolabi be removed from office as a director of the company

Dated the 11th day of June 2022

…… …….

Director Secretary

3. Board Resolution Appointment of Secretary

GOLD PALMS LIMITED
NO. 45 LAWSCHOOL DRIVE
ABAYOMI STREET VICTORIA ISLAND LAGOS
RC NO……..

RESOLUTION OF THE BOARD OF DIRECTORS FOR APPOINTMENT OF SECRETARY PURSUANT TO SECTION 333 OF THE COMPANIES AND ALLIED-MATTERS ACT 2020

At the Board of Directors meeting of the above-named company held on the 10 day of May 2022 at the Board Conference Room of the company, it was duly proposed and resolved as follows:

That Mr. Owonikoko Abiodun, a chartered Secretary, be appointed a secretary of the company.

Dated the 10th Day of May 2022

…… …….

Director Director

4. Special Resolution For Conversion of Company From LTD To PLC

KENDEL PALM PRODUCE LIMITED

NO. 10 YELLOW DUKE STREET
CALABAR,
CROSS RIVER STATE
RC NO 1350

SPECIAL RESOLUTION FOR RE-REGISTRATION OF KENDEL PALM PRODUCE LTD TO BEST PALM PRODUCE PLC PURSUANT TO SECTION 56 OF THE COMPANIES AND ALLIED-MATTERS ACT 2020

At the 3rd Annual General Meeting of the above-named company, held on the 2 day of April, 2020, at the Board conference room of the company, No 10 Yellow Duke Street Calabar, Cross River State, it was dully proposed and resolved as follows:

1. **THAT** the company be re-registered as a Public company limited by shares with the name Best Palm Produce PLC subject to the consent of the Corporate Affairs Commission.
2. That the MEMOART and registration documents be and are hereby altered
3. That all actions necessary to give effect to the above resolution be taken

DATED THE 6TH Day of April, 2020

……. …….
DIRECTOR SECRETARY

5. Special Resolution proposing the Change Name

NOVACANE LIMITED
NO. 15 ALFRED REWANE STREETIKOYI LAGOS
Email: info@novacane.com
Tel: 09034873927
RC Number:123456

SPECIAL RESOLUTION TO CHANGE THE NAME OF NOVACANE LTD TO INDIGO LTD PURSUANT TO SECTION 30 (3) OF THE COMPANIES AND ALLIED MATTERS ACT 2020

At the Extra- Ordinary General Meeting of NOVACANE Limited held electronically on Zoom on May 5th, 2022, it was duly proposed and resolved as follows:

1. **THAT** the company name be changed from Novacane Limited to INDIGO LIMITED subject to the consent of the Corporate Affairs Commission.
2. That all actions necessary to give effect to the above resolution be taken

DATED THE 5TH DAY OF MAY 2022

…… ……
DIRECTOR SECRETARY

6. Special Resolution for Change Name (August 2016 Q 1b)

GOLD PALMS LIMITED
NO. 15 BROAD STREET
IKEJA LAGOS
RC NO 1350

SPECIAL RESOLUTION TO CHANGE THE NAME OF GOLD PALMS PLC TO SUGAR PALMS LTD PURSUANT TO SECTION 30(3) OF THE COMPANIES AND ALLIED-MATTERS ACT 2020

At the Extra- Ordinary General Meeting of **GOLD PALMS LIMITED** held at the Board Conference Room of the company No 15 Broad Street, Ikeja, Lagos on January 6, 2021, it was dully proposed and resolved as follows:

1. **THAT** the company name be changed to SUGAR PALMS LIMITED subject to the consent of the Corporate Affairs Commission.
2. That the MEMOART and registration documents be and are hereby altered
3. That all actions necessary to give effect to the above resolution be taken

DATED THE 6TH DAY OF JANUARY 2022

……. …….

DIRECTOR SECRETARY

7. Resolution For Increase of Authorized Share Capital

GOLD PALMS LIMITED
NO. 15 BROAD STREET
IKEJA LAGOS
RC NO 1350

RESOLUTION FOR THE INCREASE OF THE AUTHORISED SHARE CAPITAL PURSUANT TO **SECTION 127** OF THE COMPANIES AND ALLIED-MATTERS ACT 2020

At an Extra- Ordinary General Meeting of **GOLD PALMS LIMITED** held on the 20 day of January 2022 at the Board conference room of the company, it was dully proposed and resolved as follows:

1. 'That the company's share capital be increased from ₦5, 000, 000.00 divided into 5,000,000 ordinary shares of ₦1.00 each to ₦15, 000, 000.00 divided into 15,000,000 ordinary shares of ₦1.00 each share by the creation of additional ₦10, 000, 000.00
2. The shares so created are to rank in ***pari pasu*** with the existing shares of the company''.

DATED THE ….DAY OF … 2022

…… ……..

DIRECTOR SECRETARY

8. Special Resolution for The Reduction of Share Capital

GOLD PALMS PLC
KM 5 IDIKOKO ROAD OTA
OGUN STATE-NIGERIA
RC NO 1245

SPECIAL RESOLUTION FOR THE REDUCTION OF SHARE CAPITAL PURSUANT TO **SECTION 130** OF THE COMPANIES AND ALLIED-MATTERS ACT 2020

At an Extra- Ordinary General Meeting of Kato PLC held on the 20 day of May 2020 at the Board conference room of the company, it was dully proposed and resolved as follows:

4. **THAT** subject to the confirmation of the Federal High Court, the share capital of the company be reduced from N100, 000, 000.00 made up of 100, 000, 000 ordinary shares of N1.00 each to N50, 000, 000.00 made up of 50, 000,000 ordinary shares of N1.00 each by refunding pro rata the amount already paid on those share.''
5. That the MEMOART and registration documents be and are hereby altered
6. That the company secretary be directed to file an application at the FHC for the court to confirm the reduction.

DATED THE …….. DAY OF …..2020

…….	……
DIRECTOR	SECRETARY

Draft the Resolution for the change of object of the company – March 2021

OBONG PLC
NO. 15 BROAD STREET
UYO
AKWAIBOM STATE
RC NO 1350

SPECIAL RESOLUTION FOR CHANGE OF THE OBJECT OF OBONG PLC PURSUANT TO SECTION 51 OF THE COMPANIES AND ALLIED-MATTERS ACT 2020

At the Extra- Ordinary General Meeting of the above-named company held at the Board Conference Room of the company No 15 Broad Street, Uyo, Akwaibom State on March 6, 2021, it was dully proposed and resolved as follows:

1. **'THAT** the object of the company be altered to include the manufacturing and sales of soaps, disinfectants and sanitizers, subject to the approval of the Corporate Affairs Commission'.
2. That the MEMOART and registration documents be and are hereby altered
3. That all actions necessary to give effect to the above resolution be taken

DATED THE 6TH DAY OF MARCH 2021

……. …….
DIRECTOR SECRETARY

NOTICES

9. NOTICE OF PROPOSAL FOR REOVAL OF DIRECTOR

(Personal address of writer)

DATE

The Secretary,

Ace Nigeria Limited,

No. 45 Law School Drive

Abayomi Street,
Victoria-Island Lagos

Sir,

NOTICE OF REQUISITION TO REMOVE MR. KAREEM LAWRENECE AS A DIRECTOR OFTHE COMPANY.

TAKE NOTICE that I, Mr. Alabi Otondo of the above address and a shareholder holding not less than one-tenth (1/10) of the paid-up capital of the company, intend at the next general meeting of the company to move a Resolution that "Mr. Kareem Law, a director of the company, be removed from his office as a director and that …… be appointed a director in his place".

Yours faithfully,

……..
Mr. Alabi Otondo

10. Notice of Board of Directors' Intention To Remove A Secretary **(April 2019 Q 1c)**

GOLD PALMS LIMITED
NO. 45 LAWSCHOOL DRIVE
ABAYOMI STREET
VICTORIA ISLAND LAGOS
RC NO……..

OUR REF…… YOUR REF …….

To:

Mr. Owonikoko Abiodun
No.15 Broad Street,
Bariga,
Lagos State
Sir,

NOTICE OF BORAD OF DIRECTORS' INTENTION TO REMOVE YOU AS THE COMPANY SECRETARY PURSUANT TO **SECTION 333(2)** OF THE COMPANIES AND ALLIED MATTERS ACT 2020

You are hereby given Notice of the Board's intention to remove you as the secretary of the company for failing to file statutory returns to the Corporate Affairs Commission for a period of six months now.

You are given a period of seven (7) working days to make your defence or alternatively to put in a Notice of your resignation to the Board.

Yours faithfully,

Chairman

BY ORDER OF THE BOARD

SAMPLE DRAFT OF APPLICATIONS/LETTERS TO CAC

1. **Application For Consent For Conversion of Company**

GOLD PALMS LIMITED

NO. 15 KENT STREET IKOYI

LAGOS STATE

RC NO 1015 Email: goldpalmsl@gmail.com

OUR REF.: **YOUR REF**

DATE: APRIL 10, 2021

To:

The Registrar-General

Corporate Affairs Commission

Aguiyi Ironsi Crescent

Maitama, Abuja.

Dear Sir,

APPLICATION TO RE-REGISTER APEX INVESTMENT LIMITED RC NO. 1015 TO A PUBLIC COMPANY PURSUANT TO SECTION 56 OF THE COMPANIES AND ALLIEDMATTERS ACT 2020.

We, the members of the above-named company, have passed a special Resolution to change the above-named company to GOLD PALMS PLC dated the 4th day of April, 2020.

We therefore apply for your approval to carry out the proposed change.

Please find attached the necessary documents for your kind consideration.

Thanks for your consideration.

Yours faithfully,

…….
AHMADU YUSUF
COMPANY SECRETARY

2. Application To Conduct A Search at the CAC

GODS FAVOUR CHAMBERS
BARRISTERS AND SOLICITORS
NO. 15 BWARI STREET
WUSE ZONE 4 ABUJA
RC NO 1015

OUR REF.:

20 JANUARY, 2021

The Registrar-General
Corporate Affairs Commission
Opposite Gowon House
Aguiyi Ironsi Crescent
Maitama, Abuja.

Sir,

APPLICATION TO CONDUCT SEARCH ON TROPICAL INVESTMENT LIMITED WITH REGISTERED CERTIFICATE NO. 1350

We are the external Solicitors of Premier Bank PLC Alagomeji Branch Lagos, which we will refer to as 'our client'.

It is our client's instructions that we carry out a search on Tropical Investment Limited with RC No. 1350.

We specifically request that the following documents be made available to us namely:

a. The Memorandum and Articles of Association
b. Particulars of Directors
c. Statement of the authorized Share Capital and Return of Allotment-

Please find attached the necessary receipts to aid your kind consideration of our application.

Thank you for your prompt consideration.

Yours faithfully,

Basil Jegede
Gods Favour Law Firm
External Solicitors to Premier Bank PLC

3. Application To CAC To Conduct Investigation On A Company (August 2017 Q 1B)

GODS FAVOUR CHAMBERS
BARRISTERS AND SOLICITORS
NO. 15 BWARI STREET
WUSE ZONE 4 ABUJA
RC NO 1015

OUR REF.: YOUR REF….

20TH January 2020

The Registrar-General
Corporate Affairs Commission
Aguiyi Ironsi Crescent
Maitama, Abuja.

Sir,

APPLICATION TO CONDUCT INVESTIGATION ON TROPICAL INVESTMENT LIMITED PURSUANT TO SECTION 357

We are the Solicitors Mr. James Tunde a shareholder in the above-named company, (Our client).

It is our client's instructions that we write to you to carry out an investigation into the activities and affairs of Tropical Investment Limited with **RC No. 1350.**

The grounds and events giving rise to this application are as follows:

1. The company has failed to declare dividend for two years;
2. The company has failed to hold the Annual General Meeting for about 3 years now.

Thank you for your prompt consideration.

Yours faithfully,

BASIL JEGEDE
FOR: GOD'S FAVOUR LAW FIRM.
OR – Abuja campus Pre Bar test draft

Justin Okafor, (On behalf five other members holding cumulatively, one eighth of the preference shares of the company).
(Address).

The Registrar General,
Corporate Affairs Commission,
Tigris street Maitama, Abuja.

Dear sir,

An application to investigate the affairs of Citrus pharmaceutical Ltd. Pursuant to Section 357 CAMA 2020.

The above subject matter refers.

I write on behalf of my five other colleagues. We are members of citrus Pharmaceutical Ltd. We cumulatively own preference shares amounting to one eighth of the total capitalisation of the company.

May we seize this medium to bring to your attention the distasteful attitude of the Board of our company.

The members of the board are bent on running our Company aground by recklessly deploying the scarce funds of the company into unprofitable ventures.

All attempts made in time past to ensure that they course correct have proved abortive.

Kindly therefore appoint one or more competent inspectors to investigate the affairs of our company.

Yours sincerely,
Justin Okafor.

(On behalf of five other shareholders holding cumulatively, one eighth of the preference shares of the company).

Letter requesting the consent of the corporate affairs commission to effect the change of name.

PINO PINO BOUTIQUE LIMITED

ANY ADDRESS - ½ mark

ANY RC. NO.,

Email Address and Phone No.

10th August, 2022

The Registrar-General
Corporate Affairs Commission
Abuja.

Dear Sir,

REQUEST FOR APPROVAL TO CHANGE THE NAME OF PINO PINO BOUTIQUE LIMITED - 1 mark

I am directed by the board of directors of the above named company to apply for approval of the Commission for the name of the above named company to be changed to **"CHUKWUEMERIE BOUTIQUE LIMITED".** - ½ mark

I enclose printed copy of the special resolution of the company duly passed on the - day - , 2022, sanctioning the proposed change of name. ½ mark

Thank You.

Yours faithfully,

Any signature
Company Secretary ½ mark

4. SEARCH REPORT (Bar final August 2019 Q 6d, Dec 2020 Q 4c)

JOHN DOE LP

NO. 15 BWARI STREET

ILLORIN, KWARA STATE

OUR REF……..PHONE NO……..

10 DECEMBER, 2020

The Secretary/Legal Adviser

Wadata Nig. Limited,

Okikie Close, Ilorin,

Kwara State

Dear Sir,

RE: SEARCH REPORT ON BABARIKA PLC

Sequel to your instruction dated the 8 day of December 2020 on the above subject matter, we are pleased to inform you that we have carried out the search as instructed. Below is the Search Report:

1. Date of Search: 9 December, 2020
2. Place of Search: Corporate Affairs Commission, Abuja.
3. Name of Company: Babarika PLC
4. Registered Certificate NO.: RC 1350
5. Registered Address: No 12 Oke Meta-Resort, Ilorin, Kwara State.
6. Date of Incorporation: 20 January, 2016
7. Business/ Objects of the Company: buying and manufacture of cement.
8. Particulars of Directors:
   i. Engr. Rotimi William of No 12 Rotimi Road, Ikeja Lagos
   ii. Mr. Ilesanmi William of No 12 Rotimi Road, Ikeja Lagos

9. Authorized Share Capital: N100, 000, 000.00 divided into 10, 000,000 ordinary shares of N1.00 each
10. Encumbrances: Nil
11. Comment/Advice: The Company is an on-going concern, so can do business with it.

Yours faithfully,

…….
Basil Jegede
Gods Favour Law Firm

DRAFTS ON COMPANY SECURITIES (Allotment of shares)

1. Letter of Allotment (Dec 2020 Q 1d)

AMANCO NIGERIA PLC
RC NO: 2345
NO 20 KEBBI ROAD, IKIRE,
OGUN STATE

OUR REF:

10 DECEMBER, 2020

Mr. Clifford Ike
No. 15 kent Road Wuse
Ogun State

Sir,

LETTER OF ALLOTMENT OF SHARES

I am directed by the Board of the above-named company to inform you that your application for the allotment of 1000 ordinary shares of N1.00 each in the company has been allotted to you.

You may renounce all or any of the shares in favour of another by filling up the accompanying letter of renunciation, on the understanding that you are still liable to pay all sums due on the shares should any of your nominees fail to do so.

Thank you.

Yours faithfully,

…….

Company Secretary

2. Letter of Regret

AMANCO NIGERIA PLC
RC NO: 2345
NO 20 KEBBI ROAD, IKIRE,
OGUN STATE

OUR REF: YOUR REF….

15 JUNE, 2020

Mr. Ben Idah
No. 15 Kent Road Wuse Zone 4
Abuja.
Sir,

LETTER OF REGRET

I regret to inform you that the directors were unable to allot you any shares in the above company, and **enclose herewith is a cheque for N600, 000.00 being the amount paid by you on application.**

Kindly fill up and return the annexed form of receipt.

Yours faithfully,

Company secretary

SAMPLE DRAFT OF NOTICE OF RESIGNATION BY AN AUDITOR

Mr. Abik Hamza & Co.
Chartered Accountants
Suit A4 Goni Plaza Wuse Zone 2
FCT Abuja.
25 May 2020

To:
The Company Secretary
Acquak Bank Plc
No. 10 Bank Road
Wuse Zone 5
FCT Abuja
Sir,

NOTICE OF RESIGNATION AS AUDITOR

The above subject matter refers.

I, Mr. Abik Hamza, as Auditor of your company write to resign my appointment which is to take effect from the 30 day of May 2022.
The reason for my decision is to protect my professional integrity as the Directors pressured me to falsify the tax obligations of the company in the Financial Statement laid before the company.

Thank you.

Yours faithfully,
Mr. Hamza Abik

SAMPLE DRAFTS ON MEETINGS

NOTICE OF MEETING (August 2017 Q 2eii, August 2018 Q 3a, August 2019 Q 2a & 6d)

AMANCO NIGERIA PLC

RC NO: 2345
NO 20 KEBBI ROAD, IKIRE,
OGUN STATE

NOTICE OF 3RD ANNUAL GENERAL MEETING PURSUANT TO SECTION 237 OF THE COMPANIES AND ALLIED MATTERS ACT CAP C20 LFN 2020

NOTICE IS HEREBY GIVEN; that the 3rd Annual General Meeting of the above named company will hold on the ....day of .....2022 at the company's registered address No 20 Kebbi Road, Ikire, Ogun State, to transact the following business:

1. **ORDINARY BUSINESS:**

   a. Declaration of dividend.
   b. Presentation of the Financial Statements.
   c. The Reports of Directors and Auditors
   d. Election of directors in place of retiring ones.
   e. Appointment of Auditors and fixing of their remuneration.
   f. Appointment of members of the Audit committee

2. **SPECIAL BUSINESS:**

   a. Increase of the share capital of the company
   b. To pass a special resolution to change the company's name to Best Palm Produce PLC

Dated: .... Day of.....2020

BY ORDER OF THE BOARD

SIGNED:

.....

COMPANY SECRETARY

NOTE PROXY:

SAMPLE DRAFTS ON WINDING UP

1. Special Resolution For Voluntary Winding Up

WADATA NIGERIA LIMITED
10 IKOYI ROAD IKOYI

LAGOS STATE

RC NO…….

SPECIAL RESOLUTION TO WIND-UP THE COMPANY AND TO APPOINT A LIQUIDATOR AND FIX HIS REMUNERATION PURSUANT TO SECTION 620 OF THE COMPANIES AND ALLIED-MATTERS ACT 2020

At an Extra-ordinary General meeting of the above-named company held on the 10 day of February 2020 at the company's conference room, it was dully proposed and resolved as follows:

1. **THAT** the company be wound up voluntarily.
2. **THAT** Chief Anthony Ibru, an accountant of ……..(address) be and is hereby appointed liquidator to wind-up the company at a remuneration of N100,000.00 per annum.

DATED 10 Day of February, 2020

…..…….. ……

Director Director

2. Declaration of Solvency to Enable Members' Voluntary Winding Up; **(Dec 2020 Q 2b)**

WADATA NIGERIA LIMITED

10 IKOYI ROAD IKOYI

LAGOS STATE

RC NO……

STATUTORY DECLARATION OF SOLVENCY EMBODYING A STATEMENT OF THE ASSETS AND LAIBILITIES PURSUANT TO SECTION 625 OF THE COMPANIES AND ALLIED-MATTERS ACT 2020

We, John Bui of……..and Bamba Audu of……being the Directors of the above-company, solemnly declare that we have made a full enquiry into the affairs of this company and that having done so, we have formed the opinion that **the company will be able to pay its debt in full within a period of twelve (12) months from the commencement of the winding up, and we append a statement of the company's assets and liabilities** as at the … day of …. 2022 **being the latest practicable date before making this declaration**.

And we make this solemn declaration, conscientiously believing the same to be true by virtue of the Oaths Act.

John Bui…….Deponent

Bamba Audu …….. Deponent

Sworn To At the Federal High Court Registry, Lagos
THIS…DAY OF……. 2020

BEFORE ME

COMMISSIONER FOR OATHS

3. Petition For Winding Up

IN THE FEDERAL HIGH COURT OF NIGERIA
HOLDEN AT PORT-HARCOURT
SUIT NO……
IN THE MATTER OF DELTA OIL GROUP PLC
AND
IN THE MATTER OF COMPANIES AND ALLIED MATTERS ACT, 1990
BETWEEN:
MR. EMEKA ADE…….PETITIONER
AND
DELTA OIL GROUP PLC……..RESPONDENT

PETITION FOR WINDING UP

The petition of Mr. Emeka Ade (Petitioner) of No. 1 Agbani Road, Garki, Abuja is presented for filing based on the ground that the respondent refused to pay his professional fees based on the following facts:-

1. The petitioner is a sole Legal Practitioner with his office at FCT, Abuja.
2. The respondent is a company incorporated in Nigeria in accordance with the provisions of CAMA, 2004.
3. The respondent agreed to pay N5 million dollars as professional fees to the petitioner.
4. The petitioner has demanded for payment of his professional fee and the respondent has refused, failed and or neglected to settle his indebtedness.
5. The petitioner prays the winding up of the respondent company

DATED…….DAY OF…….20……..

……

UJU OFEM
PLOT 113, GARKI,
ABUJA

4. **Motion For Rectification of Register**

IN THE FEDERAL HIGH COURT OF NIGERIA
IN THE LAGOS JUDICIAL DIVISION
HOLDEN AT LAGOS
SUIT NO:

IN THE MATTER OF TIMBERWOODS FURNITURE LTD

AND

IN THE MATTER OF THE COMPANIES AND ALLIED MATTERS ACT CAP C20 LFN 2020 AND IN THE MATTER OF**:**

1. MOJI MODUPE
(Administrator/Personal Representative……..APPLICANTS
of the Estate of Bola Modupe-Deceased)
AND
1. TIMBERWOODS FURNITURE LTD
2. JAMES JOHN (DIRECTOR)…..……..RESPONDENTS

ORIGINATING MOTION
BROUGHT PURSUANT TO SECTION 115 OF THE COMPANIES AND ALLIED MATTERS ACT AND UNDER THE INHERENTJURISDICTION OF THIS HONOURABLE COURT

TAKE NOTICE that this Honourable Court will be moved on the …….. Day of …….2020 at the hour of 9 O'clock in the forenoon or so soon thereafter as Counsel for the Defendant /Appellant will be heard praying this Honourable Court for:

1. **AN ORDER** mandating the Respondent to rectify the Register of members to include both the names of the Applicants as owners of the shares owned by Mrs. Bola Modupe now deceased.
2. **AND** for such orders as the Honourable Court may deem fit to make in the circumstances.

DATED THIS …..DAY OF …… 2020

…….

Ojo Yusuf, Esq.

Counsel to the Applicants

No 10 Base Street

Ikoyi Lagos State

FOR SERVICE ON:

The Respondents

5. **Statutory Letter of Demand**

NATWEST BANK LIMITED

RC NO 10145

NO 40 ADEOLA STREET

VICTORIA ISLAND LAGOS

OUR REF..... YOUR REF.....

March 10, 2020.

To:
The Board of Directors
BNXN Limited
Ikoyi-Lagos State
Dear Sir,

STATUTORY NOTICE OF DEMAND TO REPAY N15, 000, 000.00 LOAN PERSUANT TO SECTION 572 OF THE COMPANIES AND ALLIED-MATTERS ACT 2020

I, the secretary of the above named bank write to notify your company of the repayment of a facility advanced to it to the sum of fifteen million naira only (N15, 000, 000.00) at an interest of 13 percent per annum dated the 18 day of July 2019 with its due date of repayment to be on/ before the 2nd of March 2020.

Please be informed that no amount of the loan has been paid in partial discharge of the loan sum and interest.

You are hereby demanded to repay the principal loan and interest within twenty-one (21) clear days of your receipt of this Notice otherwise Legal action will be taken against your company.

You can kindly make payment into account No 1276589308 at First Bank belonging to us.

Yours faithfully,

……

Company Secretary

For: Natwest Bank Ltd.

OR – ABUJA

SURE BANK PLC
No. 12 Law School Road, Abuja, Nigeria
www.surebankplc.com
info@surebankplc.org
08123456789

RC NO. 1234

OUR REF:

12th August, 2022

The Managing Director,
Golden Industries Plc,
Road 15,
Asokoro,
Abuja

Dear Sir,

STATUTORY LETTER OF DEMAND FOR THE SUM OF ₦500,000,000 (FIVE HUNDRED MILLION NAIRA ONLY) PURSUANT TO...

The above subject matter refers.

We write to demand the repayment of the sum of ₦500,000,000 (Five Hundred Million Naira), being the sum of monies due to the company by virtue of the Loan Offer dated 1st January, 2020.

Kindly pay the said debt sum within three weeks (3 weeks) of receipt of this Letter or we would set the legal machinery at the expiration of one month without further recourse to you.

Thank you.

Yours faithfully,

Bingo Bongo,
Secretary OR Director of the Company.

Kano Campus Pre Bar – Letter of demand

Orange chemicals nig ltd.

RC .....

Date .....

The Managing Director.

Citrus Pharmaceutical Nig. PLC

(Address)

Dear sir,

Statutory letter of demand pursuant to S. 572 CAMA 2020 for the payment of the sum of #10m being a debt due and payable to Orange chemicals Ltd.

The above subject matter refers.

You will recall sir that the sum of#10m fell due as a result of our transaction with your company.

Owing to the dwindling fortunes of our company occasioned by the misguided economic policy of the present administration, we need you to defray this debt to enable us to plough it into its waning working capital.

Take notice that unless payment of the outstanding debt is received by us within three weeks after the receipt of this letter by your office, we shall be constrained to commence winding up proceedings against your company.

Please do have as always, the assurances of our best regards.

Yours faithfully.

(Signature).

Managing Director.

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1. **Where the company exports not less than 60% of what it manufactures, the company will not pay tax for three (3) years.**

2. **Where the company continues to export not less than 60% of what it manufactures in the subsequent years, the company will have 10% tax relief.**

3. **If the company obtains foreign loan, interest from such loan will not be taxed.**

4. **If the company obtains loan from a Nigerian Bank, interest from such loan will not be taxed.**

5. **If the company uses all the profit it makes to purchase raw materials or machineries, the company will not be taxed for that year.**

6. **If the company is located within an area designated as Export Processing Zone (EPZ), the company will not pay tax for three (3) years and will import free of import duties.**

7. **Relief from double taxation**

8. **Utilisation of local raw materials attracts tax waivers.**

9. **Pioneer status**

10. **Relief from double taxation**

11. **Relief from commonwealth taxation**

12. **Importation of raw materials to manufacture goods for export will attract duty drawback/suspension scheme**

13. **If the company is located within an area designated as Economically Disadvantaged Area, the company will not pay tax for seven (7) years.**

14. **The foreign currency earned from such export will be deposited in a domiciliary account without converting it to Naira and interest from such domiciliary account will not be taxed.**

15. **Expenses incurred in research and development will be deducted before taxing the company. In other words, the company enjoys 20% tax credit for engaging in research development**

16. **Rural investment allowance of 15% - 100% of the cost incurred in providing infrastructure in rural areas.**